



ENTREPRENEURSHIP

For General Education

(Experimental Version)

Student's Book

Senior

4

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FOREWORD

Dear Student,

Rwanda Basic Education Board is honored to present to you this Entrepreneurship Student's Book for Senior four which serves as a guide to competence-based teaching and learning to ensure consistency and coherence in the learning of Entrepreneurship subject. The Rwandan educational philosophy is to ensure that you achieve full potential at every level of education which will prepare you to be well integrated in society and exploit employment opportunities.

The government of Rwanda emphasizes the importance of aligning teaching and learning materials with the syllabus to facilitate your learning process. Many factors influence what you learn, how well you learn and the competences you acquire. Those factors include the instructional materials available among others. In this book, special attention was paid to the activities that facilitate the learning process in which you can develop your ideas and make new discoveries during concrete activities carried out individually or with peers.

In competence-based curriculum, learning is considered as a process of active building by the learner where concepts are mainly introduced by an activity, a situation or a scenario that helps the learner to construct knowledge, develop skills and acquire positive attitudes and values.

For effective use of this textbook, your role is to:

- Work on given activities which lead to the development of knowledge and skills;
- Share relevant information with other learners through presentations, discussions, group work and other active learning techniques such as field visit, laboratory work, investigation, role play, case studies and research in the library, from the Internet or from your community;
- Participate and take responsibility for your own learning;
- Draw conclusions based on the findings from the learning activities.

I wish to sincerely extend my appreciation to REB staff who organized the editing process of this book. Special gratitude goes to the lecturers, teachers, illustrators and designers who diligently worked to successful completion of this book. Any comment or contribution would be welcome for the improvement of this textbook for the next edition.



Dr. MBARUSHIMANA Nelson

Director General, REB

ACKNOWLEDGEMENT

I wish to express my appreciation to all the people who played a major role in editing process of Entrepreneurship Student's Book for Senior four. It would not have been successful without their active participation.

Special thanks are given to those who gave their time to read and refine this textbook to meet the needs of competence-based curriculum. I owe gratitude to different Universities and secondary schools in Rwanda that allowed their staff to work with REB to edit this book. I therefore, wish to extend my sincere gratitude to lecturers, teachers, illustrators, designers and all other individuals whose efforts in one way or the other contributed to the completion of this edition.

Finally, my word of gratitude goes to the Rwanda Basic Education Board staff particularly those from Curriculum, Teaching and Learning Resources Department who were involved in the whole process of editorial work.



Joan MURUNGI,

Head of Department of Curriculum, Teaching and Learning Resources

Table of Contents

FOREWORD.....	iii
ACKNOWLEDGMENT	iv
INTRODUCTION.....	viii
 UNIT 1: INTRODUCTION TO ENTREPRENEURSHIP	 1
1.0 Introduction	2
1.1 Meaning of Entrepreneurship, entrepreneur, and Intrapreneur	3
1.2 Stages of the entrepreneurship process	4
1.3 Creativity, Innovation and Invention;	6
1.4 An Entrepreneur as a Creative Person.....	11
1.5 End of Unit Assessment.....	14
 UNIT 2: BUSINESS IDEAS AND OPPORTUNITIES.....	 17
2.0 Introduction	18
2.1 Concepts and Characteristics of Business Ideas.....	18
2.2 Sources of Viable Business Ideas	22
2.4 Evaluating business ideas	26
2.5.End of unit assessment	31
 UNIT 3:ENTREPRENEURSHIP AS A CAREER.....	 34
3.0 Introduction	35
3.1 Meaning of Concepts	36
3.2 Career Fields of Entrepreneurship	38
3.3 Employment Options	40
3.4 Entrepreneurship Career Path	44
3.5. End of unit assessment	46
 UNIT 4: SETTING PERSONAL GOALS.....	 49
4.0 Introduction.....	50
4.1 Concepts and Importance of Having Personal Values.....	51
4.2 Identifying Values, Skills, and Personal Qualities	53

4.3 Personal Qualities in Relation to Entrepreneurship.....	55
4.4 Concept of SMART Goals	58
4.5 Steps for Setting SMART Goals.....	61
4.6 End of unit assessment	63
UNIT 5: LAWS IN BUSINESS OPERATIONS.....	66
5.0 Introduction	67
5.1 Meaning of laws and importance of business laws	68
5.2 Laws related to business	69
5.3 Legal Institutions Related to Business.....	72
5.4 Legal forms of business ownership	76
5.5. Business Formation and Registration According to their Forms.....	85
5.6 Benefits of Registering and Consequences of Not Registering a Business.....	87
5.7.End of unit assessment	88
UNIT 6: ROLE OF STANDARDS IN BUSINESS.....	92
6.0 Introduction.....	93
6.1. Standards, Compliant and Non-Compliant or Substandard Product or Service.....	94
6.2 Importance of Standards to Consumers, Government, Industry, and Society	95
6.3. Standard Development Process in Rwanda	99
6.4 Participation of Entrepreneurs in Standards Development	101
6.4.End of unit assessment	104
UNIT 7: BUSINESS MANAGEMENT.....	107
7.0 Introduction.....	108
7.1 Meaning of Concepts and Importance of Business Management	108
7.2 Managerial Functions	110
7.3 Stakeholders in Business	113
7.4 Factors Considered in Choosing People to Work with.	116
7.5 Organizational Structure.....	117
7.6.End of unit assessment	121

UNIT 8: FINANCIAL MANAGEMENT.....	123
8.0 Introduction	124
8.1 Meaning of Concepts and Functions of Financial Management	125
8.2 Sources of Business Capital, Advantages and Disadvantages	127
8.3 Meaning, Types and Calculation of Interest.....	130
8.4 Investment Appraisal Techniques	134
8.5.End of unit assessment	141
UNIT 9: FINANCIAL INSTITUTIONS.....	145
9.0 Introduction	146
9.1 Meaning of financial institutions	147
9.2 Types of financial institutions.....	148
9.3 Roles of financial institutions in promoting entrepreneurial culture	154
9.4. Procedures of Loan Application	156
9.5.End of unit assessment	158
BIBLIOGRAPHY.....	160

INTRODUCTION

Dear student,

Welcome to **Entrepreneurship for General Education, Senior Four!**

This book is designed to help you grow as a young entrepreneur. It builds on what you learned in lower secondary and takes your knowledge further. Whether you want to start your own business, work in a company, or help solve problems in your community, this book will give you the skills and ideas you need.

Rwanda is a country that encourages its young people to think creatively, work hard, and find new ways to improve their lives and the lives of others. This book supports that vision by teaching you how to think and act like an entrepreneur.

What will you learn in this book?

This book has **nine units**, each covering an important topic in entrepreneurship:

- **Unit 1** introduces you to entrepreneurship, what it means, how it works, and why creativity and innovation matter.
- **Unit 2** helps you discover and evaluate business ideas and opportunities.
- **Unit 3** shows you how entrepreneurship can be your career path, and what options are available to you.
- **Unit 4** guides you in setting personal goals using the SMART approach so your dreams become real plans.
- **Unit 5** explains the laws and rules that govern business in Rwanda, including how to register a business properly.
- **Unit 6** teaches you about standards, why quality matters for your business, your customers, and your country.
- **Unit 7** covers business management, how to plan, organize, and run a business successfully.
- **Unit 8** focuses on financial management, how to find money for your business, manage it wisely, and measure success.
- **Unit 9** introduces you to financial institutions the banks and organizations that can support your business journey.

How to use this book?

Each unit begins with a real-life scenario to help you connect what you learn to everyday life. You will find learning activities, discussions, and assessments to test your understanding. Read carefully, participate actively, and do not be afraid to ask questions.

By the end of this book, you will be ready to think like an entrepreneur, someone who sees problems as opportunities, turns ideas into action, and makes a positive difference in Rwanda and beyond.

UNIT 1

INTRODUCTION TO ENTREPRENEURSHIP



Key Unit Competence:

You should be able to provide creative solutions to identified challenges in the community.

Learning objectives

At the end of this unit, you should be able to:

Knowledge and understanding

1

- Explain the meaning of Entrepreneurship
- Describe the various stages of the entrepreneurship process.
- Recall the difference existing between Creativity, innovation and invention.
- Describe factors that make an entrepreneur creative.
- Outline a creative solution to different community problems.

Skills

2

- Articulate the meaning of entrepreneurship
- Examine the various stages of the entrepreneurship process.
- Analyze the relationship between creativity, innovation, and invention.
- Assess the factors that influence an entrepreneur to be creative
- Design creative solutions to different community problems

Attitudes and values

3

- Appreciate the role of creativity in Entrepreneurship
- Embrace stages of the entrepreneurship process
- Recognize the role of Creativity, innovation, and invention in entrepreneurship.
- Appreciate the factors that make an entrepreneur creative and innovative.
- Exhibit creative solutions to different problems

1.0 Introduction:

Like many other countries in the world, Rwanda encourages its people to develop entrepreneurial skills. This means learning how to identify opportunities, generate ideas, and solve problems in society.

In this unit, you will build on the entrepreneurship knowledge and skills you acquired in Ordinary Level. You will learn what entrepreneurship means, understand the stages of entrepreneurship, and develop creativity and innovation.

By the end of this unit, you will be able to think creatively, use your ideas to solve problems in your community and create opportunities for yourself and others.

Introductory activity



Read the scenario below and answer the questions that follow;

Scenario: Niyomungeri Business:

Niyomungeri wanted to start a small agri-business project in his village. Before starting, he carried out research to find out the agricultural products that people needed most. He discovered that fresh vegetables and fruits were highly demanded in the local market.

He also noticed that many farmers in the village produced vegetables, but they lacked good ways to store and sell them, and sometimes the produce spoiled before reaching customers.

Using the agricultural knowledge, he learned at school and ideas from the Internet, Niyomungeri decided to start a small agri-business that uses simple technology. He used his personal savings to buy vegetable seeds and simple irrigation equipment.

He started growing vegetables and used a mobile phone and social media to inform customers about his products and take orders. He called his project "Niyo Fresh Farm."

Because of good quality vegetables and reliable supply, his business started to grow, he started buying from other vegetable farmers to sell and satisfy his market. Today, the profits help him support his family, pay school expenses, and work with some farmers in his village.

In the future, he plans to expand his business by supplying vegetables to nearby markets and restaurants.

Questions:

What made Niyomungeri start the Agri-business?

What do you call the whole process of Niyomungeri starting a business?

Is Niyomwungeri an Entrepreneur? Explain your answer.

What new way did Niyomungeri use to reach his customers? "How will the above project solve community problem?"



Figure 1.1 Showing Innovation of Niyo Fresh Farm.

1.1: Meaning of Entrepreneurship, entrepreneur, and Intrapreneur

Learning Activity 1.1



Based on the scenario of Niyomungeri's Agri-business what is meant by:

- i. Entrepreneurship
- ii. An entrepreneur
- iii. Suppose that Niyomungeri decided to hire a very innovative young man called Byiringiro who after a few months came up with new ways of cooking, new recipes, and new ways of advertisement. What do we call Byiringiro in entrepreneurship?

Entrepreneurship: The process of starting and running a business to make a profit or solve a problem in the community. (Example: Starting a small shop, salon, or bakery is an act of entrepreneurship.)

Entrepreneur: A person who starts and manages a business, takes risks, and uses ideas to create products or services that people need. (Example: Niyomungeri is an entrepreneur because he started Niyo Fresh Farm.)

Intrapreneur:

An intrapreneur is an employee who promotes innovation and acts as an entrepreneur within an existing organization to improve its performance, efficiency, and competitiveness.

(Example: A worker in a company who creates a new service or product for that company is an intrapreneur.)

Being an intrapreneur means you are inside someone else's shop. You still think like the boss and make new ideas for that shop.

Example: You work in a salon and you say, "Let's sell hair-clips too," and the owner says, "Yes!"

By focusing on community and market needs, you can develop business concepts that not only have the potential for profitability but also contribute positively to your communities.

Application activity 1.1



1. Think about a student who starts a small phone charging business at home and another student who works in a shop and suggests a new way of attracting customers.

Which one is an entrepreneur and which one is an intrapreneur? Explain your answer.
2. If your school plans to start a small vegetable garden to sell produce to the community, state and explain this process.
3. A worker in a bakery suggests producing smaller and cheaper bread to attract more customers. The owner accepts the idea and the sales increase. What do we call this worker and why?
4. What risks might Niyomungeri face as an entrepreneur and how can he overcome them?

1.2: Stages of the entrepreneurship process

Learning Activity 1.2



Based on the scenario of Niyomungeri, suppose that he is currently producing enough vegetables to satisfy his community, employs five (5) workers, and he is also selling his products to the nearby towns.

With examples from the scenario, describe the stages of the entrepreneurship process that Niyomungeri went through as highlighted in the scenario.

For an entrepreneur to be successful, he/she should go through the various stages of the entrepreneurship process explained:



Figure 11.2 Stages an entrepreneur follows to transform a business idea into a successful and growing business.

Entrepreneurship is a process that involves several steps before a business becomes successful. These steps are called the stages of entrepreneurship. An entrepreneur usually moves through these stages when turning a business idea into a successful business.

1. Discovery (Idea Generation)

This is the first stage where a person thinks of a business idea. The idea usually comes from identifying a problem or need in the community and finding a way to solve it. Business ideas can come from: Observing problems in society, Personal skills or hobbies, Market demand, New technology, Advice from others

2. Concept development (Opportunity Evaluation)

At this stage, the entrepreneur performs a **feasibility study** to examine whether the business idea is possible and profitable. The entrepreneur studies the market to see if people will buy the product or service. The entrepreneur may consider: Demand for the product, Competition, Cost of starting the business, and Availability of resources

3. Resourcing (Raising and Allocating Resources)

In this stage, the entrepreneur gathers the resources needed to start the business. Resources may include: Capital (money), Raw materials, Equipment, Labour and Business location. The entrepreneur also plans how these resources will be used effectively.

4. Actualisation (Business Formation or Launch)

This is the stage where the entrepreneur starts the business operations. The products or services are produced and sold to customers. Activities in this stage include: Producing goods or services, Advertising the business, selling to customers and Managing daily operations

5. Growth

At this stage, the business expands, and the entrepreneur enjoys the benefits or profits (harvesting). The entrepreneur may increase production, employ workers, or open new branches or decide to sell the business for a gain. By following these stages, entrepreneurs can create businesses that solve problems, create jobs, and improve their communities.

Application activity 1.2



Identify one specific problem in your local community (e.g., lack of clean water, no place to photocopy documents). Describe how you would move through the five stages of entrepreneurship to solve this problem with a business idea.

1.3 Creativity, Innovation and Invention;

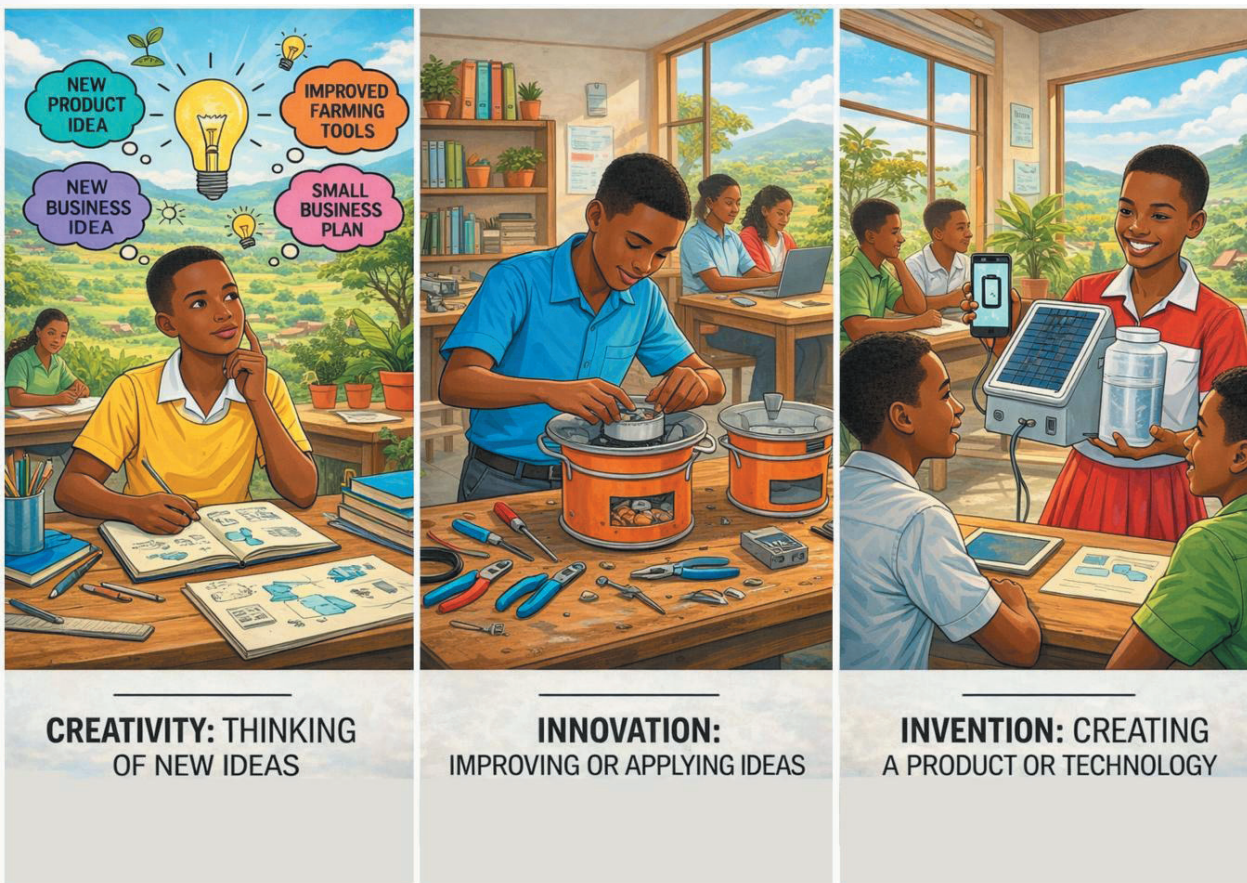


Figure 1.3 Creativity, Innovation and Invention

Learning Activity 1.3



Analyze the figure below and the case study, then use them to answer the questions that follow:



Figure 1.3.4 Tap & Go cards have reduced the loss of money for bus companies in Kigali since its launch.
Source: AC Group

AC group limited, a leading provider of interactive and intelligent public transport solutions realized that passengers would face risks and difficulties in carrying transport money in cash.

As a solution, the company introduced the use of TAP & GO cards to be used in Rwanda with the aim of easing transport fare payments but also supporting the development of cashless economy.

In an interview conducted with employees of AC group limited, they testified that at first, it was complicated but later on, upgrades in the systems were made which eventually made the use of Tap & Go very efficient, and the system has been adopted by other transport companies in Rwanda.

Questions:

1. With specific examples from the scenario, what is meant by the following terms
 - a) Creativity
 - b) Innovation
 - c) Invention
2. What is the relationship between the three terms as defined in 1) above?
3. Suggest any other examples of creativity, innovation and invention that have been done in your community.

1.3.1 Meaning of creativity, invention and innovation



Figure 1.3.1 Meaning of Creativity, Invention and Innovation

Creativity is an act of thinking new things, coming up with ideas, new ways of looking at opportunities and new approaches to solve problems. There are two kinds of creativity that is innovation and invention. Creativity is the process of thinking of new ideas. When these ideas are put into practice, they result in either **Invention** (creating something entirely new) or **Innovation** (improving something that already exists)

Invention refers to creating something for the first time that has never existed. It involves developing a new concept, design, or method that solves a particular problem or meets a need.

Innovation is doing new things or implementing the newly created ideas. It is the development of products, ideas, markets, devices, processes for something that already exists.

1.3.2 Relationship Between Creativity, Innovation, and Invention

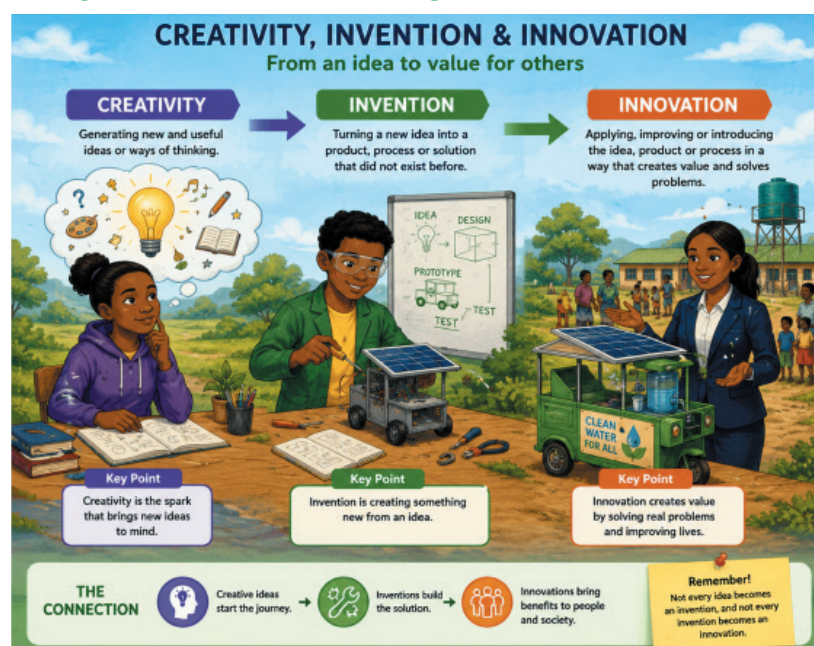


Figure 1.3.2 The connection between creativity, invention and innovation

Creativity is the ability to think and act in ways that are new and fresh. In our minds, there are two kinds of creativity: innovation and invention. Innovation is thinking creatively about something that already exists. For example, figure above, shows the creativity of portable communication devices and the various inventions and innovation that it has undergone.

Invention is creating something that did not exist before (for example, portable music devices).

Therefore, the three terms are related in a way that both innovation and invention originate from creativity.

For a person to be successful in life, she/he must be creative by doing new things or doing old things differently. Being innovative helps a person find new business ideas, improve existing business activities, and find solutions to difficult problems. All these help an entrepreneur to become successful.

Example: Improving Access to Clean Drinking Water

In a village, students noticed that many families had difficulty getting clean drinking water.

First, one student thought of an idea of creating a simple system that could make dirty water safer to drink. This process of thinking and imagining a possible solution is called creativity.

Later, the students decided to improve the traditional method of filtering water by using locally available materials such as sand, charcoal, and gravel to make a better water filter. Improving an existing idea or method is known as innovation.

After experimenting several times, they finally developed a new simple portable water filter that could be easily carried and used by families. Creating a completely new product or device is called invention.

What This Example Shows

Creativity: Thinking of an idea to solve the problem of dirty water.

Innovation: Improving the traditional way of filtering water using better materials.

Invention: New, uniquely designed filtration device not seen before.

Creativity, innovation, and invention are closely related. Usually, creativity leads to innovation, and innovation can lead to invention, which helps solve problems and improve people's lives.

1.3.2 Understanding Community needs:

Understanding community and market needs is important because it inspires you to become entrepreneurs by understanding what the community needs. Identifying these needs enables you to create innovative solutions that resonate with their target audience, laying the foundation for successful business opportunities.

Community Need is a problem or absence of a service/product affecting people in the local area.

Market Need is a gap where consumers are willing and able to pay for a solution.

Viable Business Opportunity is a feasible solution addressing a real need, which can be achieved with available resources and generate sufficient income.

Practical Steps you can use to identify community needs:

- Observe your community: Walk around or think about your daily life.
- Write in your notebook things people struggle with (e.g., long lines for water, no affordable snacks near schools, limited transport at night).
- Ask and listen: Talk to neighbors, shopkeepers, and friends.
- Ask: "What makes life harder here?" and "What would you pay for?"
- List and prioritize needs: Write down all needs.
- Select 3 that affect many people, are frequent, and people might pay to solve.
- Analyze each need quickly: Who is affected? (students, parents, elderly)
- How often does the problem happen? (daily, weekly). Why is current help not enough? (too expensive, too far, unreliable). How much would people pay? (guess or ask)
- Check resources and skills: What tools, space, money, or know-how are available locally? Can local youth provide the service?
- Decide if it is a viable opportunity: A simple test: If enough people face the problem often, are willing to pay, and you can deliver the solution with available resources, it's likely viable.
- Basic next step: Try a small test (pilot) offer the product/service to a few customers, collect feedback, and adapt.

Application activity 1.3



1. The government of Rwanda advocates for a made in Rwanda program among the entrepreneurs and the entire population. This signifies that many products have been created. Some of the products made are in existence for the first time, while other products in existence have been modified to look different and new.

Complete the table below by identifying products or services that have been made in your community as a result of creativity, innovation, and invention.

Category	Products or Services made	Why
Creativity		
Innovation		
Invention		

2. In your local community, identify one *community need* and one *market need*. Explain how each can lead to a *viable business opportunity*, and describe **two practical steps** you would use to identify and confirm these needs.

1.4 An Entrepreneur as a Creative Person

Learning Activity 1.4



After completing university, Julian returned to her community and noticed that many people had to travel long distances to access medical services because there was no nearby health facility. This situation was especially difficult for pregnant women, elderly people, and children. Instead of only recognizing the problem, Julian decided to think creatively about how to solve it.

She came up with the idea of creating a mobile health service using a motorcycle equipped with basic medical supplies and digital communication tools to connect patients with doctors in larger hospitals. This mobile service would visit different villages on scheduled days to provide basic check-ups, health advice, and emergency referrals. Julian presented her idea to community leaders, who appreciated the innovative solution and promised to support her in starting the service.

Questions

1. What problem did Julian identify in her community?
2. What innovative idea did Julian develop to address the problem?
3. How can this mobile health service benefit people living in remote areas?

1.4.1: Meaning of a Creative Person;



Figure 1.4.1 Showing A creative person

A creative person refers to an individual who has the ability to bring something unique into existence.

A creative person is one who can consider diverse perspectives, broaden their mind, and thus generate a range of possibilities for solving community problems.

All entrepreneurs are believed to be creative people. For instance, Sina Gerald the owner of Urwibutso enterprise is believed to be among the prominent entrepreneurs because of the products he invented and created. The world's recognized entrepreneurs such as Jeff Bezos, Elon Musk, Bill gates, Mark Zuckerberg are called entrepreneurs because of what they invented and created.

A business entrepreneur is someone who starts and runs a business. They are responsible for everything in the business, from developing new products to selling them.

A creative entrepreneur is someone who uses their creativity to solve problems and create value. They are always looking for new and innovative ways to do things. Their ultimate goal is to create something that makes a difference in the world.

1.4.2. Factors that Influence an Entrepreneur to be Creative



Figure 1.4.2 The process of a successful entrepreneur

There are a multitude of factors that influence people's creativity. These are grouped into social, economic, political and environmental factors.

The following are some of the factors that foster creativity among entrepreneurs:

The external environment. A cultural environment can have a significant impact on whether entrepreneurs become creative or not such as:

- A culture that values learning and education;
- A sense of urgency or necessity, forcing solutions with limited tools;
- Support from governments or an environment with resources, guidance and access to markets

Vibrant internal business culture. Business cultures that embrace risk, failure, and experimentation innovate more and get new products to market faster hence promoting creativity.

The right leadership. Building a creative-friendly culture is often the result of good leadership (political and business). Good leaders are also good internal communicators who promote brainstorming, creativity, and innovation.

Experience. The more you experience the more creative you become. These experiences define your ideas and creativity, which are presented through your work.

Fearlessness/risk-taking. Fearlessness is a major factor in one's creativity. A person who does not fear taking risks tends to be more creative.

Desire/passion. Entrepreneurs with a desire to change things or solve problems or inspire others or do new things tend to be more creative.

Working environment. Creativity can be fostered when the environment is more conducive.

Space and time. Creativity needs space and the right amount of time. It takes time and space for an entrepreneur to achieve something truly original and creative.

The following factors may influence an entrepreneur to be creative in his/her business;

Social factors: Social factors are influences that affect and define lifestyle, elements such as family, community, socio-economic status, and religion.

Economic factors: The state of the economy plays an important role in every aspect of daily life, from the well-being of people to the ability of a company to thrive. Economic factors such as employment levels and price changes (inflationary tendencies) may influence creativity.

Political and legal factors: Political factors such as government policy on taxation and tariffs, security, competition regulation, and intellectual property law may influence creativity

Application activity 1.4



Referring to your community,

- a) Mention any entrepreneurs you know of (if you do not know their names, mention the activity they are involved in)
- b) Would you say they are all creative entrepreneurs? Explain your answer
- c) What factors make some entrepreneurs more creative than others?

1.5 End of Unit Assessment



1.5.1 Assessment Questions

A) Knowledge and Understanding

1. a) Explain the meaning of entrepreneurship.
b) Then, give one practical example from your community that demonstrates entrepreneurship in action.
2. a) Describe the difference between creativity, innovation, and invention.
b) Analyze how these three concepts are related in the development of a successful business.

B) Skills

3. a) A young graduate in your community wants to start a small business but does not know where to begin.
b) Examine the stages of the entrepreneurship process and explain how the graduate can move from idea generation to business start-up.
3. In many parts of Rwanda, people are still facing challenges of fuel to use in their homes for cooking and other business activities. This has escalated deforestation and its negative effects. As a student with knowledge on invention, creativity and innovation, make a list of possible ways to creatively solve the challenge identified above.
4. a) Your community is facing a challenge of poor waste management.
b) Design a creative business idea that can help solve this problem and explain how it can be implemented

C) Attitudes and Values

Scenario

Aline is a senior four student who wants to start a small business selling fruit juice in her community. She realizes that many other people are already selling similar products. To succeed, she begins to think of **new ideas**, such as adding unique flavors, using attractive packaging, and promoting her juice through social media.

She also reflects on what helps her to be creative, such as her **curiosity, willingness to try new ideas, confidence, and ability to observe customer needs**. However, she knows she still needs to improve in areas like **taking risks and being more innovative**.

Questions

5. a) Why is creativity important in Aline's business?
b) How can Aline's creativity help her succeed in a competitive market?
6. a) What factors make Aline creative and innovative?
b) Which of these factors do you think you already have, and how can you develop the others to become a successful entrepreneur?

1.5.2 Project Activity;

Students individually create a **Community Resource Map** of their school or local area by observing and marking key features such as roads, schools, markets, fields, and water sources. They will then identify community needs, link them with available resources and their personal interests to generate **creative project ideas**, and present their findings as a neat prototype of their Community Resource Map.

1. Context

Every community faces different challenges such as lack of services, health issues, safety concerns, or limited resources. Entrepreneurs identify these problems and develop solutions that improve people's lives while creating business opportunities. By understanding community needs, available resources, and personal interests or skills, it is possible to develop innovative business ideas that solve real problems. This project will help you explore your community and develop solutions that can make a positive impact.

2. Challenge

Identify a real problem in your school or community and develop a business idea that uses available resources and your skills or passion to solve it.

3. Task

- Identify community resources and community needs through mapping
- Match community needs with your skills and passion to generate business ideas
- Develop and create a simple prototype of your solution or business idea
- Present your idea and explain how it solves a real community problem

4. Instructions:

- Focus on real problems that exist in your school or local community
- Use available and locally accessible materials for your prototype
- Complete the project within the given time-frame (about 3 weeks)
- Ensure your solution is realistic and can be implemented in the community

5. Guiding Questions

- What problems exist in your school or community?
- What resources are available that could help solve these problems?
- What skills, talents, or passions do you have that could help solve the problem?
- How can your business idea solve the problem in a practical way?
- How can you test or demonstrate your idea using a simple prototype?

UNIT 2

BUSINESS IDEAS AND OPPORTUNITIES



Key Unit Competence:

You should to be able to generate entrepreneurial ideas that respond to existing market gaps.

Learning objectives

At the end of this unit, you should be able to:

Knowledge and understanding

1

- Explain the meaning of a “business, business idea, and business opportunity”.
- State the characteristics of viable business ideas
- Outline the various sources of good business ideas and opportunities
- Explain the factors influencing the choice of a business opportunity
- Explain the SWOT analysis as a way of evaluating business ideas or opportunities

Skills

2

- Use different resources to search for business ideas.
- Analyze characteristics or qualities of viable business ideas
- Differentiate sources of business ideas and business opportunities
- Scan the local environment to come up with viable business ideas.
- Examine the factors influencing the choice of a business opportunity
- Use the SWOT analysis to evaluate business ideas/opportunities

Attitudes and values

3

- Recognize that a business idea alone is not sufficient to start a business
- Appreciate the qualities of viable business ideas.
- Appreciate one’s environment as a source of business ideas and opportunities
- Recognize the factors influencing the choice of a business opportunity.
- Advocate for the use of SWOT analysis in evaluating the viability of business ideas

2.0 Introduction:

Every successful business begins with an idea. Often, these ideas are born from observing challenges, gaps, or unmet needs in society. Entrepreneurs identify opportunities by asking:

What is missing? What do people struggle with? What can be improved?

Once opportunities are recognized, they generate possible solutions, compare alternatives, and choose the most practical and profitable idea. This process of turning observations into opportunities is the foundation of entrepreneurship.

Introductory activity



Using your entrepreneurship knowledge from ordinary level and unit 1 in senior 4, answer the questions below;

1. What is the difference between a business idea and a business opportunity?
2. What characteristics should a viable business idea possess?
3. Name the various sources of good business ideas and opportunities
4. Mention the factors that influence the choice of a business opportunity
5. Mention the factors considered when evaluating business ideas
6. What factors does the SWOT analysis consider as a way of evaluating business ideas or opportunities?

2.1 Concepts and Characteristics of Business Ideas:

Learning Activity 2.1



The following is the interview between Miss Kaneza, a specialist in mushroom growing and Mr. Makuru, a journalist from one of the prominent TV stations in Rwanda.



Analyze the interview and answer the questions that follow.

Makuru: How did you decide to get into mushroom growing and processing, and how did you start?

Kaneza: It was during the long senior six vacations after failing to get a job as I waited for my results. I basically got the idea after listening to the radio, reading newspapers, and watching TV about how different people have succeeded by starting their own business activities. Coupled with my secondary school entrepreneurship competences, I decided to give it a try and started with very many business ideas such as selling fruits and vegetables, and also selling phone accessories. It was not an easy task deciding on the activity but after doing enough research from successful mushroom growers, I finally decided to settle for mushroom growing and processing.

Makuru: What was the biggest challenge while starting your business activity and how did you overcome it?

Kaneza: There were so many challenges such as competition, unsure market, lack of experience but deciding on turning my business idea into a profitable business was the most challenging. I had to do a lot of research from existing entrepreneurs, Sector offices, and financial institutions. I also had to do personal evaluation.

Questions:

- a) How can you define the term business and what is Kaneza's business about?
- b) In relation to Kaneza's business, how can you define the terms business ideas and business opportunity?
- c) What examples of business ideas and business opportunities can you identify from the above interview?
- d) Kaneza says it was not easy for her to start up the business activity. What challenges did she encounter during her search for a viable business opportunity and how did she overcome them?
- e) What do you think would be the characteristics of a viable business idea?

2.1.1 Meaning of concepts;

A business is any activity where people produce goods or provide services and sell them to earn money (profit). Businesses also take risks in order to make a profit.

A business can involve:

- Buying and selling goods (for example, selling clothes in a shop)
- Producing goods (for example, making bread in a bakery)
- Providing services (for example, offering photography or internet services)

A business idea is a thought or plan about a possible business that someone may start. Entrepreneurs usually get business ideas by analysing problems, needs, or opportunities in their environment and thinking of ways to solve them through a business.

Examples of business ideas include:

Selling clothes and textiles. Food processing business, Online buying and selling, Internet and computer services, Food delivery services, Photography and videography, and Horticulture (growing fruits, vegetables, or flowers for sale)

Meaning of a Business Opportunity

A business opportunity is a favorable situation that enables a business idea to become a real, profitable business.

It means the environment or conditions are favorable for starting and running the business successfully.

For example, if many people in a town need fast food but there is no restaurant nearby, this situation creates a business opportunity to start a restaurant or food delivery service.

Characteristics of a Viable Business Idea;



Figure 2.1 Characteristics of a viable business idea.

A business idea is only a thought about a possible business. However, not all business ideas become successful businesses. For a business idea to succeed, it must have certain characteristics that make it viable (able to work well and succeed).

Below are some important characteristics of a viable business idea:

1. **Uniqueness**: A good business idea should be different from others. It should have something special that makes customers choose it instead of competitors. This is called a **Unique Selling Point (USP)**.

This uniqueness may come from:

- Better quality of products or services
- Lower or fair prices
- Excellent customer service

- A different production method
- Special ingredients or features

Example: A juice business that sells fresh organic fruit juice with no sugar added can stand out from other juice sellers.

- 2. Innovativeness:** A viable business idea should introduce new or improved ways of doing things. Innovation may involve creating a completely new product or improving an existing one.

Example: Creating a mobile application for ordering food instead of customers visiting the restaurant.

- 3. Solves a Specific Problem:** A good business idea should solve a real problem faced by people in a community or market. The entrepreneur should clearly explain: What the problem is, and How the business will solve it. Example: Starting a motorcycle delivery service in an area where people struggle to transport goods.

- 4. Scalability (Ability to Grow):** A viable business idea should allow the business to grow and expand over time. A business may start small but should have the potential to:

Increase production, serve more customers, open more branches, and increase profits

Example: A small bakery that later supplies bread to many schools and shops.

- 5. Profitability:** A good business idea should be able to generate profit after covering all costs.

Profitability is important because it helps the business: Survive, Expand, and Continue serving customers

- 6. Market Demand:** There must be people who are willing and able to buy the product or service. If there are no customers, the business idea cannot succeed.

Example: Starting a school uniform business in an area with many schools.

- 7. Availability of Factors of Production:** A business idea should have access to the necessary resources needed to operate, such as: Land, Labor (workers), Capital (money), Entrepreneurial skills, and Time

If these resources are not available, it may be difficult to run the business.

- 8. Favorable Government Policies:** A business idea is more likely to succeed if it is supported by government policies and programs.

Example: Businesses related to ICT, digital services, or “Made in Rwanda” products are often supported by government initiatives.

- 9. Favorable Social and Cultural Environment:** The business idea should fit well with the social and cultural values of the community. If people accept and support the idea, the chances of success increase.

Example: A business selling traditional crafts or cultural clothing in a community that values cultural heritage.

10. Value Creation: A good business idea should add value to customers by offering benefits that improve their lives or solve their problems better than existing products.

Example: Producing packaged, clean, and ready-to-cook vegetables that save customers time.

11. Matching Available Resources: A business idea should match the money, skills, and resources that the entrepreneur currently has. Starting with an idea that requires more resources than available may lead to failure.

Example: A student with small capital may start a small snack business before expanding into a restaurant later.

Application activity 2.1



Scenario

A group of Senior Six students in a town notices several needs in their community. They come up with the following business ideas:

A mobile phone repair and accessories shop near a secondary school.

A fresh fruit juice and smoothie kiosk using locally produced fruits.

A motorcycle home delivery service for groceries from local markets.

A traditional crafts and souvenirs shop for tourists visiting the area.

The students want to choose one idea that can become a successful business.

Task:

Work in groups and analyze the business ideas using the characteristics of viable business ideas.

Questions:

1. Identify the business idea that your group thinks is the most viable. Give two reasons for your choice.
2. Explain three characteristics of viable business ideas that are present in the business idea you selected.
3. Suggest two ways the selected business idea could be improved to make it more successful in the market.

2.2 Sources of Viable Business Ideas

Learning Activity 2.2



Analyze the dialogue below and use it to answer the questions that follow.

Gatete: Hello cousin, long time how are you? How is the village?

Mutoni: Long time indeed. We are fine. How is life and work in the USA?

Gatete: Fine. Fine. And speaking of work, I have accumulated some money and I want to invest in business back home. What advice can you give me? Any kind of business ideas?

Mutoni: You know we are in a rural area. People here are very poor although there is a lot of land that is underutilized. The land has good grass for livestock.

Gatete: Okay. I think I can go into goat rearing since I even have some experience back here in the USA.

Mutoni: Yeah. I think it is a good idea since it will even provide employment opportunities in addition to skills, to the local people to get out of poverty.

Gatete: Thank you very much, cousin. Let us do more research to see if our business idea can really work. I will send you a list of things you will check on for the business idea. See you.

Questions:

- a) What is the business idea in the dialogue?
- b) What is the source(s) of the business idea in the dialogue?
- c) What factors can make the business idea above viable?

In simple terms, a **business idea** is the reason for setting up a business. It drives everything about the business, from what products and services are offered to how these products are marketed. Business ideas may be completely new business ideas, modified business ideas or using differently an existing business idea.

Sources of business ideas can be based on the following:

- a) **Resources:** resources that are not being utilized fully can be a source of business ideas
- b) **People's needs:** unmet needs or needs that are not being satisfied can be a source of business ideas
- c) **Types of customers:** customer segments that are not being satisfied or whose needs are not being met can be sources of business ideas
- d) **Idle resources:** idle resources such as waste materials that have negative effect on the environment can be a source of business ideas
- e) **Existing business:** gaps (products, services or needs) not filled by existing business can be a source of business ideas.

Application activity 2.2



Complete the table below by filling in the potential sources of business ideas and the ideas that could be generated from your community.

Source of business ideas in the community	Potential business idea

2.3 Factors Influencing the Choice of a Business Opportunity

Learning Activity 2.3



Use the list of different viable business ideas provided below and answer the questions.

The business ideas

- Baking mandazi business
- Liquid soap making and selling
- Envelopes and paper bags marking
- Chicken rearing
- Buy a bicycle and do local transportation
- Operating a small hair salon (barber shop)

Required:

- What business idea would you choose to do first? Explain why?
- What factors influenced you to not choose other business ideas? Justify your answers.
- What effects do you think would happen if you did not consider those factors?

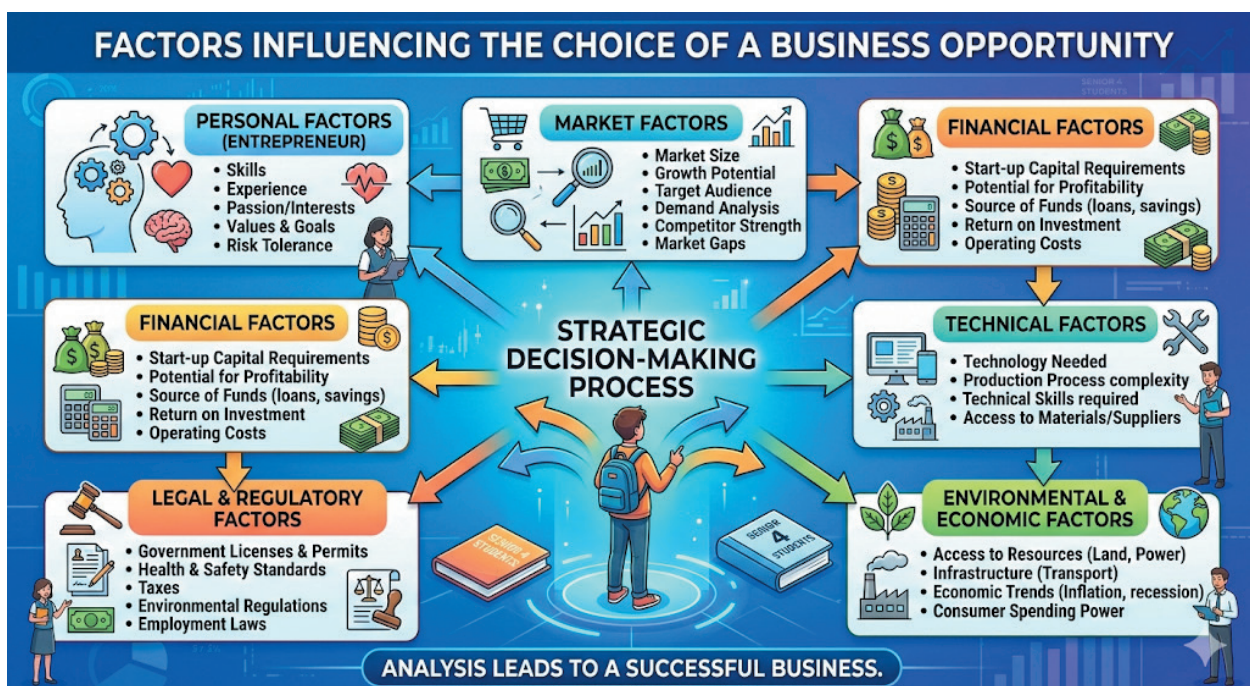


Figure 2.3 Factors That Influence the Choice of a Business Opportunity

Entrepreneurs do not always get business ideas in the same way. Some people search carefully for business opportunities, while others discover them by chance when they notice a problem or need in their community.

The following are some factors that influence how a person chooses a business opportunity:

1. **Identified Market Need or Gap:** People are more likely to start a business that solves a problem or meets a need in the market. For example, if a community lacks a grocery shop, someone may start one to serve that need.
2. **Growing Market:** Many people prefer business opportunities where customers already exist or where demand is increasing. This reduces the risk of starting a business because the market is already available.
3. **Low Capital Requirements;** The amount of money needed to start a business can affect the choice of opportunity. Most people choose businesses that require less capital but can still generate good profits.
4. **Vision or Personal Goals:** An entrepreneur's dreams and future plans influence the type of business they choose. Some businesses are selected to achieve short-term goals, while others are meant to achieve long-term goals.
5. **High Profit Potential:** Profit is an important motivation for entrepreneurs. Therefore, many people choose business opportunities that can generate higher profit margins.
6. **Difficult for Competitors to Copy:** Entrepreneurs often prefer business ideas that are unique or difficult for others to imitate quickly. This helps them protect their ideas, build a strong brand, and remain competitive in the market.
7. **Inheritance of Family Business:** Sometimes people choose business opportunities because they inherit a family business. Instead of starting a new business, they continue running the business that was started by their parents or relatives.
8. **Influence from Family, Friends, or Role Models:** The choice of a business opportunity can also be influenced by family members, friends, teachers, or successful entrepreneurs who inspire someone to start a particular type of business.

Application activity 2.3



Scenario:

Your community has recently experienced rapid population growth due to the construction of a new factory nearby. Many workers have moved into the area with their families. As a group of young entrepreneurs, you want to start a small business to serve this growing community.

In your groups;

- i. Identify **two possible business opportunities** that could serve the needs of the community.
- ii. Discuss **at least three factors** that influenced your choice (for example: market need, capital required, profit potential, growing market, or influence from others).
- iii. Decide **which of the two opportunities is the most viable** and explain why.

Each group will **present their chosen business opportunity** and explain their reasons to the class in **2 minutes**.

2.4 Evaluating business ideas;

Learning Activity 2.4



1. Why do you think it is good to evaluate your business idea before going ahead to invest in your resources?
2. What are the key concepts that SWOT Analysis helps an entrepreneur to evaluate in a business idea?
3. Suppose that you have a business of providing consultancy services in your locality. One of the customers with a variety of business ideas approaches you to advise him on which one to implement.

State the main questions you would ask the customer to help you properly evaluate his business ideas.

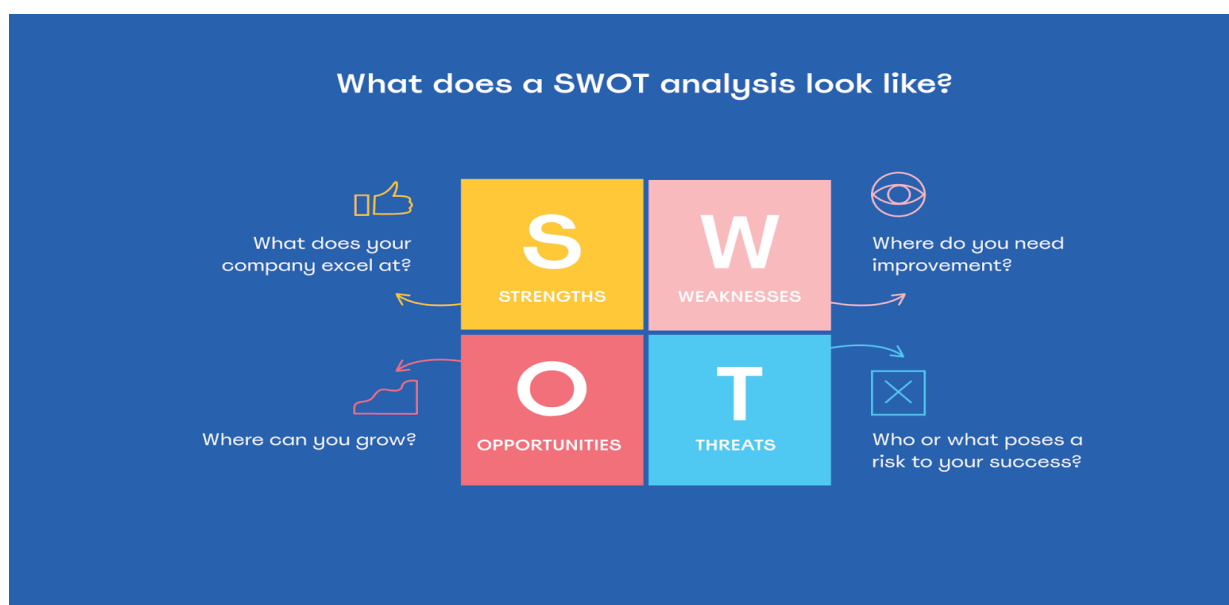


Figure 2.4 Evaluating a business idea using SWOT Analysis

When you have a business idea, it is important to evaluate it carefully to help you determine its viability.

A business idea evaluation typically involves studying market conditions, establishing a target market, and analyzing the projected costs of the new venture. Knowing how to evaluate a business idea can help you plan effectively so you can achieve your business goals.

2.4.1: Factors for Evaluating Business Ideas

Before starting a business, an entrepreneur must carefully evaluate the business idea to determine whether it is practical and likely to succeed. Evaluating a business idea helps an entrepreneur understand the opportunities, challenges, and resources needed to run the business successfully.

Below are some important factors used to evaluate business ideas:

1. **Legal Considerations:** A business idea must follow the laws and regulations of the country. If an idea is illegal, it cannot be a viable business opportunity.

For example, selling illegal drugs would not be acceptable because it is against the law in Rwanda. Entrepreneurs must ensure their business activities comply with government regulations and policies.

2. **Potential Customers:** A good business idea must have people who are willing and able to buy the product or service. Entrepreneurs need to assess whether there is a clear market demand. If there are no customers interested in the product, the business is unlikely to succeed.
3. **Incentives:** Sometimes governments and Non-Governmental Organizations provide incentives to support businesses. Incentives may include tax reductions, subsidies, grants, or duty-free importation of certain goods. These incentives reduce costs and make a business idea more attractive and profitable.
4. **Self-Analysis:** Entrepreneurs should evaluate their own abilities, skills, and interests before starting a business. They should ask themselves questions such as:
 - Do I have the skills needed to run this business?
 - Do I have the interest and motivation to manage it?
 - Do I have knowledge about the market?

Understanding personal strengths and weaknesses helps entrepreneurs choose a business they can manage successfully.

5. **Networks:** A strong network of contacts can greatly support a business. Entrepreneurs who have connections with customers, suppliers, partners, and investors can save time and reduce costs. Networking also helps entrepreneurs access technical expertise and advice, which can improve the chances of business success.
6. **Differentiation:** If many businesses offer similar products or services, an entrepreneur must identify what makes their idea different from competitors. This unique feature is called the Unique Selling Point (USP). Differentiation helps attract customers and build a strong brand in the market.
7. **Financial Requirements:** Entrepreneurs must evaluate the amount of money required to start and run the business. This includes costs such as equipment, rent, materials, and labour. Financial planning is important because investors or banks usually expect entrepreneurs to contribute part of the capital themselves to show commitment to the business.
8. **Risk Assessment:** Every business idea involves some level of risk. Entrepreneurs should identify possible challenges that could affect the business. These risks may include:
 - Changes in the economy
 - Strong competition
 - Natural events such as drought or floods
 - Changes in customer preferences

By analyzing these risks, entrepreneurs can plan ways to reduce or manage them.

Evaluating a business idea helps entrepreneurs determine whether the idea is legal, profitable, manageable, and sustainable before investing time and money into it.

2.4.2 Evaluating Business Ideas using SWOT Analysis

SWOT Analysis

SWOT stands for Strengths, Weaknesses, Opportunities, and Threats.

A SWOT analysis is a simple tool used by entrepreneurs to evaluate a business idea before starting a business.

It helps an entrepreneur understand what the business can do well, what problems it may face, and what opportunities or risks exist in the environment. By analyzing these four areas, an entrepreneur can decide whether the business idea is likely to succeed or not.

1. **Strengths:** Strengths are the internal advantages that can help a business idea succeed. These are things the entrepreneur or the business does well or already has.

Examples of strengths include: A unique business idea, Availability of resources such as money, equipment, or materials, A clear vision or plan for the business, Having the skills and knowledge needed to run the business

2. **Weaknesses:** Weaknesses are internal problems or limitations that may make the business idea difficult to implement or manage.

Examples of weaknesses include: Lack of important skills or experience, Insufficient resources or capital, Limited number of customers, Unclear goals or vision for the business

3. **Opportunities:** Opportunities are external factors in the environment that can help the business grow and succeed.

Examples of opportunities include: Supportive government policies, A stable political environment, Few competitors in the market, A growing market with increasing demand, Availability of better or cheaper raw materials

4. **Threats:** Threats are external challenges or risks that may negatively affect the business.

Examples of threats include:

- Unstable political environment
- New competitors entering the market
- High taxes
- Strong competition from existing businesses
- Shortage of raw materials

Summary

A SWOT analysis helps entrepreneurs understand both the internal and external factors affecting a business idea. By identifying strengths, weaknesses, opportunities, and threats, entrepreneurs can make better decisions and improve the chances of business success.

SWOT Analysis can be represented graphically in a matrix below:

STRENGTHS (Internal positives)	WEAKNESSES (Internal negatives)
• What the business does well • Skills you have • Resources you have	• What the business lacks • Lack of skills • Limited resources
OPPORTUNITIES (External positives)	THREATS (External negatives)
• Growing market • Government support • Few competitors	• New competitors • High taxes • Shortage of raw materials

STRENGTHS and WEAKNESSES are internal factors, while OPPORTUNITIES and THREATS are external factors.

When you have collected details for all four quadrants of the SWOT analysis, you should be ready to use that information in practice – informing your strategy for the business idea. Ideally, you should try to match your strengths with the opportunities – and tackle your weaknesses, turning them into strengths. To conduct a SWOT analysis, do the following:

Assess your strengths. Think about how you can capitalize on them to take advantage of your opportunities.

Review your weaknesses. Make a step-by-step action plan to evaluate their importance and mitigate the risk they pose for the business idea.

Evaluate the opportunities. Structure a plan that shows how you might take advantage of them, and what might hinder your progress.

Weigh up the threats. Record their potential impact on the business idea if you can, and explore ways in which your strengths might help you overcome them.

Simple SWOT Diagram

A SWOT analysis is usually presented in a four-box diagram to clearly show the four factors.

	Helpful	Harmful
Internal	Strengths: key resources, assets and value that give the business a competitive edge. <i>What do you do well? What resources can you leverage? What do other people see as your values or strengths?</i>	Weakness: write down resources, and assets that may be lacking and negative perceptions that may be preventing growth. <i>What needs improvement? What do competitors do better? What resources or assets do you lack?</i>
	1. 2. 3.	1. 2. 3.
External	Opportunities: list doors that may be open for you, opportunities you can capitalize on to speed growth, and how your strengths can create new connections. <i>What market opportunities are present? How can you leverage your strengths to promote growth? What trends in the market can you take advantage of?</i>	Threats: list factors that can hinder growth, harmful hazards, competitors, and how your weaknesses can cause threats. <i>What is your competition currently doing you are not? Do your weaknesses expose your business to threats? What factors can hurt your business?</i>
	1. 2. 3.	1. 2. 3.

Explanation:

Strengths and Weaknesses come from inside the business (internal factors).

Opportunities and Threats come from the environment outside the business (external factors).

Application activity 2.4



Work in groups of 4–5 students.

Read the business idea below:

Business Idea:

A group of students wants to start a fresh fruit juice stall near their school to sell healthy drinks during break time.

Task:

Discuss the business idea and complete a SWOT table by identifying:

2 Strengths

2 Weaknesses

2 Opportunities

2 Threats

Write your answers in the four SWOT boxes.

Each group shares one idea from each box with the class.

2.5 End of Unit Assessment



2.5.1 Assessment Questions

A) Knowledge and Understanding

1. a) Explain the meaning of a business, business idea, and business opportunity.
b) Provide one example for each from your community.
2. a) State the characteristics of a viable business idea.
b) Analyze how different sources (such as community needs, personal skills, or market trends) can lead to good business opportunities.

B) Skills

3. a) Scan your local community and identify one unmet need.
b) Propose a viable business idea that can address this need and explain why it is suitable.
4. a) Choose a business idea (e.g., poultry farming, mobile money service, or tailoring).
b) Use a SWOT analysis to evaluate its strengths, weaknesses, opportunities, and threats.

C) Attitudes and Values

5. a) Explain why having a business idea alone is not enough to start a business.
b) Discuss the importance of evaluating ideas before implementation.
6. a) Describe how your local environment can provide business opportunities.
b) Explain why it is important to consider factors (such as capital, skills, and market demand) when choosing a business opportunity.

2.5.2 Project Activity:

Scan the environment around your school or community and identify any challenges or problems that you think need to be solved. Make a list of potential business ideas for any one identified challenge or problem. Use a SWOT analysis to choose a viable business idea that can be implemented in your business back home.

1. Context

Many communities have problems that can be solved through business ideas. Entrepreneurs observe their environment, identify opportunities, and evaluate different ideas before starting a business. However, not every business idea is good or realistic. Entrepreneurs must compare ideas carefully to choose the most viable one. One way to evaluate business ideas is by using a SWOT analysis to analyze strengths, weaknesses, opportunities, and threats.

2. Challenge

Identify business opportunities in your community, generate possible business ideas, and use SWOT analysis to select the most viable business idea that could become a real business.

3. Task

- Observe your community and identify problems or opportunities that could be solved through a business.
- Generate several business ideas that could solve the identified problem or opportunity.
- Conduct a SWOT analysis for two selected business ideas and compare them.
- Choose the most viable business idea and design a simple branded packaging or mock-up for the product/service.

4. Instructions

- You must analyze two business ideas using SWOT before choosing one.
- The business idea should be realistic and possible to implement in your community.
- Use locally available materials to design your packaging or mock-up.
- The project must be completed within 3 weeks.
- Work in groups and ensure every member participates.

5. Guiding Questions

- What problems or opportunities exist in your community?
- What business ideas could solve these problems?
- What are the strengths and weaknesses of each business idea?
- Which business idea has more opportunities and fewer threats?
- Why is your selected business idea the most viable one?

UNIT 3

ENTREPRENEURSHIP AS A CAREER



Key Unit Competence:

You should be able to make rational entrepreneurial career choices.

Learning objectives

At the end of this unit, you should be able to:

Knowledge and understanding

1

- Explain the meaning of a career, career choice, and how Entrepreneurship can be a career.
- Identify work of interest with reasons for their choices.
- Explain the benefits and challenges of being employed vs self-employment.
- Describe the entrepreneurial career trajectory or path.

Skills

2

- Examine careers based on your own characteristics.
- Recognize various career fields of entrepreneurship
- Distinguish with examples the types of work or careers that are involved in being employed and self-employed.
- Analyze the benefits and challenges associated with being an entrepreneur.
- Prepare a career plan for the work they are interested in.
- Develop plans for future careers.

Attitudes and values

3

- Embrace entrepreneurship as a career
- Choose careers based on self-assessment.
- Make sound judgment on employment options
- Appreciate the entrepreneurship career trajectory or path

3.0 Introduction:

In today's world, many people no longer prefer to be employed by others; instead, they pursue professional fields such as teaching, accounting, law, medicine, and the military, among others. Inspired by many successful people in the business world, many young people aspire to become entrepreneurs, and the primary way to achieve this is to choose entrepreneurship as a career path.

In addition to the background knowledge about career opportunities from the ordinary level, the meaning of career concepts, career field, and career options. The entrepreneurship career path in this unit will enable you to make rational entrepreneurial career choices.



Figure 3.11 Entrepreneurship is a career like others

Introductory activity



Scenario: Mugeni's fruit vending business.

Mugeni, after completing Ordinary level, decided to look for something she could do to finance her studies in Advanced level. In a close conversation with her friend Martha, who knew all her life challenges while at school, advised Mugeni to either join the police, army, technical school, and specialize in construction, or start a small business selling fruits.

From the many options Martha suggested, Mugeni decided to start a fruit vending business in her hometown. In her life, she had never wished to work for other people despite the hard life she was going through. She successfully started her business and within no time it expanded, and she was able to help her family to cover up some expenses. Now she exports fruits outside the country as she also continues with her studies.

Questions:

1. Referring to your ordinary level knowledge, what do you understand by the terms; career, career choice and entrepreneurship?
2. State the career fields identified in the scenario above.
3. Why do you think Mugeni was never interested in working for other people in her life?
4. Do you think there is any career path in the scenario of Mugeni above? Support your answer.

3.1 Meaning of Concepts;

Learning Activity 3.1



Read and complete the following statements using the correct word(s) provided in brackets: (Job, Work, Career, Career choice, Activity, Entrepreneurship)

1. What one aspires to become in the future is called.....,
2. The selection of a vocation or job that someone wishes to pursue for well-being is a
3. A decision to utilize one's skills or resources to create a beneficial activity for oneself and the community is called.....

A career refers to a job or profession that someone does for a long period of time in his or her life. It also refers to what one wants to become in the future, for instance, a doctor, accountant, entrepreneur or engineer.



Figure 3.1.2 Young professionals in diverse careers

Career Choice

A **career choice** is the decision a person makes about the type of work or profession they want to do in the future to earn a living and improve their well-being.

People choose careers based on their interests, abilities, skills, and goals in life.

Examples of careers include becoming an engineer, pilot, teacher, doctor, nurse, lawyer, or many other professions.

Entrepreneurship as a Career

Choosing entrepreneurship as a career means deciding to start and manage your own enterprise instead of seeking paid employment. An entrepreneur uses their skills, knowledge, and resources to identify problems or needs in the community and create solutions that also generate income.

For example, after graduating, a person might use their technical skills to open a workshop, start modern farming project, or creating a digital service that helps people in the community. By choosing this path, they have selected entrepreneurship as their career. Note: The career you choose may influence the type of work you will do for a long time in your life. Therefore, it is important to think carefully about your interests, abilities, and future goals before making a career choice.

Application activity 3.1



Scenario

After completing secondary school, Aline and her friends are discussing their future careers. **Aline** wants to become a nurse and work in a hospital to help patients.

Eric plans to study engineering so that he can design and build machines.

Grace has noticed that many students in her area need affordable school materials. She is planning to start a small business selling books and stationery near a school.

Samuel wants to become a teacher so he can educate young people in his community.

Questions

1. Identify the career choice of each person in the scenario.
2. Who among the four friends has chosen entrepreneurship as a career? Explain your answer.
3. Explain how Grace's decision can benefit both herself and the community.

3.2 Career Fields of Entrepreneurship

Learning Activity 3.2



1. Use the examples of entrepreneurship career fields given in the table below and suggest the entrepreneurship careers you can pursue.

No	Media	Education	Engineering	Agriculture

Why would one invest in any of the above entrepreneurship careers?

Entrepreneurship Opportunities in Different Career Fields

Many career fields create opportunities for entrepreneurship. People can use their specialized knowledge to start businesses. Below are the examples:

A) Education field:

- **Direct Services:** Starting a private school or a tutoring center.
- **Support Services:** Opening a stationery shop, making school uniforms, or operating a school canteen.

These businesses help support the teaching and learning environment, and they can provide income for entrepreneurs.

B) Medical or Health Field: Examples of entrepreneurship opportunities in the health field include:

- **Services:** Starting a private clinic or providing counseling services.
- **Products:** Opening a pharmacy or a medical supply store.

These businesses help provide **important health services to the community while also generating income for the entrepreneur.**



Figure 3.2.1 Career Opportunities in Education and Health Sectors

Agricultural field: People can choose a career related to livestock farming and crop growing (cash crop growers). Examples of such careers would include selling animal drugs and pesticides, selling flowers and seedlings, among others



Figure 3.2.3 Examples of careers in Agriculture.

C) Engineering and ICT field:

- **Construction:** Running a company to build houses, roads, or bridges.
- **Digital:** Software development (apps), web design, and graphic design.
- **Technical:** Electronics shops and repair garages for machinery or home appliances.
- **Commercial and manufacturing field:** One may choose a career in the field of commerce and manufacturing such as buying and selling crops, crop processing activity, tax declaration services, business advisory services among others.

D) Transport field: One may choose a career in the field of transport and such as transporting people on bicycles, motorcycles, taxis, operating travel agencies, designing transport related technologies among others Legal and Finance Fields;

- **Legal:** Starting a legal consultancy, a compliance firm, or a legal documentation service.
- **Finance:** Managing forex bureaus, financial consulting, tax advisory, and credit analysis.



Figure 3.2.4 Legal Practitioners

E) Legal & Finance Fields:

- **Legal:** Starting a legal consultancy, a compliance firm, or a legal documentation service.
- **Finance:** Managing forex bureaus, financial consulting, tax advisory, and credit analysis.

F) Hospitality field and Transport:

- **Hospitality:** Tour guiding, managing guest houses, or event entertainment (music/arts).
- **Transport:** Operating travel agencies, taxi services, or designing transport-related technologies.

Media field: One may choose a career related to comedy shows, creating YouTube media channels, video and film production libraries, selling newspapers, photographing, starting a radio station, among others.

Application activity 3.2



1. Given your combination, which career fields are related to the combination?
2. Can you identify careers in entrepreneurship that you can choose/ pursue from the fields above by completing the table below?

Your combination:

Career fields related to your combination	Entrepreneurship careers to pursue in the career field are identified

3.3 Employment Options

Learning Activity 3.3



In the current world, many young people are often undecided on whether to work for themselves or work for others amidst existing employment challenges existing in societies.

- a) Using examples of careers, which employment option would you prefer? Justify your answer
- b) Compare the benefits and challenges associated with being an Entrepreneur (Self-employment) versus being a paid employee.



Figure 3.3.1 Types of Employment

1. Self-employment

Self-employment is a type of work where a person works for themselves instead of working for an employer who pays a regular salary or wage. A self-employed person uses their own ideas, skills, and resources to start and run a business to make a profit.

Entrepreneurs who own and manage their own businesses are examples of self-employed people.

a) Benefits of Self-employment: Self-employment has several advantages, including:

- Freedom and independence in decision making: The owner makes decisions without asking permission from others.
- High level of job security: The owner cannot easily lose the job because they control the business.
- Encourages innovation and creativity: The owner can introduce new ideas and improve products or services.
- Respect in society: Business owners are often respected in their communities.
- Creation of employment: Self-employed people can create jobs for others in the community.
- Self-reliance: Individuals learn to depend on their own skills and efforts.
- Improved standard of living: Income earned from the business helps meet basic needs.
- Provision of goods and services: Businesses supply products and services needed by the public.
- Efficient use of resources: Entrepreneurs learn how to manage resources carefully.

b) Challenges of Self-employment

Self-employment also has some difficulties, such as:

- Starting a business with little experience.
- Lack of enough capital or resources.
- Managing all aspects of the business alone.
- Difficulty in finding funds to start or expand the business.
- Building relationships with customers, suppliers, and partners.
- Working long hours to solve problems or meet deadlines.
- Unpredictable income that may change from time to time.
- Lack of paid holidays or employer-provided benefits.
- Risk of losing personal money invested in the business.
- Changes in business activities that may affect income.



Figure 3.2.2 Paid employment Vs Self employment

2. Paid Employment

Paid employment is a type of work where a person works for an employer and receives a regular salary or wage. In this case, the worker does not own the business or organization where they work.

People can be employed by individuals, companies, government institutions, non-governmental organizations (NGOs), or religious institutions.

Examples of paid employees include teachers, nurses, receptionists, waiters, cashiers, and accountants.

a) Benefits of Paid Employment: Paid employment offers several advantages, such as:

- Clear responsibilities: Workers are given specific tasks to perform.
- Fixed working hours: Employees usually have set working times.
- Low risk: Workers do not risk their personal money in the business.
- Regular income: Employees receive a salary which helps them save for the future.
- Fringe benefits: Some employees receive benefits such as housing allowance, medical care, or transport allowance.
- Business debts do not affect employees: If the business has debts, employees are not responsible for paying them.

b) Challenges of Paid Employment

Some challenges of paid employment include:

- Following strict rules and instructions at the workplace.
- Working under the control of the employer, which may cause stress.
- Limited freedom in making decisions.
- Possible harassment or unfair treatment from employers.
- Limited opportunity for innovation or introducing new ideas.
- Low job security because employees can be dismissed by the employer.

Employees do not share the profits of the business; they only receive their salary.

Risk of being misled into unsafe or illegal opportunities:

Some young people, especially those who are unemployed or dissatisfied with low-paying jobs, may be tempted by individuals or groups that promise quick money, better living conditions, or attractive opportunities. In some cases, these promises are false and may lead youth into dangerous or illegal activities that threaten their safety, future, and community well-being.

Application activity 3.3



Scenario

After graduating from a TVET school in Motor Vehicle Mechanics, **Jean Bosco** immediately got a job at a motor vehicle garage located in **Rulindo town**. He worked there as a mechanic and received a regular salary.

Four years later, his former classmate **Murindwa** visited the same garage to repair his vehicle. While waiting for the repair to be completed, the two friends had time to talk about their work and careers.

Murindwa explained that after graduation, he decided to pursue **entrepreneurship** as a career. He started his own **salon business** in his hometown, and the business has been successful and earns him a good income.

During the conversation, Jean Bosco shared his experience of working as a paid employee. He explained that although he receives his salary on time, the job is demanding. He works many hours, experiences pressure at work, and earns a relatively small salary. Because of this, he told Murindwa that he would like to become **self-employed** in the future.

Murindwa advised his friend that although self-employment has many advantages, it also comes with challenges that he should be prepared for before starting his own business.

Questions:

1. With examples from the above scenario, how would you explain the concepts of self-employment and paid employment
2. Which benefits and challenges that is Jean Bosco is likely to encounter if he transitions to self-employment?

3.4 Entrepreneurship Career Path

Learning Activity 3.4



Analyze the success story of Zulfat Mukarubega and answer the questions that follow.

Success story of Zulfat Mukarubega (Adapted from s.4 Accounting students' book)

Zulfat Mukarubega is the founder of the University of Tourism, Technology and Business Studies (UTB), formerly Rwanda Tourism University College (RTUC) that has changed the face of the hospitality industry. Her story is not only inspiring, but also remarkable, as she is the brains behind the country's first and only tourism university in Rwanda. At a time when women had limited opportunities and were confined to the kitchen, Mukarubega defied the odds and ventured into entrepreneurship.

With only 5000 FRW, she opened up a restaurant, which served as her first step towards success.

Later, she started at a university. "Starting a business is full of ups and downs; Things were tough at the beginning," She recalls. She started with twelve students, seven of whom dropped out, and she remained with five. Finding qualified lecturers and convincing the public to value hospitality were her greatest challenges.

Today UTB has blossomed into a successful institution with over 3000 students and now has a second branch in Gisenyi, which attracts students from as far as the Democratic Republic of Congo, Burundi and Uganda. Most are employed while others have started their own businesses. Mukarubega encourages others: "Women should believe in themselves; they should be innovative and think about the future. The government has opened doors for us; we should use the opportunity."

Questions:

1. Describe Mukarubegas' career?
2. From the success story, summarize the journey Mukarubega took to develop her entrepreneurial career.
3. What key lessons can you learn from Mukarubega's entrepreneurial career path that could apply to your future business endeavors?

Meaning of the entrepreneurship career path



Figure:3.4.1 Steps of Entrepreneurship Career

A career path is a series of jobs that leads to your short- and long-term career goals. Some people follow a linear career path within one field, while others change fields periodically to achieve career or personal goals.



Figure 3.4.2 Steps of Career Path Planning

Entrepreneurship Career Path Planning

This is the process of preparing a future career as an entrepreneur. The following steps can help a person plan their entrepreneurship career.

- 1. Self-Assessment:** Understand your interests, talents, and values.
- 2. Identify opportunities:** List business ideas that match your skills.
- 3. Explore the options:** Conduct research and talk to experienced entrepreneurs. You can:
- 4. Choose the best options:** From the ideas you researched, select one or two business options that best match your interests, skills, and goals.
- 5. Set SMART career goals:** Ensure that your goals are Specific, Measurable, Achievable, Relevant, and Time-bound.
- 6. Create an action plan:** After setting your goals, prepare a plan that shows:
 - The steps you will take
 - The resources you need
 - The people who can support you
 - The time needed to achieve your goals.
- 7. Implementation Finally,** start carrying out the activities in your plan. You should also monitor your progress and make adjustments if necessary to achieve your goals.

Application activity 3.4



1. Based on your combination at school, choose a career and create a plan for how you will achieve your career in entrepreneurship

3.5. End of unit assessment



3.5.1 Assessment Questions

A) Knowledge and Understanding

1. a) Explain the meaning of a career, and career choice.
b) How can entrepreneurship be considered a career? Provide one example.
2. a) Distinguish between paid employment and self-employment.
b) Analyze the benefits and challenges of each with relevant examples.

B) Skills

3. Prepare a simple career plan for a profession you are interested in, including the education and resources needed

4. a) Examine your personal strength.
b) Identify a suitable entrepreneurial career and explain why it matches your characteristics.

C) Values and Attitudes

5. a) Why is important to choose a career based on self-assessment.
b) Describe how making the right career choice can affect your future.
6. a) Discuss why entrepreneurship should be considered as a career option.
b) Explain how understanding the entrepreneurial career path can influence your attitude toward starting a business.

3.5.2 Project Activity

Project Title: Career Planning in Entrepreneurship

Based on the challenges in your community, choose an entrepreneurship career and create a career plan that will enable you to achieve your career.

1. Context

Many communities face challenges such as unemployment, poor waste management, limited access to services, and poverty. Entrepreneurship provides an opportunity for individuals to create solutions to these challenges while building sustainable careers.

2. Challenge

Learners are required to identify a real challenge in their community and think of how it can be solved through an entrepreneurial career.

3. Task

Based on a challenge in your community, choose an entrepreneurship career and develop a clear career plan that will enable you to achieve your chosen career.

4. Instructions

- Observe your community and identify one major challenge.
- Select an entrepreneurial career that can help solve the challenge.
- Explain why you chose this career.
- Assess your personal interests, strengths, and skills.
- Set a SMART career goal.
- Develop a career plan including: Education/training required, Skills needed, Experience required Resources needed
- Identify possible challenges you may face and suggest solutions.
- Present your work clearly (written or oral presentation).

5. Guiding Questions

- What challenges exist in your community?
- Which of these challenges can be solved through a business?
- What entrepreneurial career can you choose to address this challenge?
- What skills and qualities do you have that match this career?
- What steps will you take to achieve your career goal?
- What challenges might you face, and how will you overcome them?
- How will your career benefit both you and your community?

UNIT 4

SETTING PERSONAL GOALS



Key Unit Competence:

You should be able to make a plan to achieve your personal goals

Learning objectives

At the end of this unit, you should be able to:

1 Knowledge and understanding

- Explain personal values, skills, and qualities
- State the importance of having personal values
- Outline personal values or qualities that influence entrepreneurship
- List the personal qualities in relation to entrepreneurship
- Explain characteristics of a goal (specific, measurable, realistic, and time frame).
- Identify steps to setting a goal and creating a plan.

2 Skills

- Analyze the relationship existing between values, skills, and personal strengths and areas for improvement.
- Assess the importance of having personal values
- Link personal values to their daily lives.
- Examine the values desirable in family, society, and Business.
- Examine personal qualities in relation to entrepreneurship
- Design a smart goal.
- Develop a plan that would help one to achieve the set goals.

3 Attitudes and values

- Recognize that values are important in family, society, and employment.
- Appreciate the importance of having personal values
- Treat others with respect as one would do in the workplace.
- Embrace personal qualities in relation to entrepreneurship
- Advocate for values desirable in family, society, and employment.
- Support the role of setting SMART goals in life.

4.0 Introduction To Goal Setting

Setting goals is a powerful way to grow and improve. Goals help individuals know what they want to achieve and guide them in making the right decisions for their future. When you have clear goals, you are more focused and motivated, and likely to succeed.

Our goals are often shaped by our values, skills, and interests. By setting realistic and positive goals, we develop the habits and abilities needed to succeed in school, business, and life.

This unit will help you understand the importance of goal setting and guide you on how to plan and work towards achieving your personal goals.

Introductory activity



Analyze the image below and answer the questions that follow.



Figure 4.1 Personal Goal Setting

Caption: An illustration showing goal setting in entrepreneurship: a farmer gradually grows his business from a small poultry farm to goat farming, then cattle farming, and finally to modern greenhouse crop production using agricultural machinery.

Questions:

1. What progression do you see in the illustration above?
2. From the illustration above, how do you define a personal goal?
3. What do you think is goal setting?
4. What do you think was the goal of the person in the illustration?
5. What values, skills or qualities could have enabled the person to achieve the goals?
6. What are the characteristics of a good goal?

4.1 Concepts and Importance of Having Personal Values

Learning Activity 4.1



1. Read and complete the following sentences using the correct word or words from the list provided in brackets. (Personal values, Personal qualities, Personal goals, Personal skills)
 - a)are short- or long-term goals that can apply to your work, family life, or lifestyle. They are meant to motivate you to achieve what you want in life.
 - b) are "broad desirable goals that motivate people's actions and serve as guiding principles in their lives."
 - c)are skills used when interacting with other people or skills needed for a specific task.
 - d) are attributes such as patience, humor, initiative, and flexibility that are relevant to the type of work that would suit you.
2. Give any five (5) importance of having personal values?

Meaning of Personal Goals, Personal Values, Personal Skills, and Personal Qualities

In life, people have goals they want to achieve. Because of these goals, many people work hard and sometimes spend long hours trying to achieve what they want in life.

However, for a person to achieve their goals successfully, the goals should match their skills, values, and personal qualities.

- a) Personal Goals:** Personal goals are specific outcomes a person plans to achieve. They can be short-term goals (achieved in a short time) or long-term goals (achieved after many years).

Personal goals can relate to education, career, family life, health, or lifestyle. They help motivate people to work hard and improve their lives.

Examples of personal goals

- To become a Certified Public Accountant (CPA) after Senior 6
- To join the military training in the next three years
- To exercise every morning to improve physical fitness
- To learn a new skill or gain more knowledge
- When a goal is related to business activities, it is called a business goal.

Examples of personal business goals

- Increasing business sales by 12% every year
- Buying a bicycle for transport services
- Conducting a customer survey before launching a business
- Expanding a small business to reach more customers

b) Personal Values: Personal values are the core beliefs that guide your behavior (e.g., honesty, determination). They influence how people act, make decisions, build relationships, and choose their careers. Personal values also help individuals grow and make choices that match their beliefs.

Examples of personal values: Honesty, Courage, Creativity, Independence, Determination

Professional achievement

c) Personal Skills: Personal skills are the learnt abilities that help a person perform tasks effectively. Skills can be learned through training, education, or experience. There are two main types of skills:

Soft skills – Communication and teamwork.

Hard skills – technical skills used to perform specific tasks:

Examples of personal skills: **Communication skills, Teamwork, Problem solving, Planning and organizing, Analytical and investigation skills, Taking initiative**

d) Personal Qualities

Personal qualities are the character traits that describe a person's personality and behavior.

These qualities influence how a person works, relates with others, and handles challenges.

Examples of personal qualities; Honesty, Patience, Responsibility, Self-determination Flexibility, Persistence, Dependability

Importance of Having Personal Values

Personal values you understand who you are and what is important in your life.

They are important because they:

- **Boosts your self-confidence** - a sense of comfort with oneself and his/her instincts and a belief that one can trust his/her own abilities, knowledge, and judgment.
- **Improve Decision-Making:** They help you choose the right path during difficult times.
- **Build Resilience:** Knowing *why* you are working hard helps you keep going during challenges.
- **Provide Clarity:** They help you focus on long-term ambitions rather than just temporary gains.

Application activity 4.1



Instruction:

1. Think about yourself and complete the table below. Identify examples of your **personal goals, personal values, personal skills, and personal qualities**. This activity will help you understand yourself better and guide you in planning your future career.

Aspect	Meaning	My Example
Personal goal	Something you want to achieve in the future.	
Personal value	A belief or principle that guides your actions and decisions.	
Personal skill	An ability you have learned through training or experience.	
Personal quality	A trait or characteristic that describes your behavior.	

2. Rwandan society cherishes different values such as patriotism, love for work, peace, and reconciliation, among others.

Explain how these national values can help an individual succeed in an entrepreneurial career.

4.2 Identifying Values, Skills, and Personal Qualities

Learning Activity 4.2



1. Using the knowledge you have on the meaning of personal values, skills and qualities, make a list of:
 - a) 5 of your own personal values
 - b) 5 of your own personal skills and
 - c) 5 of your own personal qualities
2. From the personal values, skills, and qualities mentioned above, identify which of them are desirable for:
 - a) Family
 - b) Society and
 - c) Business by completing the table below

	Family	Society	Business
Personal Qualities			
Personal Skills			
Personal Values			

It is important to be aware of our personal values, skills, and qualities because they determine our career choices, our goals, and our relationships with our families and society.

Provided below is a list of some of the personal values, skills, and qualities:

Personal Qualities	Personal Skills	Personal Values
• Drive • Empathy • Self-awareness • Adaptable • Flexible • Professionalism • Positive attitude • Thinking outside the box • Engaging • Loyalty • Honesty • Self-determination • Persistence	• Teamwork • Commercial awareness • Analyzing & investigating • Self-motivating • Taking the initiative • Written communication • Planning & organizing • Problem solving • Decision making • Interpersonal skills • Action planning • Organizational skills • Leadership • Management • Efficiency • Financial skills • Prioritizing work • Influential	• Courage • Creativity • Kindness • Independence • Honesty • Loyalty • Determination • Inclusiveness

Application activity 4.2



Given the knowledge acquired on personal values and qualities, explain the key values and qualities that can help you to live with others in peace.

- i. At home
- ii. At your workplace
- iii. At school
- iv. In the classroom

4.3 Personal Qualities in Relation to Entrepreneurship, Personal Development, Engagement with Society, and the Workplace

Learning Activity 4.3



Provided below is a list of the personal qualities.

Creativity, determination, decision making, goal setting, responsibility, commitment, respect, involvement, tolerance, cooperation, ethics

Use the list above to complete the table below by identifying the qualities in relation to:

	Personal development	Engagement with society	Workplace

Personal qualities influence how we behave in different environments: our personal life, our society, and the workplace. **Personal qualities in Entrepreneurship:**

In entrepreneurship, these qualities are very important because they help a person identify opportunities, solve problems, and achieve goals. An **entrepreneur** is someone passionate about creating new ideas and turning them into successful businesses by identifying or creating opportunities in society. Successful entrepreneurs usually possess strong personal qualities that help them succeed in their ventures.

1. Personal Qualities Needed in Entrepreneurship

An entrepreneur is a person who has the passion to create new ideas and turn them into successful businesses. Entrepreneurs are able to identify problems or needs in society and find solutions through business activities.

Successful entrepreneurs usually have the following personal qualities:

Creativity: Entrepreneurs use creativity to develop new ideas and solutions to problems.

Professionalism: They behave responsibly and respectfully toward employees, customers, and business partners.

Self-discipline: Self-discipline helps entrepreneurs stay organised, work hard, and achieve their goals.

Reliability: Reliable entrepreneurs gain trust from employees, customers, and partners, which is important for business success.

Risk-taking: Entrepreneurs are willing to try new ideas and take calculated risks to discover new opportunities.

Passion: Passion motivates entrepreneurs to work hard and continue improving their businesses.

Planning: Entrepreneurs plan their activities carefully to achieve their business goals.

Knowledge: They understand their business field or industry, including their strengths and weaknesses.

Social skills: Entrepreneurs need good communication and relationship skills to work with employees, customers, and partners.

Open-mindedness: Successful entrepreneurs are willing to learn from others and learn from their mistakes.

Empathy: Entrepreneurs should understand their employees' needs, strengths, and challenges to build strong teams.



Figure 4.3.1 Qualities of an Entrepreneur

2. Personal Qualities for Engaging with Society

To be a productive member of society, you should develop the following qualities:

- **Active Listening:** Understanding others before responding.
- **Integrity:** Doing the right thing even when no one is watching.
- **Persuasiveness:** The ability to convince others to support positive community projects. **Empathy:** Understanding the needs and challenges of neighbors and customers. **Be a leader:** Take initiative and guide others when necessary.
- **Be courageous:** Have the courage to face challenges and solve problems.

- Be self-aware: Understand your strengths, weaknesses, and areas for improvement.
- Be wholehearted: Work with commitment and dedication in everything you do.

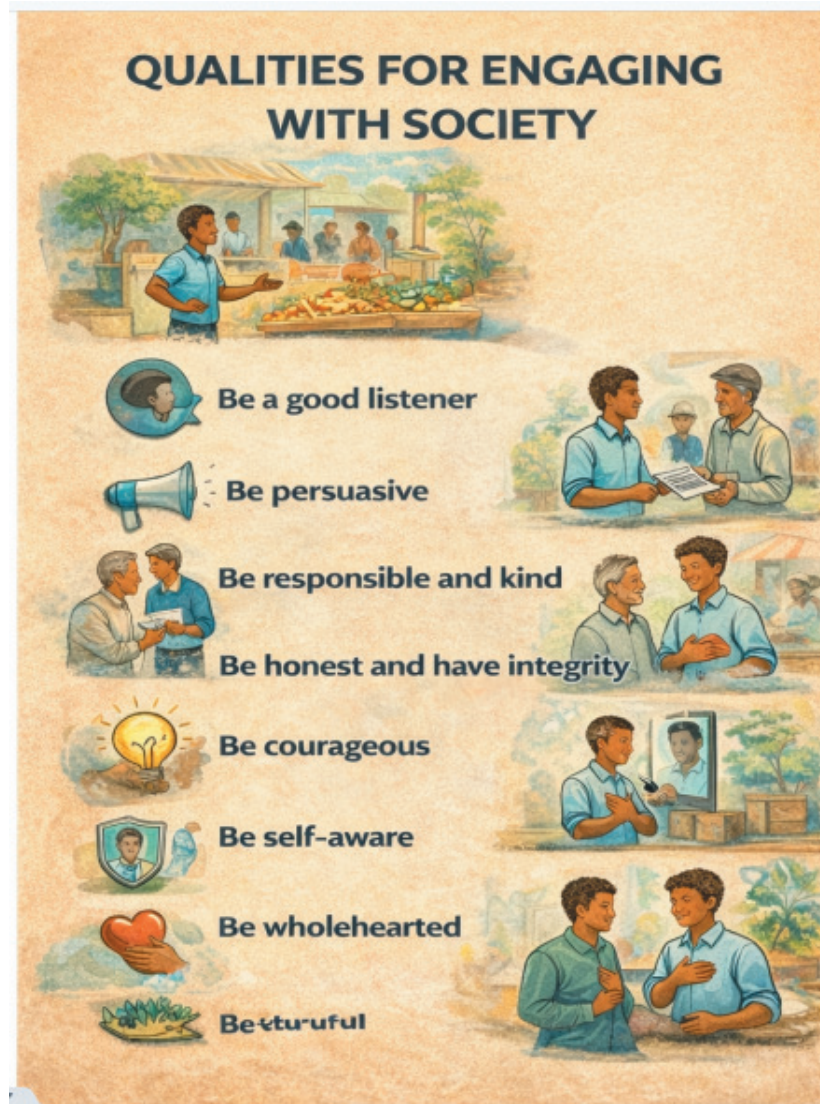


Figure 4.3.2 Personal qualities for engaging with the society

3. Personal Qualities for Personal Development

Personal development skills help individuals grow, set goals, and improve their lives.

Important personal development qualities include:

- Active listening – Paying attention when others speak.
- Teamwork – Working well with other people.
- Organization – Managing time, tasks, and materials properly.
- Problem-solving – Finding solutions to challenges.
- Self-confidence – Believing in your abilities and decisions.
- Adaptability – Being flexible and accepting change.
- Honesty – Being truthful in all situations.

Commitment – Being dedicated to your goals and responsibilities.

Leadership – Guiding and supporting others to achieve common goals.

4. Personal Qualities Needed in the Workplace

To succeed in the workplace, you must demonstrate:

Attention to detail: Carefully check information and tasks to avoid mistakes.

Analytical thinking: Using logical thinking to understand and solve problems.

Problem-solving ability: Being able to find solutions when challenges arise.

Proactiveness: Taking action early instead of waiting for problems to occur.

Productivity: Using time effectively to complete tasks.

Focus: Staying concentrated on work without distractions.

Patience: Remaining calm and determined when solving difficult problems.

Flexibility: Being willing to adjust to changes in work situations.

Hard work: Putting in full effort to complete tasks successfully.

Good listening skills: Listening to the concerns and ideas of others in the workplace.

Application activity 4.3



Instruction:

Work individually or in pairs to reflect on the qualities discussed.

1. Choose three personal qualities of an entrepreneur. Explain how each quality can help someone succeed in business.
2. Think about yourself and
 - A) Identify two personal qualities you already possess.
 - B) One quality you need to improve to succeed in your future career.
 - C) How will you practice that one quality this week at school?

4.4 Concept of SMART Goals

Learning Activity 4.4



1. What do you understand by a SMART goal?
2. Provided below are examples of goals. Analyze them and identify the SMART goals from the ones that are not SMART by giving reasons for your answer.
 - a) I want to get in shape.
 - b) I want to get a bicycle

- c) I want to save 250,000 FRW to buy a bicycle by the time I am 20.
- d) I will study abroad in the USA by the time I am 20.
- e) I want to study abroad.
- f) I will save 500FRW each week for the next 4 weeks so that I can take my best friend out to Musanze town.

SMART Goals

To be effective, a goal must be **SMART**. This acronym helps you evaluate if your goal is a wish or a real plan.

S – Specific: Well-defined, clear, and unambiguous. (What exactly do I want to do?)

M – Measurable: You can track progress. (How will I know I succeeded?)

A – Achievable: Possible to do with your current resources. (Is this in my power?)

R – Relevant: Important to your long-term vision. (Does this help my future?)

T – Time- bound: Has a specific deadline. (When will I finish?)

Example Analysis:

- *Vague Goal:* "I want to be a successful entrepreneur."
- *SMART Goal:* "By December 2026, I will save 100,000 FRW from my part-time tailoring work to buy a professional sewing machine for my own shop."



Figure 4.4 The concept of SMART Goals

a) Specific SMART Goals

Specific goals have a significantly greater chance of being accomplished. To make a goal specific, consider the questions below:

- Who: Who is involved in this goal?
- What: What do I want to accomplish?
- Where: Where is this goal to be achieved?

- When: When do I want to achieve this goal?
- Why: Why do I want to achieve this goal?

For example, "I want to obtain a gym membership at my local community center and work out four days a week to be healthier."

b) Measurable SMART Goals

A SMART goal should be measurable. This means that you should be able to track your progress and know whether you are moving closer to achieving your goal.

If a goal cannot be measured, it becomes difficult to know if you have achieved it or not.

To make a goal measurable, ask yourself the following questions:

How much or how many do I want to achieve?

How will I know that I have achieved my goal?

What will show that I am making progress?

Example: I want to join a gym at my community center and exercise four days every week to improve my health. My target is to lose one kilogram of body weight every week.

c) Achievable SMART Goals

A SMART goal should be achievable. This means the goal should be possible for you to achieve with the effort and resources you have. Setting achievable goals helps you plan how you will work toward reaching them. To check if your goal is achievable, ask yourself:

- Do I have the skills, resources, and abilities to achieve this goal?
- If not, what do I need to get or learn?
- Have other people been able to achieve similar goals?

d) Realistic SMART Goals

A SMART goal should also be realistic. This means the goal should be practical and possible to achieve within the available time and resources. A realistic goal is one that you believe you can achieve if you work hard. Ask yourself:

- Is my goal practical and possible?
- Can I achieve this goal with the time and resources I have?
- Am I willing to commit myself to achieving this goal?

e) Time-bound SMART Goals

A SMART goal should be time-bound, which means it should have a clear deadline or time limit.

Having a deadline creates urgency and motivation to work towards achieving the goal.

Ask yourself:

When do I want to achieve this goal?

What is the deadline for completing this goal?

Example: On August 1, I will join a gym at my community center. I will exercise four days each week to improve my health. My target is to lose one kilogram every week. By the end of August, I will have achieved my goal if I lose four kilograms during the month.

Application activity 4.4



1. Provided below are examples of goals. Analyze them and make them SMART if they are not.
 - a) We want to increase sales by, let's say, 10% next quarter.
 - b) I want to study abroad.
 - c) I want to get in shape.
 - d) I want to get a bicycle
2. Following the clear steps in setting a SMART goal;
 - i. Set a personal goal
 - ii. Set a school goal
 - iii. A business goal

4.5 Steps for Setting SMART Goals

Learning Activity 4.5

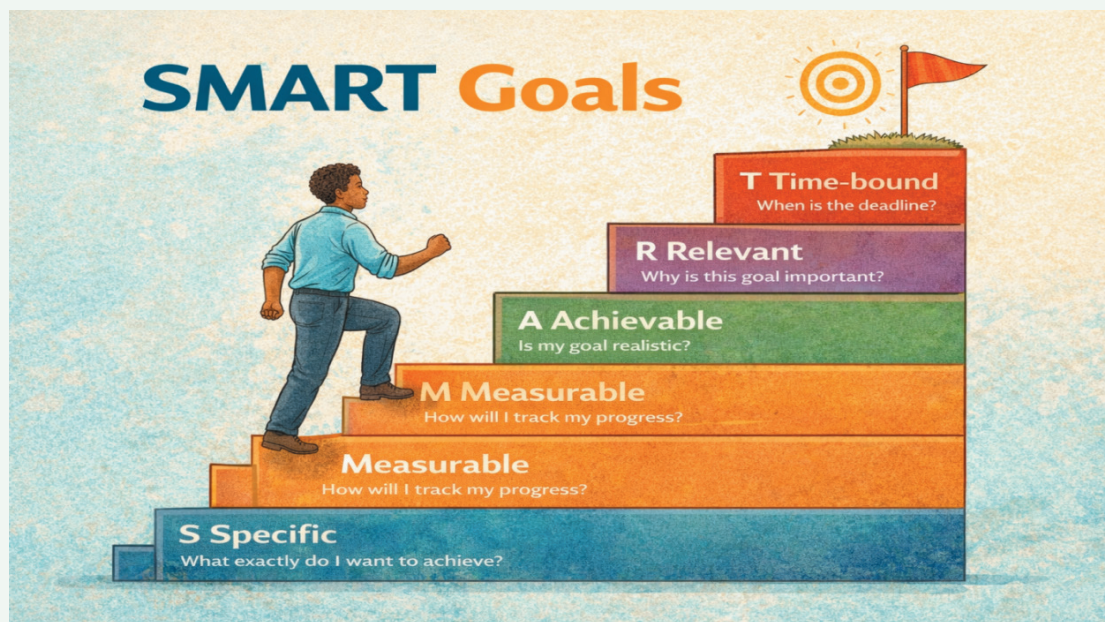


Figure 4.5 Steps of setting personal goals

This year you are in senior four. After 2 years, you will be in senior 6.

- i. Make a SMART goal that will help you to successfully graduate from senior six.
- ii. Describe the steps you followed when setting your goal above.

4.5.1. Steps for setting SMART goals

Setting goals is more than just deciding what you want to do. It involves **planning how you will achieve your goal and how long it will take**. Goal setting is important because it helps you measure your progress and know whether your actions are helping you achieve your plans.

To set **SMART goals**, follow the steps below:

1. **Vision:** Imagine where you want to be in 1 or 2 years
2. Set priorities: After identifying your vision, choose three or four important areas that you want to focus on first.
3. **Apply SMART:** Turn those priorities into SMART statements:
4. Assign responsibility: Identify what **you** must do and who can help (mentors, parents).
5. **Identify Resources:** List the tools, money, or knowledge you need.
5. **Create an Action Plan:** Break the long-term goal into short-term steps.

4.5.2 Strategies for Achieving Entrepreneurship Goals

To achieve your career or business goals, you should plan carefully. Ask yourself the following questions:

1. Where do I want to be in the future? For example, in the next 4 months, 6 months, or one year.
2. What knowledge do I need to get there? Identify the information and skills you must learn.
3. What steps should I take? For example:
 - Attending school or training
 - Preparing a business plan
 - Getting a trading license
4. What strengths do I already have? Identify your values, skills, qualities, and experience that will help you achieve your goals.
5. What challenges might I face? Think about possible obstacles and how you can overcome them.
6. What actions should I take first, second, and next? Start by planning short-term goals, then move toward long-term goals.



Note: When setting goals:

- Start by writing your long-term goal.
- Then identify your medium-term goals.
- Finally, write your **short-term goals** that will help you achieve the long-term goal step by step.

Application activity 4.5



Following the steps of setting SMART goals, set any SMART goal either, personal goal, a school goal or a business goal by using the template below

State your long term goal

Steps	By When?	Resources Needed.
1.....		
2.....		
3.....		
4.....		

State your medium term goal

Steps	By When?	Resources Needed.
1.....		
2.....		
3.....		
4.....		

State your short term goal

Steps	By When?	Resources Needed.
1.....		
2.....		
3.....		
4.....		

4.6 End of unit assessment



4.6.1 Assessment Questions

A) Knowledge and Understanding

- Explain the meaning of personal values, skills, and qualities.
 - State why personal values are important in everyday life.
- Describe the characteristics of a SMART goal
 - List any four personal qualities that are important in entrepreneurship.

B) Skills

3. Analyze a goal of your choice. Identify which SMART components are missing and rewrite it to be fully SMART.
4. Identify one personal quality you possess (e.g., persistence). Describe a situation where this quality helped you overcome a challenge at school.

C) Values and Attitudes:

5. Explain how a person's values (like honesty) affect their business goals.
6. Why is it important to have "Short-term" goals when working toward a "Long-term" vision? .

4.6.2 Project Activity: The Goal Board

Each learner makes a Goal Board to show their SMART long-term goals in the Academic, Business, Personal, and Community areas. Learners choose images, words, and objects that represent the skills, qualities, and values needed to achieve these goals and create a creative display on the goal board. For their business goal, learners will break it into smaller short-term goals, list action steps for each goal, set deadlines, and identify resources to guide them over the next three years.

1. Context

Setting clear goals helps students plan their future and achieve success while balancing school, personal life, and community responsibilities. By defining academic, business, personal, and community goals, learners can focus their efforts, stay motivated, and track progress effectively. SMART goals Specific, Measurable, Achievable, Relevant, and Time-bound—create a roadmap for reaching these objectives. This project helps students develop a practical plan to launch their business while growing personally and contributing to their communities.

2. Challenge

Develop SMART goals that guide your personal growth, business success, and positive impact on your community over the next three years.

3. Your Task

- Create a SMART Goals Board displaying your academic, personal, community, and business goals.
- Identify the qualities, skills, and values needed to achieve these goals and display them visually.
- Develop a Business Goal Achievement Plan with short-term goals, action steps, deadlines, and required resources.
- Present your SMART Goals Board and Achievement Plan to your classmates, explaining your vision and plan.

4. Instructions

- Use locally available materials for your Goals Board (cardboard, A3/A4 papers, markers, glue, scissors, images, or objects).
- Complete the project within two weeks.
- Each goal must meet the SMART criteria.
- Presentations should be clear, concise, and last 5 minutes per learner.
- Action steps must be realistic and aligned with long-term goals.
- Guiding Questions
 - What are your most important academic, personal, business, and community priorities?
 - How can each goal be Specific, Measurable, Achievable, Relevant, and Time-bound?
 - Which qualities, skills, or values will help you achieve these goals?
 - How do your short-term goals and action steps support your long-term business success?
 - How will achieving these goals positively affect your school, personal growth, and community?

UNIT 5

LAWS IN BUSINESS OPERATIONS



Key Unit Competence:

You should be able to apply laws in business operations.



Learning objectives

At the end of this unit, you should be able to:

1 Knowledge and understanding

- Explain the meaning of laws and business laws.
- Discuss the importance of laws in business.
- Identify various laws related to business.
- Outline different legal institutions related to business in Rwanda.
- Identify the various forms of business ownership.
- Explain the steps required while registering a certain business
- Explain the benefits of registering a business.
- Describe the consequences of not registering a business.

2 Skills

- Recognize the need for laws in business operations.
- Advocate for legal practices while carrying out business activities.
- Appreciate the need for registering a business

3 Attitudes and values

- Recognize the need for laws in business operations.
- Advocate for legal practices while carrying out business activities.
- Appreciate the need for registering a business

5.0 Introduction:

Business activities involve many transactions between different people and organizations. Because of this, it is important to have protection against unlawful activities or unfair dealings such as fraud and commercial misunderstandings. For this reason, businesses must operate within established laws and regulations.

Understanding the laws related to business operations helps individuals know their rights and responsibilities when engaging in business activities. This unit will help you understand and apply business laws that protect you as a customer, a business owner, or a member of the community.

Introductory activity



Read the scenario below and use it to answer the questions that follow:

Scenario

In Mahoro Village, many entrepreneurs run successful businesses. However, some traders have disagreements with their customers. One customer had a problem with a business owner and reported the case to the authorities. She was advised to take the case to the commercial court in Nyarugenge District.

In the same village, the Rwanda Revenue Authority (RRA) discovered that some traders were avoiding paying sales tax, which worried the authorities.

Despite these challenges, the village has important social services such as piped water, electricity, and a taxi park (locally called "Gare").

After attending several workshops, some traders decided to work together and run their businesses under one group. Farmers in the village also formed cooperatives. They have all realized the importance of registering their businesses.

Questions

- Explain the difference between law and business law.
 - Explain why the customer was advised to go to the Nyarugenge District?
 - Why do you think it was important for the customer to report the case to the local authorities?
- Using examples from the scenario, describe at least two legal institutions related to business.
 - Name other legal institutions that are likely to be operating in the area not mentioned, and why do you think so?
- Why do you think it was important for business owners in the village to register their businesses?
- What would the business owners lose if they had not registered their business?

5.1 Meaning of laws and importance of business laws

Learning Activity 5.1



Read the scenario below and answer the questions that follow:

Scenario

Today in Rwanda, many people are moving to towns and cities. This increase in population includes people with different income levels such as low-income earners, the middle class, and the rich. Because of this, some people try to earn a living by selling small goods and food along the streets.

However, selling goods on the streets can create problems such as environmental pollution and the risk of selling unsafe or contaminated products. For this reason, law-enforcing authorities advise people not to sell goods along the streets.

These regulations help keep cities and towns clean and safe for everyone. This is one of the reasons why Rwanda is known for having clean and well-organized cities and towns.

Questions:

- What do you think business laws mean?
- Identify any business laws in Rwanda you may know
- Why is it important to have laws governing business activities in Rwanda?

Meaning of Laws and Business Laws

Law: A set of rules created by the government to maintain order. . If a person breaks the law, he or she may face punishment such as paying a fine or being imprisoned. Example: Some laws prohibit stealing. If a person steals someone's property and is caught, the law allows the person to be punished.

Meaning of Business Laws

Business laws (also called commercial laws) are rules that guide how people trade, hire workers, and protect consumers. These laws regulate the rights, responsibilities, and relationships between people and businesses involved in buying and selling goods and services. Business laws ensure that business activities are conducted fairly, honestly, and legally.

Importance of Business Laws

Imagine a market with no laws. A seller could use a "broken" scale to cheat you on weight, or a factory could dump chemicals into a nearby river. Business laws prevent this "chaos" by:

Protecting the Weak: Ensuring big companies don't exploit small customers (Consumer Protection).

Standardizing Quality: Ensuring the "Inyange" milk or "Azam" flour you buy is safe to consume (Public Health/Standards).

Ensuring Fairness: Making sure all businesses pay their fair share to the government (RRA) to build roads and schools.

Business laws are important in business operations in the following ways:

- They ensure that businesses obtain trade licences and operate legally.
- They help reduce conflicts between traders and customers by providing fair ways of resolving disputes.
- Environmental laws protect the environment from damage caused by business activities.
- Public health laws ensure proper hygiene and sanitation in places such as hotels, schools, and entertainment centres.
- They prevent producers from manufacturing and selling poor-quality products.
- They ensure that businesses pay taxes to the government.
- Consumer protection laws protect customers from exploitation and harmful products.
- They prevent unfair competition and protect trademarks and intellectual property.
- They help regulate the prices of some public services through institutions such as the Rwanda Utilities Regulatory Authority.

Application activity 5.1



Read the scenario below and answer the questions that follow:

In Ubumwe village, several young people have started various businesses, both small-scale and large business ventures. The local authorities are concerned because most of them have little knowledge about the laws governing commercial activities.

Question:

As a student of entrepreneurship, explain to the community the dangers of not having laws in business activities.

5.2 Laws related to business

Learning Activity 1.1



Complete the statements below by filling in the correct word from the list provided (Consumer protection law, Public health law, Weighing and measuring law, The trading licence act., Environmental law, The land Act., Food and drugs law., Law of contracts, Commercial law)

1. focuses on guarding against unfair trade practices that harm buyers in the consumer marketplace.

2. focuses on improving the health of the population by using effective deterrents and punishment.
3. ensures that sellers use acceptable weighing scales and measurements when selling goods and services to customers.
4. requires all businesses to obtain trading licences before beginning operations.
5. ensures the protection of the environment at all stages of land use, development, business startup, and operations.
6. provides for the tenure, ownership, and management of land.
7. ensures that expired drugs and bad foods are not sold to customers.
8. enforces contracts between contracting parties
9. relate to the buying and selling of goods and services

Legal Requirements for Starting a Business

Starting a business isn't just about an idea and investment. There are legal requirements for businesses set by governments and regulatory bodies that entrepreneurs must follow.

Key legal steps often include:

- Registering with the appropriate trade or commerce authority.
- Choosing the correct legal business structure.
- Securing necessary licences and permits.
- Understanding employment law before hiring staff.
- Ensuring tax compliance.

In the Rwanda, for example, selecting the legal form affects liability and how the business is treated under law.

Commercial Laws Applicable in Rwanda

Commercial law (or business law) is the body of laws that governs business activities and trade. These laws guide how businesses operate and ensure fairness between businesses, customers, and the government. Commercial law regulates activities such as: Making business contracts, Hiring workers, Producing goods, Selling products and services. In Rwanda, several laws help control and guide business operations.

- 1. Consumer Protection Law:** This law Protects buyers from high prices, poor quality, and false advertising. It ensures that goods and services sold to customers meet acceptable standards in terms of price, quantity, and quality. In Rwanda, consumer protection is supervised by institutions such as: **Rwanda Utilities Regulatory Authority (RURA), Rwanda Standards Board (RSB)**

These institutions ensure that businesses provide safe and quality products and services.

2. Public Health Law: This law ensures that businesses maintain proper health and hygiene standards.

The Ministry of Health checks hygiene conditions in places such as: Restaurants, Hotels, Schools, Other public places. Officials may inspect businesses and can advise, warn, or close businesses that do not meet required standards. They usually check things such as: Cleanliness, Toilets, Lighting, Ventilation

3. Weighing and Measuring Law: This law ensures that businesses use correct weighing scales and measurements when selling goods and services. It protects customers from being cheated when buying products. In Rwanda, this law is implemented by the Rwanda Standards Board, which also ensures that goods and services meet quality standards.

4. Trading Licence Act: This law requires every business to obtain a trading licence before starting operations (Patente). Local government authorities are responsible for: Issuing trading licences, Collecting trading licence fees. This helps the government regulate businesses operating in a particular area.

5. Environmental Law (National Environmental Act). This law protects the environment from damage caused by business activities. Businesses must consider environmental protection when: Using land, starting new projects, and Running daily operations. In Rwanda, environmental protection is managed by the Rwanda Environment Management Authority (REMA).

6. The Land Act. The Land Act is a law that governs the ownership, use, and management of land. It governs where you build your shop or factory.

It explains: Who can own land, how land can be used, How land is managed and transferred.

Businesses must follow this law when acquiring or using land for their activities.

7. Food and Drugs Law: This law protects consumers by ensuring that safe food and medicines are sold in the market. The Ministry of Health supervises this law to ensure that: Expired medicines are not sold

Unsafe food is not sold, Businesses dealing with medicines must obtain a special permit before operating.

8. Law of Contracts: The law of contracts deals with the making and enforcement of agreements between two or more parties. It ensures that: Agreements made between businesses and customers are respected. Parties fulfill their obligations as agreed.

9. Commercial Law: Commercial law regulates the buying and selling of goods and services. It governs:

The rights of buyers and sellers, Business relationships. The conduct of businesses in the market place

Commercial law ensures fairness and order in business transactions in Rwanda. Business laws in Rwanda help to protect consumers, regulate businesses, maintain public health, protect the environment, and ensure fairness in trade.

Application activity 5.2



Scenario

A young entrepreneur named Aline opened a small restaurant in her community. After some time, officials visited her business. Officers from the Ministry of Health inspected the cleanliness of the kitchen and toilets. Later, officials from the Rwanda Standards Board checked the weighing scale used to measure food ingredients. The local authorities also asked Aline to show her trading licence.

Questions

1. Why is it important for Aline to follow the laws that regulate businesses in Rwanda?
2. Identify two institutions that inspected Aline's business and explain their roles.
3. What problems might occur in businesses that do not follow business law?

5.3 Legal Institutions Related to Business

Learning Activity 5.3



Read the scenario provided below and use it to answer the questions thereafter:

In December last year, M/s Umwiza was asked by relatives living abroad to guide them on how to start a business in Rwanda. Among the things they needed to know, were the legal institutions related to business in the country. Umwiza did a great work, and one of the key sources of information was the Rwanda Development Board.

If you were in Umwiza's position, what ideas would you give the relatives?

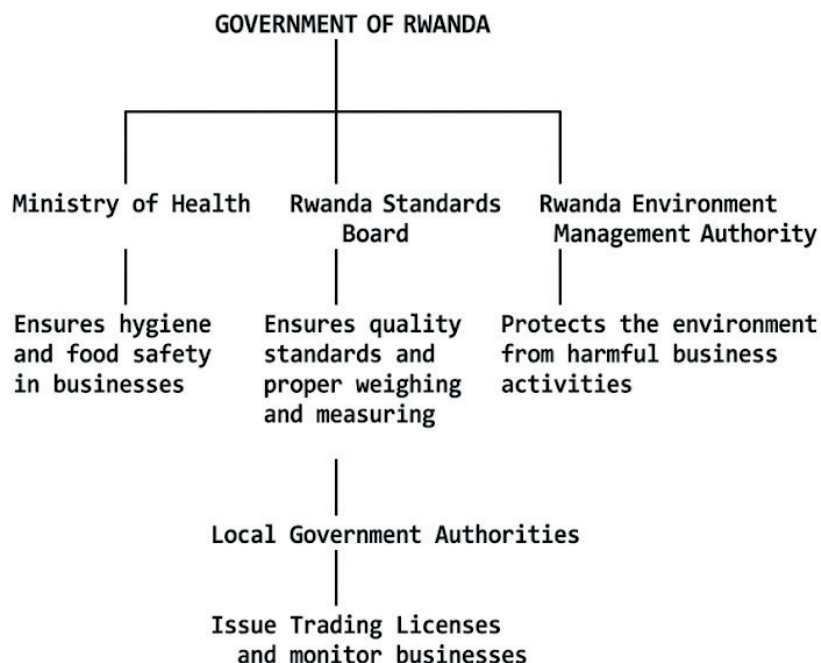


Figure 5.3.1 Some institutions that regulate and monitor business activities in Rwanda.

Key Rwandan Institutions

Institution	Primary Role	Key Responsibility
RDB (Rwanda Development Board)	Registration	The “One-Stop Center” for starting a business and promoting investment/tourism.
RRA (Rwanda Revenue Authority)	Taxation	Assessing and collecting taxes (TVA/VAT, Income Tax) to fund national projects.
RURA (Rwanda Utilities Regulatory Authority)	Regulation	Setting prices and standards for transport, energy, and telecom.
Commercial Courts	Dispute Resolution	Solving business-to-business or business-to-customer legal fights.

a) Rwanda Revenue Authority:

The Rwanda Revenue Authority (RRA) is the government institution responsible for assessing, collecting, and enforcing taxes in Rwanda.

It also educates the public about the importance of paying taxes and informs people about the penalties for delaying, avoiding, or refusing to pay taxes.

b) Rwanda Development Board (RDB)

This is a government institution that is charged with the responsibility of registering new businesses in the country



Figure 5.3.2 Indicating Business registration via Irembo or RDB

RDB plays the following roles, among others:

- It gives technical support and logistics to both domestic and foreign investors.
- It promotes Rwanda tourism by conserving natural heritage centers, wildlife, water bodies, mountains, etc.

- It promotes the development and thriving of the private sector in Rwanda.
- It also ensures good service delivery by sensitizing nationals about good customer care, and entrepreneurship skills development.
- It advises potential investors on the available business opportunities and areas of profitable investment.
- It provides registration information to both new and existing businesses.

c) Rwanda Utilities Regulatory Authority (RURA)

It is a government department that monitors and controls services and goods for example transport, energy, agricultural produce, telecommunication, and broadcasting, and the Authority has the following mandate:

The mandate of Rwanda Utilities Regulatory Authority(RURA)

- To set up necessary guidelines in order to implement the laws and regulations in force.
- To ensure compliance by public utilities with the provisions of laws and regulations governing the regulated sectors in an objective, transparent and non-discriminatory manner.
- To ensure the continuity of service delivery by licenced or authorized service providers and the preservation of public interest.
- To protect users' and operators' interests by taking measures likely to guarantee effective, sound, and fair competition in the regulated sectors within the framework of applicable laws and regulations.
- To protect and promote consumer interests.
- To promote the availability, accessibility, and affordability of regulated services to all consumers including low-income, rural, and disadvantaged consumers.
- To promote efficient development of regulated sectors in accordance with government economic and financial policy.
- To promote and enhance general knowledge, sensitization, and awareness of the regulated sectors.
- Promote and protect the rights and obligations of consumers and service providers.
- Issuing permits, authorizations, and licences required for regulated sectors, in accordance with the relevant laws and regulations.
- To monitor and ensure compliance by regulated network or service providers in line with their licences, permits, and concession obligations.
- To ensure fair competition in all regulated sectors.

Commercial Courts in Rwanda

Commercial courts are special courts that deal with business-related conflicts in Rwanda. They help to settle disagreements between people or businesses during business activities.

Business conflicts may arise in different situations, such as:

Situations that may lead to business conflicts;

Buying and selling goods and services: Conflicts may occur between buyers and sellers, for example over prices, quality, or failure to deliver goods.

Transport services: Companies that transport goods or passengers may have disagreements with customers or with other transport companies.

Mining activities: Mining companies may have conflicts with their workers or with members of the surrounding community.

Import and export trade: Disagreements may occur between parties involved in international trade of goods and services.

Brokers and agents: Some brokers may take money from clients but fail to fulfill their promises, leading to disputes. In all these cases, the parties involved can take their issues to commercial courts for a fair solution.

Application activity 5.3



Read the case study below and answer the questions that follow.

Case Study: Business Conflicts in Kwigira Village

Kwigira village is developing rapidly, with many new businesses being started. However, as businesses increase, commercial conflicts are also becoming common.

For example: A mining company is accused of encroaching on farmers' land and not respecting contracts made with suppliers. Two shops were closed because they were selling goods at prices higher than the market price.

The same shop owners also run transport services and are overcharging passengers, which has caused complaints. In addition, these business owners do not pay taxes.

One of them works as a land broker but is accused of selling land that does not belong to him, leading to many complaints. Local authorities are concerned about these illegal practices.

Despite these challenges, there is positive news. A group of investors is planning to invest in Kwigira village. The government has allocated land to them, and this is expected to:

Create jobs. Improve the livelihoods of people in the village.

Questions

1. Which laws are being violated by the business owners in Kwigira village?
2. Which relevant legal institutions are responsible for addressing the above issues, and why?
3. Suggest ways to prevent such business conflicts in the future.

5.4 Legal forms of business ownership

Learning Activity 5.4



Read the scenario below carefully and answer the questions that follow.

Scenario: Businesses in Nyamuryango Community

Nyamuryango is a growing community where many people are involved in different business activities.

Aline owns a small retail shop which she manages by herself. She makes all decisions and keeps all the profits.

In the same area, Eric and his two friends have started a construction company together. They share the capital, responsibilities, profits, and losses.

Nearby, a group of farmers has formed a cooperative called "Twitezimbere Cooperative." They work together to grow rice, collect milk, and sell their products in larger quantities to earn a better income.

There is also a large company in the area that processes and packages milk. This company is owned by many people who have bought shares and are called shareholders.

Questions

- Identify three legal forms of business ownership shown in the scenario.
- Match each business to its form of ownership.
- Give one advantage of each form of business ownership identified.



Figure 5.4.1 showcasing young entrepreneurs thriving in business ownership, partnerships, sole proprietorship, cooperatives, and joint ventures.

The legal form of an enterprise is necessary for various reasons. In case the entrepreneur wishes to raise capital by loan, obviously, the lending institution such as a bank or even a private money lender would like to know the ownership form of an enterprise.

A) Sole Proprietorship (The "I" Business)

A sole proprietorship is a type of business that is owned and managed by one person.

Characteristics of a Sole Proprietorship

Single ownership: The business is owned by one person only and is registered in their name.

Easy to start: It requires few procedures and documents, making it simple to begin.

Low capital requirement: It can be started with a small amount of money.

Direct contact with customers: The owner deals directly with customers, without middlemen.

No separate legal identity: The business and the owner are the same. What affects the business also affects the owner.

Owner manages the business: The owner makes decisions and runs daily activities.

Unlimited liability: If the business has debts, the owner may use personal property to pay them.

Advantages of a Sole Proprietorship

Simple to operate: It is easy to manage since it is usually a small business.

Quick decision-making: The owner can make decisions without consulting others.

Keeps all profits: The owner enjoys all the profits alone.

High motivation: The owner works hard because they benefit directly from success.

Direct customer interaction: The owner gets feedback directly from customers.

Easy coordination: No need for meetings or approvals to run the business.

Business secrecy: The owner can keep business ideas and plans private.

Low start-up costs: Requires little capital to begin.

Few legal requirements: Mostly requires only a trading licence to start.

Easy to close: The owner can decide to close the business at any time.

Cost control: The owner closely monitors expenses to increase profits.

Flexibility: The owner can easily change the type or nature of the business.

Disadvantages of a Sole Proprietorship

Limited capital: The owner may not have enough money to expand the business.

Limited skills and knowledge: One person cannot be an expert in all areas like finance, marketing, and management.

Unlimited liability: The owner risks losing personal property if the business fails.

Limited life span: The business may end if the owner dies or becomes unable to run it.

Lack of specialization: The owner performs many tasks instead of focusing on one area.

Difficult to manage alone: Managing all activities can be stressful and challenging.

Personal feelings affect business: The owner's mood or attitude may affect how the business is run.

Heavy workload: The owner may become overworked due to many responsibilities.

Limited use of technology: Some sole traders do not use modern technology effectively.

Limited products and services: Due to limited resources, the business may not meet all customer needs.

Summary

A sole proprietorship is easy to start and manage, but it has challenges such as limited resources and high personal risk.

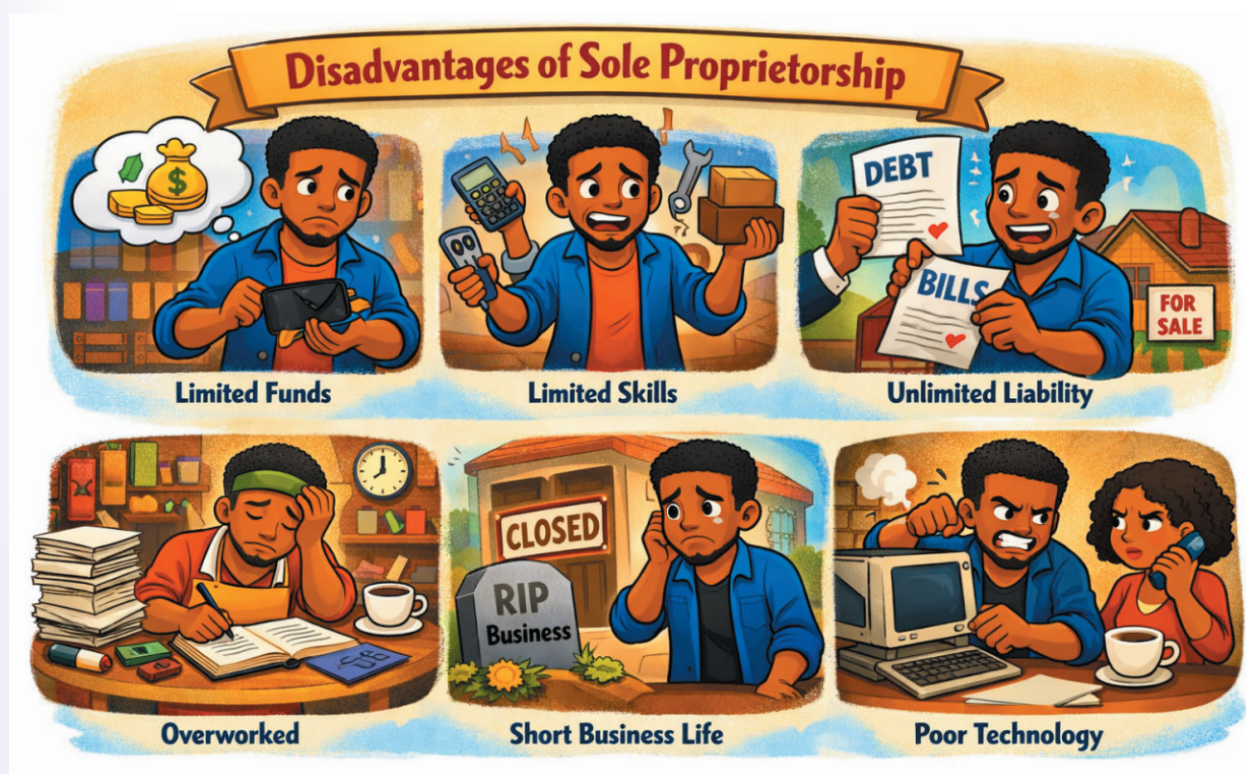


Figure 5.4.2 Indicating disadvantages of sole proprietorship

B) Partnership business (The "We" Business)

Partnership refers to the business started and operated by two or more (2-20) members with an aim of making profits. The owners of partnership businesses are called partners due to capital contributions they make in starting the business.

Before starting a partnership there is a general agreement prepared and signed by all members known as the **Partnership Deed**.

Main Features of partnership

- Profit and loss sharing
- It is composed of 2-20 members
- Contractual relationship: A partnership is formed by an agreement
- Utmost good faith and honesty
- Unlimited liability
- Restrictions on transfer of shares.

In general partnerships where all partners are liable for the acts of all other partners, all partners also have unlimited personal liability for business debts.

Limited partnerships have at least one general partner who is fully liable plus one or more limited partners who are liable only for the amount of money they invested in the partnership.

Advantages and disadvantages of partnership business

Advantages of partnership	Disadvantages of Partnership
• Easy to be formed. • More capital available; more than one person provides funds. • Lending institutions perceive less risk. • Combined talent, judgment, and skill. • Division of labor. • Losses and profits are shared equally. • Varying talents are put to better use. • Easy to join • Correct decisions are made after deep analysis by the concerned partners. • The incentives or bonuses given, motivate the shareholders.	• Divided authority which sometimes results in delayed decision-making. • Risk of conflicts between the partners. • Unlimited liability, whereby partners' private properties may be sold to cover a given credit. • Lack of continuity: The death or withdrawal of one partner is likely to cause the partnership to end. • Miss-handling of property. • Reduced enthusiasm. • Risk of being liquidated. • Profits are shared hence reducing the income of each member.

B) Joint Stock Companies (The "Shareholder" Business)

A joint stock company is a business that is owned by many people called shareholders. Each owner contributes money and receives a share, which represents their part of ownership in the company. These companies are usually formed when a business requires large capital, so money is raised from many investors.

Features of Joint Stock Companies

Artificial legal person: The company is recognized by law as a person. It can have rights, responsibilities, and obligations.

Separate legal entity: The company is separate from its owners. For example, Brasseries et Limonaderies du Rwanda (Bralirwa) is separate from its shareholders. This means the company can sue or be sued in its own name.

Common seal: The company has an official stamp used to approve important documents.

Limited liability: If the company fails, shareholders only lose the money they invested. Their personal property is not affected.

Transferability of shares: Shares can be sold or transferred to other people. (In some companies, especially private ones, there are restrictions.)

Types of Joint Stock Companies

1. Registered Companies: These are companies formed by shareholders and officially registered under company law.

a) Private Limited Companies: Have 2 to 50 members (sometimes up to 100). Shares are sold to specific individuals. Shares cannot be transferred freely without approval from other members.

Types of Private Limited Companies:

Limited by shares: Owners contribute money and receive shares. Their responsibility is limited to the value of their shares.

Limited by guarantee: Members agree to contribute a fixed amount of money if the company fails. These are often non-profit organizations such as clubs or associations.

Unlimited company: If the company cannot pay its debts, owners may use their personal property to pay.

b) Public Limited Companies

- Have a minimum of 7 shareholders and no maximum limit.
- Shares are sold to the general public.
- Shares can be freely bought and sold, often through a stock exchange.

2. Statutory Companies

- These companies are owned by the government.
- They are created by an Act of Parliament
- The government appoints directors to manage them

Advantages and disadvantages of Joint stock companies

Advantages of Joint stock Companies	Disadvantages of Joint stock companies
• Limited liability Shareholders are only responsible for the amount of money they invested in shares. Their personal property is protected. • Ability to raise large capital The company can collect a large amount of money because many people (shareholders) invest in it. • Continuity of the business The company continues to exist even if shareholders die or leave. This ensures no interruption of business operations. • Free transfer of shares Shareholders can easily sell or transfer their shares to other people (especially in public companies). • Professional management The company can hire skilled and qualified managers because it has enough financial resources. • Separate legal entity The company is independent from its owners. It can own property, enter contracts, and can sue or be sued in its own name.	• Difficult to start Setting up a joint stock company requires many legal procedures, documents, and formalities. • Strict government control The company must follow many rules and regulations set by the government. • Separation of ownership and management Owners (shareholders) are different from managers, which may reduce personal interest and commitment to the business. • Slow decision-making Decisions take longer because they must pass through many levels of management. • Lack of secrecy The company is required to publish important information, making it difficult to keep business secrets. • Risk of fraud and corruption Due to large operations and many people involved, there may be misuse of company funds. • Limited personal contact There is little direct interaction between owners and customers, unlike in small businesses.

C) Cooperatives in Rwanda (The 'Community' Business)

A cooperative is a business that is owned and run by a group of people who come together to meet their common needs. These needs may include:

- Accessing goods and services
- Selling their products
- Creating employment opportunities

A cooperative is formed when people work together in activities such as production or distribution of goods and services. The members then share the profits based on how much each person contributes.

In Rwanda, cooperatives are regulated and supervised by the Rwanda Cooperative Agency (RCA).

Features of cooperatives

Cooperatives are distinguished from other legal forms of business ownership based on the following features.

- Members are free to join voluntarily
- Shares or members' contribution in the form of shares is the key source of funds.
- Leaders governing cooperatives are democratically elected.
- There is payment of limited share capital
- The surplus profits or dividend payment is distributed to the members.
- Provide credit to improve on their activities and sometimes borrow from commercial banks.
- Usually the produce is sold through national marketing boards.
- Members are given further education and sensitized on what they are engaged in.
- There is cooperation at the national level, and bigger ones, at the international level.

Advantages of Cooperatives

Creation of income-generating activities: Cooperatives start projects and businesses that help members earn income and reduce poverty.

Development of skills (human capacity): Members gain useful skills such as teamwork, management, and entrepreneurship.

Promotion of business potential: Members learn how to run businesses, which can help them become entrepreneurs in the future.

Increased savings and investment: Profits earned help members to save money and invest in other activities.

Improved living standards: Income from cooperatives helps members improve their social and economic well-being.

Source of government revenue: Cooperatives pay taxes, which support national development.

Source of foreign exchange: Some cooperatives export their products, bringing money into the country.

Food production and food security: Agricultural cooperatives increase food production and ensure food availability.

Equal voting rights: Each member has one vote, regardless of how much they have contributed.

Open membership: Many people can join since there is usually no strict limit on membership.

Disadvantages of Cooperatives

Discourages large investors: Investors may not be motivated to invest more since all members have equal voting rights.

Conflicts and disagreements: Differences among members can lead to misunderstandings and disputes.

Limited capital: Cooperatives mainly rely on members' contributions, which may not be enough.

Misuse of funds: Some leaders may mismanage or embezzle cooperative funds.

Summary:

Cooperatives help members work together, improve income, and build skills, but they may face challenges such as limited funds and internal conflicts.

Application activity 5.4



Answer the following questions by circling the most suitable answer

1. The form of ownership entrepreneurs choose when they organise their business can affect
 - A) The types of taxes the business must pay.
 - B) How much liability do they face for the debts of their company?
 - C) The way the firm can obtain financial resources.
 - D) all of the items in this list.
2. Sole proprietors have _____ for the debts of their companies.
 - A) no liability
 - B) limited liability
 - C) unlimited liability
 - D) shared liability
3. A key advantage of a sole proprietorship is that
 - A) it is easy and inexpensive to form this type of business.
 - B) the owner has limited liability for the debts for this type of business.
 - C) it is very easy to raise financial capital for this type of business.
 - D) the business has perpetual life.
4. A serious drawback of sole proprietorships is that they
 - A) are difficult and inexpensive to form.
 - B) expose their owners to unlimited liability for the company's debts.
 - C) result in double taxation of the company's earnings.
 - D) are heavily regulated by the government.

5. Sue has a great idea for a business but has limited financial assets. She wants to retain control over the management of the company, but she needs someone to provide additional financing. Her friend

Tom has some money to invest and likes Sue's idea. He would like to share in any profits, but he doesn't have the time or interest in managing the company and is nervous about the liability involved

in running a business. A _____ would probably match the needs of both Sue and Tom.

- A) A. general partnership
 - B) B. limited partnership
 - C) C. sole proprietorship
 - D) D. foreign corporation
6. A _____ is a form of business ownership that is considered to be separate from its owners, who are known as stockholders.
- A) sole proprietorship
 - B) general partnership
 - C) limited partnership
 - D) corporation
7. Which of the following is NOT an accurate statement about a sole proprietorship?
- A) A sole proprietorship is easy and inexpensive to form.
 - B) Legally, the business is considered separate and distinct from its owner.
 - C) Most sole proprietorships are small businesses.
 - D) Sole proprietorships are the most common form of business ownership.
8. In a _____, all partners have the right to actively participate in the management of the firm and to share in any profits or losses incurred by the business.
- A) general partnership
 - B) limited liability partnership
 - C) limited partnership
 - D) sole proprietorship

5.5. Business Formation and Registration According to their Forms

Learning Activity 5.5



Provided below are the steps for registering a business in Rwanda. Arrange them in order from the first to the last step

- Register, declare, and pay all required taxes
- Choose the business category to be registered
- Print Certificates
- Complete the business registration application
- Register on the RDB business registration system

Registration of companies and individual enterprises at RDB. Rwanda has the shortest procedure and or fastest processes in the whole of East Africa and possibly the world to register and start a business. The steps followed to register a business in Rwanda. One can register a business online or at the Office of the Registrar General, which is a department within the Rwanda Development Board, following the steps below;

Step 1: Register on the RDB business registration system

Access the RDB business registration system at <http://org.rdb.rw/busregonline>. New users must first register an account by clicking on 'Register Here'. This leads to the 'Create New Online User' screen. Enter the required personal details and click submit to register an account. The RDB system will then send an email to the given email address containing a website link.

Click on the link provided to validate and activate this account. Once the account has been activated, return to the RDB business registration system and enter the chosen login details to begin the business registration process.

Step 2: Choose the business category to be registered;

Once logged in, an initial message advises that if the company already has a unique Taxpayer Identification Number (TIN), then do not use this system to register. If the company does not yet have a TIN, click OK to continue to the business registration system screen. The business registration system first requires the selection of the type of business being registered. Click here for more details.

Note that the 'Name Reservation' option does not register a business, but can be used to reserve a business name for registration in the future.

Step 3: Complete the business registration application

Depending upon the business type selected, the details that must be completed differ slightly. Note that each of the major tabs ('General Info', 'Share Info', etc.) has separate minor tabs ('Company Name', 'Articles of Association', etc.) Ensure to complete all tabs before submitting the registration.

Once all tabs are completed, click the 'Preview' tab to check that all the details entered are correct, before clicking 'Submit' to submit the business registration application. After submitting, RDB will validate that the information entered is correct.

If this is approved, an SMS will be sent to inform the taxpayer that the application has been sent to RRA to issue a Taxpayer Identification Number (TIN). Once the TIN is issued, another SMS will be sent to inform the taxpayer that their business has been registered.

Step 4: Print Certificates

After receiving the second SMS, confirming that RDB has validated the business registration application and RRA has issued a TIN, the taxpayer must log back in to the RDB Business Registration system. Once logged in, click on the 'Certificates' option on the left-hand side. Two certificates must be printed and kept securely. Firstly, choose the 'Certificate Type' that matches the application type, for example, 'Domestic' if the business type that was registered was a domestic company. Once selected, download and print this certificate.

Step 5: Register, declare, and pay all required taxes

The taxpayer is automatically registered for Income Tax. Visit RRA offices to register for any additional required taxes, including visiting LGT tax centers immediately to register for Trading Licence Tax and Public Cleaning Service Fees.

Requirements for registering legal forms of business

Legal Form of Business	Requirements
Sole Proprietorship	• National ID number. By filling in the national ID number, the personal details are automatically filled in the system. • Contact details. of the sole trader or of an authorized representative. • Email account. of the sole trader or of an authorized representative
Partnership	• Notarized copy of the registration certificate · • Notarized copy of Articles of Association · • Notarized Shareholders' resolution stating name, scope of business • Copy of the partnership deed

Joint Stock Companies	• Notarized copy of the registration certificate. • Notarized copy of Articles of Association. • Notarized Shareholders' resolution stating name, scope of business, management, and shareholding details of the new company
Cooperatives	• Copy of bylaws and Internal regulations. • Define its domain of activity and objectives; • To have the required number of founder members • A copy of the minutes for meetings • To have a certificate issued by the Sector in which it will operate, indicating that the cooperative meets the requirements

Application activity 5.5



Read the scenario provided below and use it to answer the questions that follow:

Suppose during the holidays, the social affairs officer at the Sector requests you to assist community members in forming and registering their cooperative business.

Question:

If you are to assist the above community members, prepare a detailed description of cooperative business formation and registration that you would submit to the social affairs.

5.6 Benefits of Registering and Consequences of Not Registering a Business

Learning Activity 5.6



Using your experience from operating business activities or from other people operating businesses in your community, or from the numerous sensitization campaigns about registering business activities, describe:

- a) Why is it important for owners to register their businesses?
- b) What are the consequences of business owners not registering their businesses?

a) Benefits of registering a business

- It enables the business to acquire a trade licence and a permit to commence its activities
- After registration, a business will be entitled to protection by the country's business legal framework
- Obtaining licences and permits
- It helps a business to protect its brand: Trademarks are patented.
- It safeguards the business name.
- The business has guaranteed continuity as a result of registration
- The business is officially recognised.
- It avoids fines and penalties from the government.

b) Consequences of not registering a business

- Being fined due to not paying taxes by the government
- Suspension of operations. The government may close down such a business
- Inability to issue official documents, invoices to suppliers and other partners.
- Operating outside official system stipulated by the government
- Limitation to financial services. It's hard to access funds from financial institutions for investment.

Application activity 5.6



Many small business owners in Rwanda do not want to register their businesses saying if they register they will be required to pay a lot of taxes, and that registering is for big businesses with a lot of money.

- a) Is this statement true, or false? Support your response
- b) Encourage small business owners to register their businesses by describing the benefits of registering.



5.7.1 Assessment Questions

A) Knowledge and Understanding

1. a) Explain the meaning of laws and business laws.
b) Discuss the importance of laws in business operations.
2. a) Identify different forms of business ownership.
b) Outline the steps required to register a business and state two benefits of registering a business.

B) Skills

3. a) A trader in your community is operating without following business laws.
b) Explain why it is important for the trader to comply with legal requirements and suggest actions they should take.
4. a) Identify at least two legal institutions related to business in Rwanda.
b) Explain the role each institution plays in supporting business operations.

C) Values and Attitudes

5. a) Explain why it is important for entrepreneurs to follow legal procedures when starting and operating a business.
b) Describe how you would encourage others in your community to register their businesses.
6. a) Discuss the consequences of not registering a business.
b) Explain how adopting legal business practices reflects good values and responsibility in society

5.7.2 Project Activity:

In reference to the content studied, knowledge, skills and attitudes acquired, choose one of the following legal forms of business ownership and prepare a detailed report on how it is registered.

- A sole proprietorship
- A domestic company
- A partnership
- A cooperative

1. Context

Running a business without understanding the legal framework can expose you to serious risks such as penalties, contract issues, fraud, and limited credibility. Every business operates under specific laws and is supported by legal institutions that protect owners, customers, and the wider community. Knowing these laws helps you make informed decisions, avoid disputes, and strengthen your business. In this project, you will explore business laws and institutions that apply to your own business or one you plan to start.

2. Challenge

Create a guide that identifies key business laws and legal institutions to protect your business, its customers, and the community while supporting its success.

3. Task

- Research the laws and legal institutions that relate to your personal business or one you intend to start.
- Complete the Business Law Template with details such as business name, location, category, applicable laws, and related institutions.
- Explain the benefits of applying these laws for the business owner, customers, and community.
- Submit a complete guide showing your findings and insights.

4. Instructions:

- Use a real or planned business idea as the focus of your research.
- Complete the project within two weeks.
- Include all sections in the Business Law Template.
- Research must use credible sources (internet, books, legal documents).
- Work individually or in small groups, ensuring your findings are your own.

5. Guiding Questions

- Which laws directly affect the operation of your business?
- What legal institutions oversee or support businesses like yours?
- How can these laws protect you, your customers, and your community?
- What benefits does complying with business laws bring to your business?
- How can you apply these laws to ensure your business operates safely and successfully?

Annex: Template Used to Relate a Business Idea with Business Laws in Rwanda

Project Title: _____

Student's Name: _____ Grade Level: _____

Combination: _____ Date: —/—/—

Brief description of the business idea: _____

Name of the Business: _____

Legal Form of the Business: _____

Business Category: _____

Business Location and Contacts:

Province: _____ District: _____ Sector: _____

Cell: _____ Village: _____

Phone: _____ Email: _____

Case(s) as challenge(s)	Laws to be applied to handle the case and state why	Legal institutions involved in handling the case and their roles	Benefits to the owner and community when the case is well handled

UNIT 6

ROLE OF STANDARDS IN BUSINESS



Key Unit Competence:

You should be able to apply standards requirements in business operations to acquire certification marks

Learning objectives

At the end of this unit, you should be able to:

1 Knowledge and understanding

- Explain the meaning of compliant and non-compliant or substandard product or service
- Identify the importance of standards to consumers, government, society, and Industry.
- Describe the standard development process
- Explain how technical experts from business can be engaged in the standards development process
- Explain the importance of participation in standards development by business people

2 Skills

- Evaluate the importance of standardisation in business
- Use national standards to assess business practices and identify sub-standard products.
- Contribute to the process of standard development at relevant steps as a stakeholder from business.

3 Attitudes and values

- Appreciate the importance of standards for business, consumers, and the government
- Demonstrate responsibility in promoting compliant products and services
- Show concerns for substandard products.
- Value participation and collaboration in standards development
- Make informed purchasing decisions.

6.0 Introduction

Standards play an important role in ensuring that products and services meet required levels of quality, safety, and reliability. Businesses are expected to follow established standards so that their products can be trusted by consumers and accepted in the market. Applying standards correctly also helps businesses obtain certification marks, which show that their products and services meet standards requirements.

In this unit, learners will study the meaning of compliant and non-compliant (substandard) products and services, and examine the importance of standards to consumers, government, society, and industry. They will also learn about the standard development process and how business experts participate in developing standards. This knowledge will help learners understand how standards support quality, fair trade, and business success, and prepare them to apply standards in business operations to acquire certification marks.

Introductory activity



Analyze the pictures shown below and use your analytical observation to answer the questions that follow:



Questions:

- What do you see in Figure A?
- Suppose you had bought the fruits in Figure A, which quality aspects are in danger?
- Explain why you would not buy the fruits and vegetables indicated in Figure A.
- Where can you report the business person who sells such products illustrated in figure A ?
- Do you think it is important to check for the S-mark stamped on the product label as per figure B? If yes, why?
- Using both the illustrations provided and experience, explain the role of standards in Business.
- In your own words, explain the meaning of compliant and non-compliant products.

6.1. Standards, Compliant and Non-Compliant or Substandard Product or Service

Learning Activity 6.1



Observe the illustration below and read the accompanying story. Then answer the questions that follow, using information from both the image and the text to support your answers.:



In one of the villages, there are several industries that are engaged in the production of various products such as soaps, juice, and bread. At first, many of their products were non-compliant and had problems such as poor packaging, others did not last long, and some did not meet customer expectations.

As a result, customers began to lose trust and stopped buying from them. The concerned entrepreneurs have organized themselves into cooperatives of producers and decided to improve their products. For them to succeed, they sought technical support from the Rwanda Standards Board. Among the things they included in the request letter is to help them understand the requirements of standards relevant to their products and assist them in fulfilling those requirements. Now, the concerned team of RSB has been authorized to facilitate the training and coaching to them. After applying good manufacturing practices, their products improved in quality and were able to receive the certification mark (S-mark). Customers regained confidence and started buying their products again.

However, a few producers who did not follow the guidelines continued to produce low-quality goods, which were rejected by customers.

Questions:

1. What problems did the producers face before receiving support from Rwanda Standards Board?
2. How would you explain in the simplest way the meaning of?
 - i. Compliant products
 - ii. Non-compliant or substandard products.

3. What happens to the business if products are substandard?
4. How can manufacturers make compliant products?
5. What lesson can you learn from the producers who did not follow good manufacturing practices?
6. Why do customers prefer certified products?

Meaning of Standards, Compliant and Non-Compliant or Sub-Standard Products or Services

Standards in business Agreed rules or specifications to ensure quality, safety, and consistency. . These standards are often set by recognized bodies such as the Rwanda Standards Board.

Compliant products

These are products that meet all the requirements set in the national, regional or international standards governing them. If these products have undergone the certification process, they bear a Standardisation Mark (S-Mark), used for their identification on the market.

Non-compliant or sub-standard product

These are products that do not meet the standards requirements. They may be unsafe, poorly made, or fail to perform as expected.

Application activity 6.1



Answer the following questions

1. What is a compliant product?
2. What is a non-compliant (sub-standard) product?
3. Why are compliant products important for consumers?
4. What might happen if people use sub-standard products?
5. Imagine you are buying a bottled mango juice. What would you check to know if it is compliant?

6.2 Importance of Standards to Consumers, Government, Industry, and Society

Learning Activity 6.2



Scene in my village

Joseph: I noticed some producers in my village have many customers, while others hardly sell their products. I wonder why.

Anna: I think it's because some products are safe and well-made. I feel confident buying them, and I see other people do so.

Habimana: Exactly. Producers who follow the standards make good-quality and safe products. Customers trust them, so their sales grow.

Sara: But what about those who don't follow the rules?

Mr. Habimana: Some producers make unsafe products. The regulatory bodies investigated them, showed which standard requirements were violated, and in some cases, their businesses were closed until they could meet the standard requirements.

Joseph: Wow... that means following the standards is really important, not just for customers, but to keep a business running.

Anna: Yes, I always prefer products that meet standards because I know they are safe and reliable.

Sara: And it benefits the whole community. Safe products mean healthier people and trust in local businesses.

Joseph: Now I understand... following the standards helps my business grow, protects customers and keeps the community safe.

All (smiling): Standards help everyone!

Questions:

1. Why do some producers have more customers than others?
2. What happened to producers who made unsafe products?
3. Identify the importance of standards highlighted in the dialogue in relation to:
 - i. Government
 - ii. Society
 - iii. Customers
 - iv. Industry
4. Apart from the importance of standards highlighted in part (b) above, which other ways you find standards useful to:
 - i. Government
 - ii. Society
 - iii. Customers
 - iv. Industry

6.2.1.Importance of Standards to the Government

- **Public Safety:** Protects citizens from poisonous food or dangerous electronics.
- **Environmental Protection:** Sets limits on factory pollution and waste.
- **International Trade:** Makes Rwandan products “speak the same language” as products in Europe or the EAC, allowing for easier exports.
- The use of International Standards facilitates international trade and meets obligations of governments under the World Trade Organization (WTO) Technical Barrier to Trade (TBT) Agreement
- Standards can contribute to making the procurement process more transparent. It also allows governments to promote public policy objectives,
- Standards can be a powerful tool towards sustainable development

6.2.2 Importance of Standards to the Consumer

Consumers expect that services and products produced will be of consistent quality, durability, and ease to use. Therefore, these are some of the ways standards are important to consumers:

Right to Safety: Ensures the bread you eat won't make you sick.

Right to Information: Labels tell you exactly what is inside the package.

Value for Money: You know that \$1\text{ kg}\$ of sugar is exactly \$1,000\text{ g}\$.

- Standards contribute a lot to the execution of consumer rights, especially the right to safety and to be informed.
- Help consumers to know the product's information through labelling, where basic information and the address of the producer are indicated. In case of the side effects of consuming the product, the consumer can take the company to court.
- Help the consumers to know the names of the ingredients of a given product and decide whether to consume it or not.
- Consumers are protected from dangerous and harmful products.
- Compatibility with other products, easier availability of spare parts
- Standards guide customers on how to plan for the purchased products. The expiry date included on the label helps a lot.
- Standards help customers to be safer and healthier since their execution helps in the production of more environmentally sound products.

6.2.3 Importance of Standards to the Industry

Industries are producers of goods and service providers, and hence, form the core pillar upon which standardisation focuses. Standards, therefore, are a key factor that industries cherish heavily. Below is the importance of standards to the industry:

Market Access: Without an S-Mark, many supermarkets in Rwanda will not stock your product.

Reduced Waste: Following a standard “recipe” means fewer mistakes and fewer rejected products.

Competitive Advantage: A certified product is trusted more than an uncertified one.

- When a product follows standards, its quality is improved, and this promotes easier access to export markets
- Compliance with standards may be one means to meet the requirements of regulations
- Knowing and understanding standards is important for the strategic planning of a company
- Knowing which standards are under development allows companies to adapt products early, have a business advantage, and to save money
- Standards are used to identify acceptance criteria used in contracting with suppliers, customers, and other business partners
- Support for production in multiple sites
- Easier access to export markets
- Cost savings by reducing the number of defective products

6.2.4 Importance of Standards to the Society

Standards offer the following advantages to society:

Economic Growth: Reliable products lead to more successful businesses and more jobs.

Sustainability: Standards for recycling and energy use protect Rwanda’s natural beauty for future generations.

- Standards protect the natural environment from being degraded by the activities of some entrepreneurs for example, industrialization, use of chemicals in agriculture, inappropriate waste disposal etc.
- Promote improved health and safety
- Enhanced product quality and reliability at a reasonable price.
- Greater compatibility and interoperability of goods and services in society.
- Standards provide confidence in products and services to the users.

Application activity 6.2



A) True or False (Quick Check)

1. Standards help governments achieve safety and environmental protection goals. (True/False)
2. Standards do not affect consumers’ safety. (True/False)
3. Industries can use standards to reduce production costs. (True/False)
4. Standards can help protect the environment. (True/False)
5. Standards make products less compatible with each other. (True/False)

B) Open questions

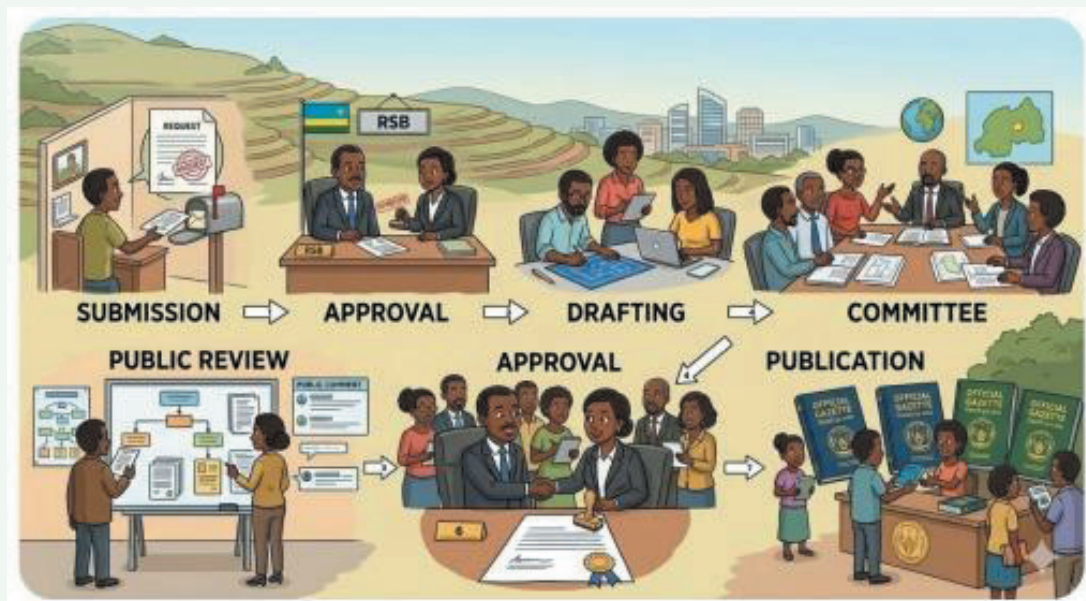
1. State two ways standards are important to the government.
2. How do standards help protect consumers?
3. A company wants to export its products to another country. How can standards help it succeed?
4. You are buying packaged juice. How do standards help you decide whether to buy it or not?
5. Explain how standards improve product quality in industries. Why is it important for industries to follow standards even if it increases costs?

6.3. Standard Development Process in Rwanda

Learning Activity 6.3



Suppose you are manufacturing a new product for which there is no standard available currently. Observe the figure below, which summarizes the process of standards development, and answer the questions that follow:



Questions:

1. Who do you think is giving the request at the beginning?
2. What do you think the people checking the request are looking for?
3. Why are some people writing and working on documents together?
4. Why are many people sitting around a table discussing the document?
5. Why are other people looking at the draft after the committee has been allowed to give their opinions?

6. What is the meaning of the stamp shown in the picture?
7. Where is the approved standard published to become a national document?
8. Briefly explain, in your own words, the process of standards development.

The process of standards development generally comprises major steps, which include the following:

a) Receiving the request from stakeholders to develop a Rwanda standard

The stakeholder sends the request to RSB for standard development, indicating its scope and purpose. If the Standards is available, the client gets informed; otherwise, the next steps in standards development are followed.

b) Review and approval of the request: the need assessment regarding the relevance of that standard is undertaken. In case the assessment reveals that the standard is relevant, the journey for standard development is undertaken following the steps below:

c) Collection of reference materials and drafting: At this stage, the required reference materials are gathered, including those which might be provided by the stakeholder. Once they are all ready, the drafting team sits together to come up with the initial draft.

d) Discussion of the draft standard by the relevant Technical Committee (TC) members: TC consists of experts representing producers, distributors, consumers, regulatory bodies and academia, among others. They participate in the technical committee meeting to deliberate on the content of the draft standard. Once all the inputs are incorporated into the draft, it moves to the public review stage.

e) Public Review: Constructive feedback is received from the public. These also include the entrepreneurs who did not participate in the discussion at the drafting stage and committee stage. If technical comments are received, they are forwarded to the TC for consideration, and the final draft standard is submitted for approval.

f) Approval: The final draft standard is approved by the RSB Board of Directors.

g) Publication: the approved Rwanda Standard is published in the Official Gazette for implementation by concerned stakeholders.

Application activity 6.3



1. Arrange the following steps in the correct order:
 - a) Public review
 - b) Approval
 - c) Request submission
 - d) Drafting
 - e) Publication
 - f) Technical Committee discussion

2. Imagine you are an entrepreneur who needs a new standard for your product. What is the first step you would take?
3. Which institution receives and manages the request for standard development?
4. Why is it important to assess the need for a standard before developing it?
5. Why is it important for different stakeholders (producers, consumers, regulators) to be involved in developing standards?

6.4 Participation of Entrepreneurs in Standards Development

The standard development process is coordinated by Rwanda Standards Board at national level. In this process, participation of entrepreneurs is paramount to ensure that standards are realistic, market-oriented and applicable to business operations. Their participation is expressed as follows:

- a) They can initiate the development of a standard by submitting requests based on market needs, challenges, or gaps identified in their business sectors.
- b) They may be consulted to provide additional justification or evidence supporting the need for the proposed standard.
- c) They can be nominated as members of Technical Committees, where they contribute their technical knowledge and practical business experience during drafting stage and deliberations in the technical committee meeting.
- d) They participate by reviewing draft standards circulated for public comments and submitting feedback, suggestions or concerns.
- e) Entrepreneurs can be actively engaged in the revision of a standard by providing feedback based on their practical experience in implementing existing standards. Their input helps identify gaps, emerging market needs and implementation challenges. This ensures that the revised standard remains responsive to current business realities.



Figure 6.4 Process of National Standard Development

6.4.2 Importance of participation in standards development

Learning Activity 6.4



Read the Scenario and answer the questions below:

Imagine a small business that produces maize flour in your community. The business makes a coarse maize flour which is preferred by many local customers. One day, a new standard for maize flour is introduced. The standard defines requirements for premium refined flour and standard flour, including limits on moisture content, particle size and packaging.

However, it does not include any requirements for coarse maize flour. The small business did not participate in the development of this standard. Because of this, they did not get a chance to explain that many people rely on their affordable coarse flour. When the standard was released, their product did not fit into any of the recognized categories. This meant they could not prove compliance with the standard. As a result, retailers stopped buying their flour and the business began to lose income. Later, the business realized that if they had participated in the standards development process, they could have suggested including a category for coarse maize flour with suitable requirements.

Questions:

1. What type of product did the business produce?
2. What was missing in the new standard?
3. How did this affect the business?
4. How could participation have helped the business?
5. Why is it important for businesses to take part in standards development?

Participation in standards development means taking part in creating or improving specifications and the rules that guide how products are made and services are provided. The involvement of entrepreneurs is very important for the following reasons:

a) It helps set realistic quality requirements

When entrepreneurs participate in standard development, they help make sure the standards are practical and can be applied in real business situations. Standards that reflect business realities make it easier for products to enter different markets, including export markets.

Example: Small-scale farmers advise on grading and storage methods that they can actually implement. This ensures fruits meet export standards and reach foreign markets without spoilage.

b) It allows businesses to express their needs and challenges

Businesses can share the real problems they face and suggest solutions, so the standards reflect real market conditions.

Example: A small bakery explains that certain packaging requirements are too expensive, leading to adjustments that are affordable for small businesses.

c) It helps improve product quality

During Technical Committee (TC) meetings, entrepreneurs get a chance to clearly understand standard requirements. This helps them adjust how they produce goods to improve the quality and meet the market needs. Example: A milk processor learns proper hygiene requirements and improves cleanliness in milk handling to produce safer dairy products.

d) It promotes innovation

Participation encourages new ideas and better ways of producing goods and services provision.

Example: A soap manufacturer introduces a new eco-friendly ingredient during discussions, which becomes part of the improved standard.

e) It reduces production costs: Clear and practical standards help businesses avoid mistakes, reduce waste and save money during production. Example: A soap manufacturer follows the correct ratio of ingredients to prevent failed batches, reduce wasted raw materials, and lower production costs.

Application activity 6.4



A group of local entrepreneurs, including a farmer, a baker and a soap maker, are invited to attend a meeting where new standards for their products are being developed. During the meeting, they share their experiences, challenges and ideas on how to improve their products and make them suitable for both local and international markets.

Questions:

1. Explain how participation in standards development can improve product quality.
2. How can participating in standards development help reduce production costs?
3. In what way can participation in standards development promote innovation among entrepreneurs?

6.4. End of unit assessment



6.4.1 Questions for assessment

A) Knowledge & Understanding

Multiple choice questions

Choose the correct answer.

1. A compliant product is one that:
 - a) Is cheap
 - b) Meets standards requirements
 - c) Is imported
 - d) Is popular
2. Non-compliant products are usually:
 - a) Safe
 - b) High quality
 - c) Poorly made
 - d) Certified
3. Which institution is responsible for standards development in Rwanda?
 - a) Ministry of Trade
 - b) Rwanda Revenue Authority
 - c) Rwanda Standards Board
 - d) District Office
4. Standards help industries to:
 - a) Increase waste
 - b) Reduce product quality
 - c) Access export markets
 - d) Avoid customers
5. Standards help consumers to:
 - a) Buy blindly
 - b) Be informed
 - c) Avoid labels
 - d) Ignore quality

Short answer questions

1. Define:
 - a) compliant product
 - b) non-compliant product

2. Mention two benefits of standards to industries.
3. You are buying bottled juice:
 - a) What would you check to ensure it is compliant?
 - b) Why is this important?
4. What could happen if people use sub-standard products?
5. Briefly explain the process of standards development.
6. Why is it important for entrepreneurs to participate in standards development?

B) Skills

Read the scenario and answer the questions:

A group of soap producers was losing customers because their products were of poor quality. After receiving training on standards from the Rwanda Standards Board, they improved their production and obtained the S-Mark. Customers started trusting them again.

Questions:

1. What problem did the producers face at first?
2. How did standards help improve their business?
3. What lesson can other businesses learn from this scenario?

C) Attitude and values:

1. What would you do if your business could make more profit by ignoring standards?
2. Why should people care about the quality and safety of products they use?
3. Would you buy a cheaper product if you knew it did not meet standard requirements?
4. Why or why not?

6.4.2 Project Activity:

Role play: The role of standards in business

Your task is to prepare and organize a role play that demonstrates the difference between compliant and non-compliant (substandard) products or services. Your role play should show real-life scenarios where businesses, consumers and society are affected by the quality of products, highlighting both the problems caused by substandard goods and the benefits of products that meet standard requirements.

You will bring tangible products to the role play as examples of compliant products and examples of non-compliant or substandard products.

You will use these products in your performance to explain how to recognize quality, how standards help businesses and consumers and why participation in standards development is important for businesses. The role play should be creative, engaging and easy for your school to understand using acting, demonstrations or role-playing.

Your will submit:

1. A short description of the scenario you will act out.
2. A list of the tangible products you will use.
3. A reflection on what you learned about the importance of standards, quality and responsible business practices.

UNIT 7

BUSINESS MANAGEMENT



Key Unit Competence:

You should be able to create an organizational structure for the business enterprise

Learning objectives

At the end of this unit, you should be able to:

Knowledge and understanding

1

- Explain the meaning of business, management, and business management
- Explain the importance of management in a business organization
- Describe the managerial functions in a business organization
- Identify the categories of people to work with in the business organization
- Explain the meaning of an organizational structure/ chart
- Identify the various departments and their roles in a business organization

Skills

2

- Analyze various managerial functions
- Construct an organizational chart
- Explore business management tools using computers

Attitudes and values

3

- Acknowledge the role of an organizational structure in one's decision-making.
- Advocate for working with the right people in the right place
- Appreciate the factors considered while choosing the right people to work with.

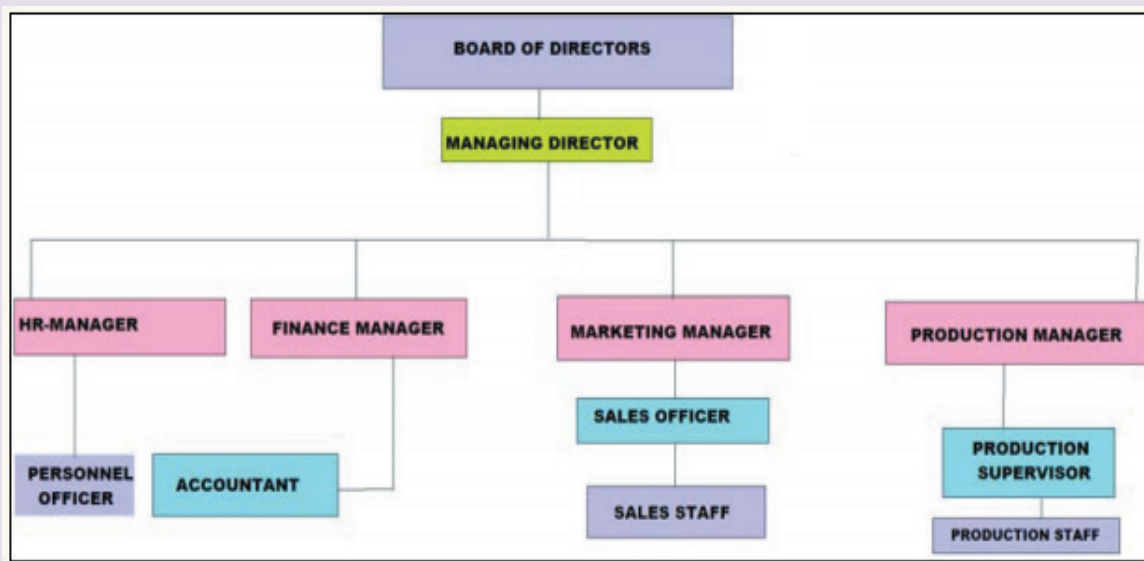
7.0 Introduction

Business enterprises are managed by various teams. Regardless of the size and legal form of business ownership, sound management must be in place for all operations to be executed effectively. This ensures achievement of the organization's mission, vision, and goals. Business management is not a new concept; there are some related concepts that you already covered at the ordinary level, such as business growth. This prior knowledge and the knowledge you will acquire from this unit enable you to create an organisational structure for a business enterprise.

Introductory activity



Study the illustration shown below and use them to answer the questions that follow:



Questions:

- Name the figure A' above, and what key role does it play in business?
- What do you think business management means?
- Why is it important to manage the business?
- Why do you think it's important to recruit qualified workers in business? Give any two factors you can consider to recruit them.

7.1 Meaning of Concepts and Importance of Business Management

Learning Activity 7.1



Study the illustration shown above and use it to find solutions to the questions thereafter:

- Using the SBC experience and the above illustration, create a short story you would share with the rest of the class members. Start with "In our Students' Business club...."

- b) What is the difference between business, management, and business management?
- c) Why do some companies succeed and others fail? Explain your answers in reference to business management.

Business is the buying and selling of goods or services in exchange for money, primarily to make **profits**

Management means the process of dealing with or controlling things or people in a given setting. It involves the coordination and administration of tasks to achieve a given goal.

Management in business The process of dealing with or controlling things or people. It involves the coordination and administration of tasks to achieve a goal.

Business management refers to the process that involves various methods and techniques used to run and operate a business or organization. This involves planning, organising, staffing, directing, and controlling varying activities and resources of a business, to achieving its goals and objectives.

Business organization: an entity formed for the purpose of carrying on commercial activity.

7.1.2 Importance of Business Management

Below is a detailed explanation of the importance of business management:

- **Builds commitment among employees:** Strong management styles that support and listen to staff create a sense of ownership, increasing output.
- **Conflict Resolution:** Management handles internal and external conflicts with urgency, strengthening teamwork.
- **Strategic roadmap:** Good management reflects a clear pathway for the business or organization. All the personnel get to know and align on the organizational roadmap.
- **Streamlined Communication:** It ensures communication channels are effective and efficient.
- **Reputation Management:** Good management defends the public image of the business, which provides a commercial advantage.
- **Designing a workable organizational structure.** Good management analyzes the goals of the enterprise and the human resources, as well as the physical resources. This ensures that there is a proper and effective structure that is put in place, which is able to make it possible for the enterprise's objectives and goals to be achieved.
- **Effective Resource Use:** It ensures that ideas are integrated with physical resources; otherwise, ideas remain unachieved dreams.

Application activity 7.1



Analyze the illustrations given below and use them to answer the questions that follow:



Figure 7.1 *Contrasting Management Styles: Harsh and Disrespectful Communication vs. Respectful and Supportive Leadership in the Workplace.*

Questions:

- Which activity is taking place in the two figures shown under 7.1 above?
- What is happening in the two figures?
- Suppose you are given a chance to work in one of the above enterprises, which one would you join, and why?
- Use the above figures to explain to someone the importance of business management.

7.2 Managerial Functions

Learning Activity 7.2



Read the scenario provided below and use it to answer the questions that follow:

The students' business club has management that helps the club to achieve its predetermined objectives and goals. Without it, the SBC's activities would be at a standstill. Your students' business club operations have resulted in the easy accomplishment of goals and objectives because of good leadership.

Using the SBC experience you have attained, list at least five functions exercised by your SBC management. Discuss your findings in the group. Take note of the key points.

In every enterprise, there is a team that forms management and takes leadership roles at various levels. There is;

- the Managing Director,
- Human resource manager,
- Finance manager,
- Production manager,
- and a big group of employees.

For the employees to deliver and enable the enterprise to achieve its goals and objectives, there must be functional management. Below are the key managerial functions:

1. **Planning:** This enables the manager to set objectives and goals of a business and determine how they will be achieved for the success of the business.
2. **Organization:** This involves the development of a framework where total work is divided into manageable components to facilitate the achievement of the set objectives and goals.–
3. **Staffing:** The manager ensures that the business has the right number and quality of people who can do what is required of them.
4. **Directing (leading):** It may be defined as the process of activating the efforts of employees toward the achievement of organizational objectives. It involves the implementation of plans by mobilizing individuals and group efforts through motivation, communication, leadership, and supervision.
5. **Coordinating:** The manager coordinates different workers and different departments of the business so that they work in harmony.
6. **Controlling:** The manager measures and evaluates the work that other workers do to make sure that they are doing the right thing.
7. **Budgeting:** It's the function of the manager to budget for the business as a whole or for specific departments to know what resources are required and where the resources are to be used.
8. **Motivating:** Managers should inspire and encourage their workers by showing appreciation for the work well done, allowing them to participate in decision-making processes, paying their salaries regularly, and giving them incentives, bonuses, and benefits.
9. **Communicating:** It's the function of the manager to pass on information regarding responsibilities, targets to achieve, suppliers, customers, laws, and regulations in the business organization.

Application activity 7.2



Read the following questions and answer by choosing the most suitable choice

1. Which of the following is not a function of management?
 - A) Planning
 - B) Staffing
 - C) Co-operation
 - D) Controlling
2. The functions of a manager include
 - A) Planning, organising, staffing, leading, and controlling
 - B) Designing and operating
 - C) Planning, organizing, staffing, procuring, and reviewing
 - D) Forecasting, designing, planning, organizing, and controlling
3. Which of the following is not an element of the management process?
 - A) Leading
 - B) Planning
 - C) Pricing
 - D) Staffing
4. Which of the following is not part of management?
 - A) Planning
 - B) Staffing
 - C) Budgeting
 - D) Communication
5. Management is concerned with
 - A) Legislative functions
 - B) Administrative functions
 - C) Executive functions
 - D) All of the above
6. The fundamental components of management do not include:
 - A) Planning
 - B) Organisation
 - C) Motivation
 - D) Budgeting

7.3 Stakeholders in Business

Learning Activity 7.3

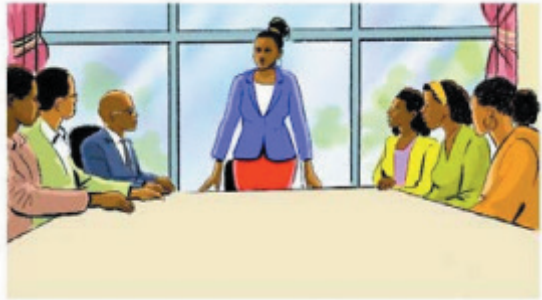
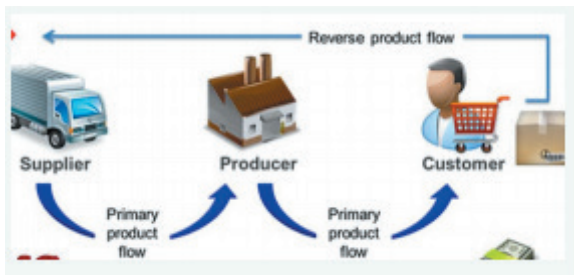


There are many business ventures in and around your school. Either use your school or a nearby community, look at one of the businesses, and identify the key stakeholders or people associated with it.

Use the findings to compile a short report to be shared with the rest of the groups in your class.

A stakeholder is any individual, group, or organisation that has an interest in or is affected by the activities of a business.



Stakeholder	Description	Pictorial Reference
Owner	These are the entrepreneurs who start the venture. They own the assets and liabilities, organise operations, and provide the initial capital.	
Employees	The human resources of the company. They are engaged in the daily production of goods and delivery of services.	
Customers	These are the clients who buy the goods and services. Without them, the business cannot make a profit.	
Community	The people living in the area surrounding the business. Maintaining harmony with the community is essential for long-term success.	
Suppliers	They provide the necessary inputs, such as raw materials or tools, needed for the business to operate.	

Government

- These are various government agencies that are directly connected to the business operations. Such as the Rwanda Standards Board, Rwanda Food and Drug Authority (FDA),
- Rwanda Revenue Authority (RRA)
- Collects taxes from enterprises and workers (income tax).
- Enforces labor and commercial laws



Shareholders

- These are individuals who have shares in a given enterprise or company.
- The more shares they have, the more the power of decision making



Application activity 7.3



Read the case study below and use it to find solutions to the questions thereafter:

M/s Amahirwe has a big sugar producing company operating in one of the cities in Rwanda. Mugisha sells sugarcanes to the company which is used to produce sugar. Mahoro has a wholesale shop near Kigali. She buys 100 bags of sugar from M/s Amahirwe company and sells them to most

retail traders, among them Umwiza. For Mahoro to start her business, she borrowed money from a microfinance company called Tuterimbere. Recently, she was awarded because of paying well and timely taxes. All these business owners have many consumers who stay near the business premises.

Questions:

- a) Identify the different stakeholders mentioned in the case study.
- b) Suppose you are the Manager of M/s Amahirwe, explain the role of the **Supplier** (Mugisha), the **Wholesaler** (Mahoro), and the **Lender** (Tuterimbere) in your operations

7.4 Factors Considered in Choosing People to Work with.

Learning Activity 7.4



You intend to operate a restaurant in your home area.

Explain the factors you would consider when recruiting employees in your business

There are several factors that entrepreneurs consider while choosing people to work with in a business organization.

Qualifications: The level of education and technical skills required for the specific job.

Experience: Previous work in a similar field, which often reduces the need for extensive training.

Cost: The ability of the business to afford the **salary, pension contributions**, and other benefits.

Honesty and Integrity: Crucial for building trust, especially for roles involving finance or inventory.

Communication Skills: The ability to speak relevant languages (e.g., Kinyarwanda, English, or French) to serve customers effectively.

Age: Ensuring the candidate meets the legal working age requirements in Rwanda and has the physical or mental maturity for the role.

Vision Alignment: Ensuring the person's long-term goals match the **organisation's** mission.

Language and communication skills: Employees who can use more than one language and have good communication skills tend to be preferred.

Other business interests: It is always better to have an employee whose other businesses do not conflict with the business.

Experience in business: People with experience are better than those without any experience.

Application activity 7.4



Suppose during the holiday, you are contacted by the cooperative society dealing in rice processing, and they ask you to guide them on recruiting two new employees.

1. Show how you would guide them to recruit the right employees based on different factors.
2. Share your responses with the rest of the team members.

7.5 Organizational Structure

Learning Activity 7.5



In your school, there are student leaders and school leadership. While in our communities, there are local authorities from the sector to the village level. These leadership teams operate under a structure.

Questions:

- Identify one of the groups mentioned above and list the leadership positions being exercised.
- Illustrate the various leadership positions that will represent students' leadership of your school, showing various roles.
- Give a suitable title to your diagram or illustration.

7.5.1 Meaning of Organisational Structure and Chart

An organisational structure: It is a plan that shows roles and flow of information within an organisation. It establishes the reporting relationship between employees within an organisation. It establishes authority, responsibility, and accountability

An organisation chart is the graphical or diagrammatic representation of the organisation's structure. It shows how the flow of command and tasks is distributed across the business.

7.5.2 The purpose of Organizational Structure

The organisational structure/chart plays an indisputable role in ensuring the smooth running of operations. Below is a detailed explanation of how important they are:

Clarifies Reporting Lines: It shows seniority to avoid misunderstandings regarding who reports to whom. It improves communication: Information flows through appropriate, established channels.

Facilitates Job Grading: It assists in categorising employees for remuneration, employment equity, and skills development.

Ensures Best Practice: It reflects the relationship between the different departments ensuring alignment with good corporate governance.

Easy Delegation: It clearly stipulates the line of authority, powers, and responsibilities, enabling effective control, and coordination.

7.5.3 Various Departments and Their Role in a Business Organization

Enterprises or business organizations are composed of various levels or sections known as departments, each executing specific responsibilities as shown below.

a) Finance and Accounting Department

- Preparing budgets, i.e., projecting income and expenses within a given period.
- Managing cash and cheque and issuing receipts for such payments received.
- Keeping all the financial records of the businesses
- Making appropriate payments to suppliers, contractors, employees, and service providers.
- Paying taxes and social security contributions, salaries, wages, rent, etc.

b) Production department

- Planning and designing production facilities and purchasing raw materials and supplies.
- Ensuring that business products meet quality standards. (Link to Unit 6)
- Deciding on the location of the business machinery to ensure high production.
- Deciding on the quantity to be produced, the machines to be used, and the technology to use.
- Human resource department
- Determining the business's human resource needs.
- Recruiting and hiring new employees.
- Developing and administering employee benefits, training, and performance appraisal programs.
- Dealing with government regulations concerning employment practices.
- Counseling and guiding workers.
- Preparing job descriptions and specifications.
- Laying off workers who are no longer needed by the organization.
- Keeping staff records.

c) Marketing and sales department

- Generating demand and identifying new markets.
- Managing advertising and promotional activities.

- Conducting market research to analyse competitors.
- Selling the goods and services of the business to customers.
- Generating demand for the products by identifying new markets.
- Managing and coordinating all marketing, advertising and promotional activities.
- Conducting market research to determine what customers need.
- Studying and analyzing competitors' strengths as a way of developing and selling better products.
- Developing and implementing marketing plans.
- Determining and managing the marketing budget.
- Expanding the market share of the enterprise by attracting new customers and retaining old ones.

d) Procurement department

- Evaluating prices to maximise profitability.
- Ensuring compliance with company policies and government procurement laws.
- Ensuring the quality and safety of acquired materials.
- Evaluating price: A purchasing department is charged with the responsibility of continuously evaluating whether it is receiving materials at the best possible price to maximize profitability.
- Paperwork and accounting: Purchasing departments handle all the paperwork involved with the purchasing and delivery of supplies and materials.
- Policy compliance: The purchasing department must ensure that it is complying with all company policies.
- To procure required services, materials, and equipment while ensuring that quality, safety, and cost-effectiveness are achieved.
- To comply with procurement rules and applicable government laws and regulations as required.
- To solicit the participation of all qualified and responsible contractors and suppliers in the procurement process.

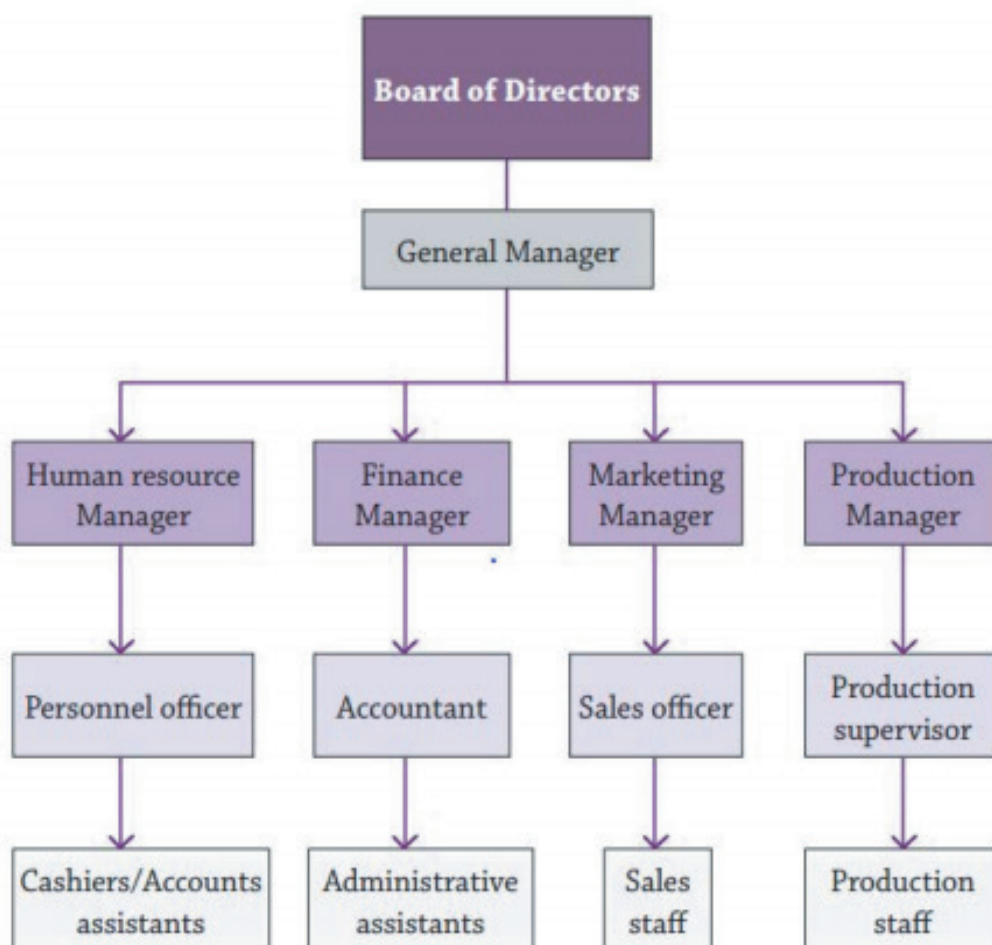
It is worth noting that under each department, there could be sections each fulfilling specific roles.

Department/Managerial Level	Key Sections/ Personnel
Top Management	Board of Directors, Managing Director (MD)
Human Resources	HR Manager, Personnel Officer, Admin Assistant
Finance	Finance Manager, Accountant, Cashier
Marketing	Marketing Manager, Sales Officers, Sales Staff
Production	Production Manager, Supervisors, Production Staff

7.5.4 Organizational Structure/Chart

The nature of the organizational chart diverges from one another, depending on the size and type of the business activities concerned. However, there are key departments that various business organizations have in common regardless of size and operational activities. Below is a sample organizational chart of a medium-sized business organization.

A sample of the organizational chart/structure of a medium-scale business organization



Application activity 7.5



1. In your students' business club, one of the things emphasized is to have a democratically established leadership structure. Identify the key positions of management of your SBC or debate club, or environment club, and design its organization chart/structure.
2. Explain the meaning of an organizational structure and an organizational chart, and describe two purposes of having an organizational structure in a business.
3. Identify any two departments in a business organization and explain their roles in ensuring the smooth operation of the business

7.6.End of unit assessment



7.6.1 Assessment Questions

A) Knowledge and Understanding

1. a) Explain the meaning of business, management, and business management.
b) State the importance of management in a business organization.
2. a) Describe any four managerial functions in a business organization.
b) Identify three departments in a business and explain their roles.

B) Skills

3. a) Analyze how planning, organizing, and controlling are applied in managing a small business.
b) Give practical examples to support your answer.
4. a) Construct a simple organizational chart for a small business (e.g., shop, school, or company).
b) Clearly show the different positions and lines of authority.

C) Attitudes and Values

5. a) Explain why an organizational structure is important in decision-making within a business.
b) Describe how it helps improve efficiency in the workplace.

6. a) Discuss the importance of placing the right people in the right positions in a business.
- d) Explain the factors you would consider when selecting people to work in different departments.

7.6.2 Project Activity:

Using the school setting, identify the various departments engaged in the management of the school. Create an organizational structure of the school and highlight the key responsibilities.

UNIT 8

FINANCIAL MANAGEMENT



Key Unit Competence:

You should be able to conduct an investment appraisal for a personal business idea.

Learning objectives

At the end of this unit, you should be able to:

1 Knowledge and understanding

- Explain the meaning of finance, financial systems, and financial management
- Identify the various sources of capital, their advantages and disadvantages
- Identify the various sources of capital, their advantages and disadvantages
- Explain the meaning and types of interest
- Define Break-Even Point, payback period and return on investment

2 Skills

- Differentiate the various sources of business capital
- Choose the most appropriate source of capital for a business
- Calculate various interest rate
- Appraise investment using different techniques

3 Attitudes and values

- Take precaution when choosing sources of finance for their business activities
- Adopt a culture of saving for capital and future business investment
- Being accountable and responsible for decisions and choices on capital and business investment

8.0 Introduction

Money is at the heart of every business idea. Whether you dream of opening a shop, starting a farm, or launching a service, you need to understand how finance works. This unit will help you discover how to manage money wisely, choose the right sources of capital, and evaluate whether your business idea is worth investing in. By learning these skills, you will be able to turn your ideas into practical plans and avoid costly mistakes that many entrepreneurs face.

Financial management is not just about numbers; it is about making smart choices that shape your future. In this unit, you will explore how businesses raise money, how interest affects borrowing, and how to measure whether an investment will succeed. You will also develop values such as saving, accountability, and responsibility, which are essential for building a sustainable business. Imagine being able to test your idea with real financial tools before spending a single coin; that is the power this unit gives you.

Introductory activity



Scenario: Imagine you want to start a small business for example, a kiosk, a tailoring shop, or a poultry farm.

Task:

1. List at least three possible sources of capital you could use (e.g., personal savings, loans, trade credit).
2. For each source, write down one advantage and one disadvantage.
3. Decide which source of capital would be the best fit for your business idea and explain why.

Think About: How does your choice affect the risks and opportunities for your business?

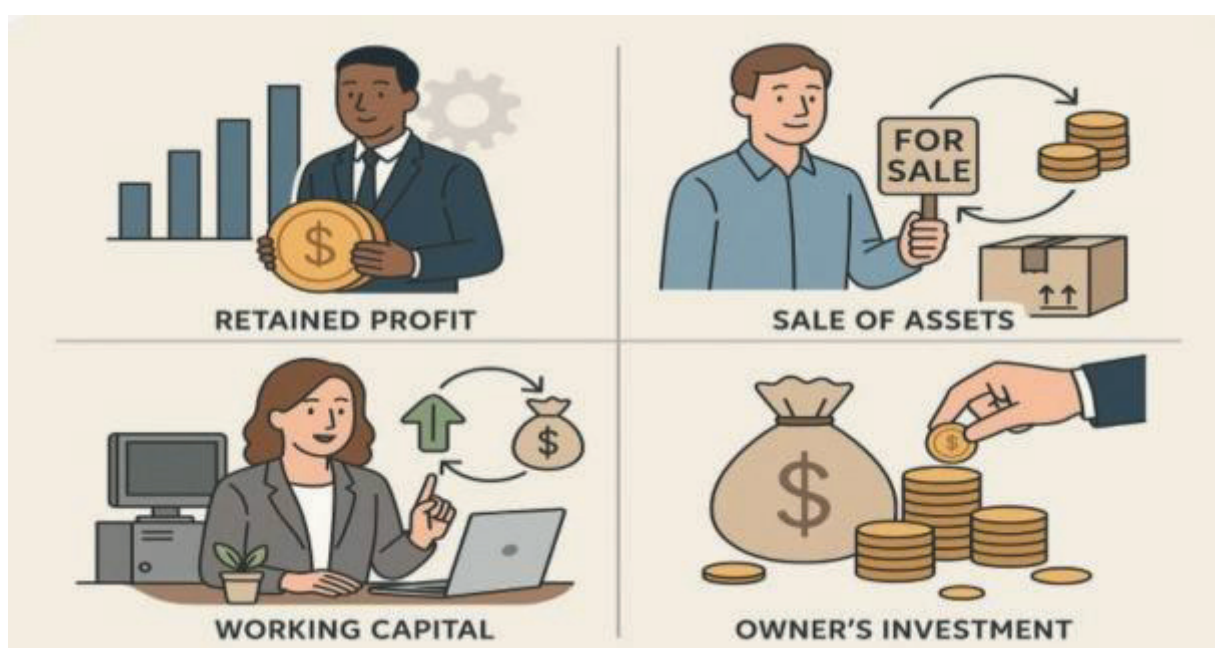


Figure 8.1: Different sources of Capital.

8.1 Meaning of Concepts and Functions of Financial Management

Learning Activity 8.1



Read and complete the sentences below by filling in the correct word from the list provided in brackets (Finance, Money, Financial systems, Banking, Financial management)

- a)is a set of institutions and practices that facilitate and allow for the exchange of funds between borrowers, lenders, and investors.
 - b)is the management of money and it includes activities such as investing, borrowing, lending, budgeting, saving, and forecasting.
 - c)is the process of planning, directing, and controlling the financial activities of a business organization to get maximum benefit from the resources
2. Imagine you are the manager of a small poultry farm. You have borrowed money from a bank to buy chicks and feed. You also need to pay workers and keep records for the people who invested in your farm.

Task:

- a) Write down what finance, financial system, and financial management mean in your own words.
- b) Identify at least three functions of financial management that apply to your poultry farm (for example: ensuring proper use of resources, repaying borrowed funds, keeping accountability to investors).
- c) Explain how each function helps your farm succeed.

Think About: If you were careless with money, what problems could your farm face? How would good financial management protect you from those risks?

8.1.1. Meaning of Finance, Financial systems and Financial management

Finance is defined as the management of money and it includes activities such as investing, borrowing, lending, budgeting, saving, and forecasting. It involves the analysis of financial data, the development of investment strategies, and the management of financial resources to achieve financial objectives.

A financial system is a set of institutions and practices that facilitate and allow for the exchange of funds between borrowers, lenders, and investors. It can be also defined as a combination of people, institutions, businesses, and processes that facilitate financial transactions.

Financial systems can be grouped into:

- Regional financial systems (banks, financial markets and financial services),
- Global financial system (International Monetary Fund, World Bank)
- National financial systems (Central banks, among others)

Financial management refers to the process of planning, directing, and controlling the financial activities of a business organisation to get maximum benefit from the resources.

8.1.2 Functions of Financial Management

- 1. Financial planning and forecasting:** This means making a plan for how money will be used in the future. For example, if you want to start a poultry farm, you estimate how much money you will need for chicks, feed, and workers, and how much income you expect to earn.
- 2. Cash management:** This is about deciding how to use the current cash to pay bills like electricity, debts, or buy stocks. Good cash management ensures you don't run out of money when you need it most.
- 3. Estimating capital expenses:** This means calculating how much money is needed for big items like machines, land, or promotional costs. For example, a tailoring shop needs sewing machines and cloth; estimating these costs helps you know how much capital is required.
- 4. Determining capital structure:** This is about deciding the mix of borrowed money (loans) and personal money (savings or investors) to run your business. For instance, you may use half savings and half bank loan to start a shop.
- 5. Choosing sources of funds:** Here you decide where the money will come from savings, loans, or trade credit. You must weigh the advantages and disadvantages of each source before choosing.
- 6. Procurement of funds to run the business:** After choosing the source, you actually get the money. For example, applying for a loan at the bank or using your savings account.
- 7. Investment of funds:** This means using the money wisely to grow your business. For example, buying quality seeds for farming or investing in stock for your shop. You must calculate risks and expected profits before spending.
- 8. Surplus disposal** When your business makes profit, you decide what to do with it. You can reinvest it to expand your business (like buying more machines) or share it with investors.

Application activity 8.1



Imagine you and your friends want to start a small milk collection and selling business in your community. Farmers bring milk to you, and you sell it to nearby shops and households

Task:

1. Write down how finance, financial system, and financial management would apply to this milk business.
2. Identify at least three functions of financial management that would be important for this business (e.g., financial planning and forecasting, cash management, surplus disposal).
3. Explain how each function would help the milk business succeed.
 - Example: Cash management = deciding whether to use daily sales to buy more containers, pay transport, or save for emergencies.

Suggest one risk the business could face if financial management is ignored

8.2 Sources of Business Capital, Advantages and Disadvantages

Learning Activity 8.2



You need money to start a small Bakery project as a back home business. You have already estimated your capital needs and would like to decide on the source of that capital:

- Mention all various sources of capital that you may choose from
- Give reasons as to why you would choose or reject the sources of capital identified above

8.2.1 Sources of Business Capital

The money you need to start and run a business is called capital. Capital is the lifeblood of all businesses. It is needed to start, operate, and expand a business. Capital comes from several sources: personal savings, loans from financial institutions, trade credit, among others. How much you need and from where you get and the implications of each source are what we want to investigate. The following are some of the sources of business finance.

- Personal savings:** An entrepreneur can begin his business using his/ her own sources of money such as personal income and personal savings.
- Loans/Borrowings:** A loan is an amount of money that's given from one (the lender) person to another person (the borrower) with an expectation of repayment. Many businesses cannot survive without loans. In this case loans either in cash or kind are sources of business capital.
- Suppliers credit/Trade credit:** Some small businesses might have suppliers willing to sell on credit. Such credit may range anywhere from one month to three months. Some people begin their business using goods which have been supplied on credit.

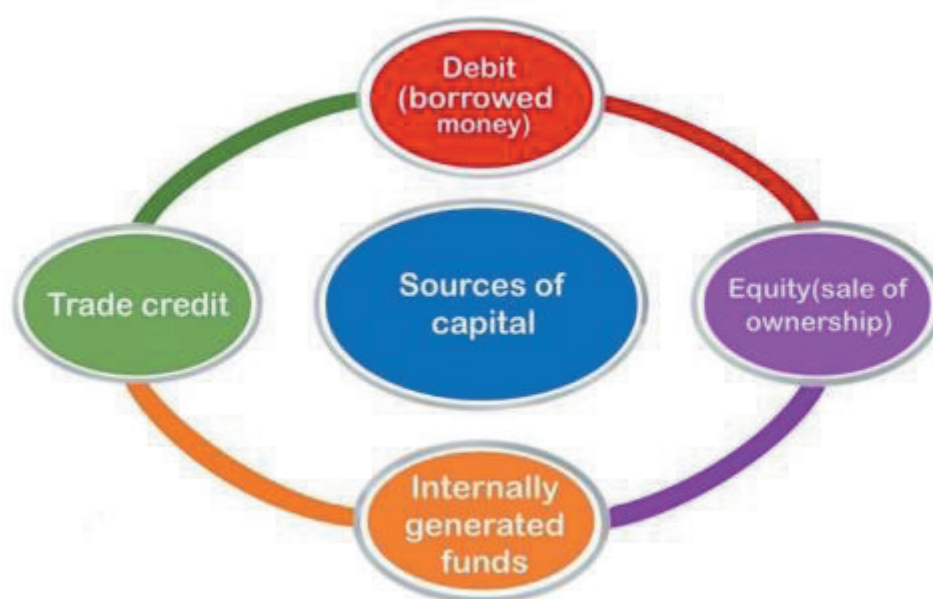


Figure 8.1.1: Sources of business Capital

8.1.2 Advantages and Disadvantages of Sources of Business Capital

Personal Savings:

Personal savings are an important source of startup financing for many entrepreneurs who are just starting out. Using personal savings to finance a startup can be a great way to jumpstart the business and get it off the ground without having to rely on outside investors or lenders. However, this source of finance has several disadvantages to consider before committing to this financing source. The below table shows clearly its advantages and disadvantages you can consider:

Advantages	Disadvantages
Flexibility: You can use your money the way you want, without restrictions from banks or investors.	Limited funds: Most people don't have enough savings to cover all business costs.
Control: You remain the full owner and make all decisions yourself.	Risk of losing savings: If the business fails, all your savings invested are gone.
Low cost: No interest payments or sharing profits with outsiders.	Slow growth: Depending only on savings may limit expansion and opportunities.
Long-term benefits: All profits belong to you, giving freedom to reinvest or manage as you wish.	Reduced borrowing power: Having too much money tied up in the business can make it harder to get loans later.
	Less advice/support: Without investors, you may miss guidance from experienced mentors.

Loans / Borrowings

Loans or borrowings are money that an entrepreneur gets from a bank, micro-finance institution, SACCO, or other lenders to start or grow a business. This money must be **paid back over time with interest**.

Loans are a common source of business finance because they allow entrepreneurs to access more money than their personal savings. However, they also come with responsibilities and risks.

Advantages	Disadvantages
Extra money helps expand the business.	Paying back involves interest and fines if late.
Strengthens the financial base, even for small/new firms.	Money may not be available when needed.
Allows businesses to survive longer by boosting capital.	Lenders may control decisions if you fail to pay.
Some loans (soft loans) have low interest rates.	Failure to repay can lead to loss of property.

Borrowed funds can be used to start new projects.	Loans often require security (like land or property).
	Repayment can be stressful and cause cash flow problems.

d) Supplier's Credit / Trade Credit

Supplier's credit (also called trade credit) is when a business is allowed to receive goods or services now and pay for them later. For example, a shop owner may receive drinks from a supplier today and agree to pay after two weeks or one month. This also has both the advantages and the risks.

Advantages	Disadvantages
Helps new businesses get started without upfront cash.	Hard for startups to obtain without a trading history.
Gives a competitive edge by allowing flexible buying.	Late payments attract penalties and interest
No cash needed upfront, useful during peak seasons	Failure to pay can lead to legal action or seizure of goods.
Keeps cash in the business, supporting growth	If you do not pay your loans on time, your credit score goes down, and it becomes harder to borrow money in the future
Easy to arrange if you have good payment history	Suppliers may stop working with you if you delay payments.
Builds reputation with suppliers through regular payments	Poor payment history can close business opportunities
Discounts and bulk buying opportunities.	Risk of losing suppliers and customers if trust is broken.

Application activity 8.2



Read the following statements and decide which source(s) of business capital you would opt for in such a situation and give reasons for your choice:

- If you only need a small amount of money.
- If you have the time to repay the money over a longer period of time
- If you are comfortable with taking a risk
- If you need a quick infusion of cash
- If you are not comfortable with taking a risk
- If you need a large amount of money
- If you do not have enough funds/stock to start your business

8.3 Meaning, Types and Calculation of Interest

Learning Activity 8.3



Scenario: Imagine you borrow FRW 10,000 from a friend to buy school materials. Your friend tells you:

- "You must return the 10,000 FRW after one year."
- But they also add: "Since I gave you my money, you will add FRW 1,000 extra when you pay me back."

Task:

1. Discuss in pairs:
 - What is the FRW 10,000 called?
 - What is the FRW 1,000 extra called?
 - Why do you think your friend asked for the extra money?
2. In your pairs, try to define the word **interest** in your own words considering this example.

Think About:

- How does interest affect the total amount you pay back?
- Why do banks or SACCOs also ask for interest when they lend money?

8.3.1. Meaning of Interest

When someone borrows money, they usually pay back more than what they borrowed. The total debt has two parts:

- **Principal:** The original amount of money borrowed or invested.
- **Interest:** The extra money paid to the lender as a cost of borrowing.

So, **interest** is the price of using someone else's money. For the borrower, it is a cost. For the lender, it is income.

Interest is usually shown as a **percentage of the principal**, called the **interest rate**. The rate can change depending on:

- How trustworthy the borrower is,
- How long the loan lasts (time),
- Market conditions at the time.

8.3.2 Types of Interests and Calculation

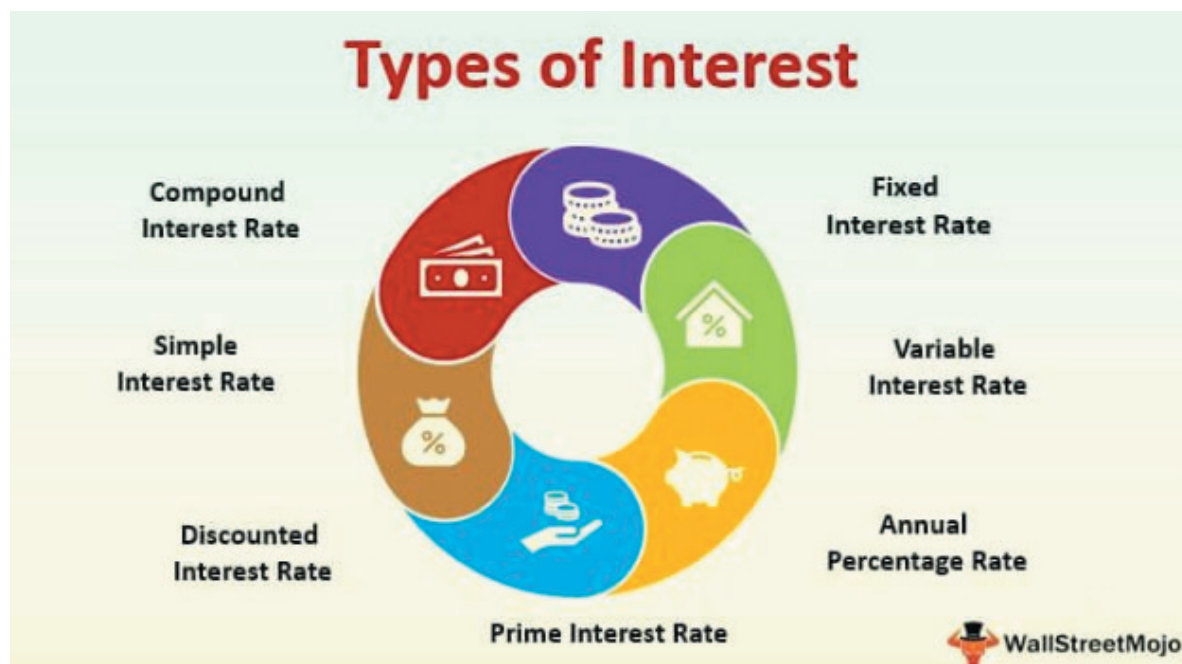


Figure 8.3.2: Types of interest

There are many types of interest (fixed, variable, annual percentage rate, prime rate, discounted rate, simple interest, compound interest). In this unit, we focus on **simple interest** and **compound interest**.

- **Simple Interest**

- Simple interest is the extra money charged on a loan or earned on savings.
- It is calculated only on the **principal** (the original amount borrowed or invested).

It is generally used for short-term loans or investments, and the interest rate is fixed over the term of the loan or investment

Formula: $I = P \times R \times T$

Where:

- P = Principal
- R = Interest rate
- T = Time

Example 1: Loan = 10,000 FRW, Rate = 10% per year, Time = 3 years

Interest = Principal /loan (P) x Interest rate (R) x Time (T)

$I = 10,000 \times 10\% \times 3 = 3,000$ FRW

Example 2: Tare, a businessman, borrowed a sum of 65,000FRW from a local bank which is to be paid in 6 years at a rate of 11% per annum. Calculate the simple interest Tare will pay for the loan?

Solution

Interest (I) = Principal (P) × Interest rate (R) × Time (T)

Where P = 65,000, R = 11%, T = 6 years, I = ?

$I = 65,000 \times 11\% \times 6 = 42,900 \text{ FRW}$

Tare will pay interest of = **42,900FRW**

Exercise: Patrick borrowed 400,000 FRW at 24% per year for 5 years. Calculate the simple interest.

- **Compound Interest**

- Compound interest means interest on interest.
- Each period, the interest is added to the principal, and the next interest is calculated on this new total and so forth.

As a result, the interest earned on the investment or the cost of borrowing increases over time. Compound interest is used for long-term loans and investments, and the interest rate may be fixed or variable depending on the terms of the loan or investment.

Formula: The compound interest is delivered from the compounded amount 'A'

The formula for the **Accumulated Amount (A)**:

$$A = P(1 + r)^t$$

The **Compound Interest (CI)**:

$$CI = A - P$$

$$\text{Compound Interest} = A - P$$

Where:

A = Total amount after time t ⇒ (Accumulated or Compound amount)

P = Principal

r = Interest rate

t = Time

Example 1:

Suppose, we have invested in the bank for 10,000FRW at 10% interest. First-year we will earn 1,000FRW and second-year the interest rate will be calculated not on 10,000FRW but on 10,000FRW + 1,000 = 11,000FRW. Thus, we will earn slightly more than what we would have earned under a simple interest format.

Compound interest is calculated by deducting the principal amount from the compounded amount. The compounded amount is calculated using the formula below:

- Year 1: Interest = 1,000 FRW → New balance = 11,000 FRW
- Year 2: Interest = 1,100 FRW → New balance = 12,100 FRW This is more than simple interest because each year interest is added to the balance.

Compound amount (A) = Principal (P) * (1 + rate)^{time}

$$A = \left(1 + \frac{r}{n}\right)nt$$

Interest is = A - P

Example 2

TEC Ltd deposited 980,000FRW with their bank for 2 years. If the bank offers an interest of 8% p.a and allows for interest to be added to the principal so that it also earns interest, find the interest after 2 years.

Solution:

$$A = 980,000(1.08)^2 = 1,143,072 \text{ FRW}$$

$$\text{Compound Interest} = 1,143,072 - 980,000 = 163,072 \text{ FRW}$$

Or

$$A = P(1+r)^t$$

$$= A = 980,000 \left(1 + \frac{8}{100}\right)^2$$

$$= 980,000(1.08)^2$$

$$= 980,000(1.1664)$$

$$= 1,143,072 \text{ FRW}$$

So, compound interest = Compounded amount (A) - Initial amount (P)

$$= 1,143,072 - 980,000 = 163,072 \text{ FRW}$$

Application activity 8.3



1. Analyze the following situations and decide which type of interest you would opt for and give reasons for your choice.
 - a) You want to borrow 30,000FRW from a bank at a rate 10% per year for 2 years.
 - b) You want to deposit 30,000FRW to a bank at a rate 10% per year for 2 years.
2. Gakuba wants to borrow 500,000FRW from his area SACCO at a rate of 11% for 3 years. Calculate the amount of interest Gakuba will pay using:
 - a) Simple interest
 - b) Compound interest

8.4 Investment Appraisal Techniques

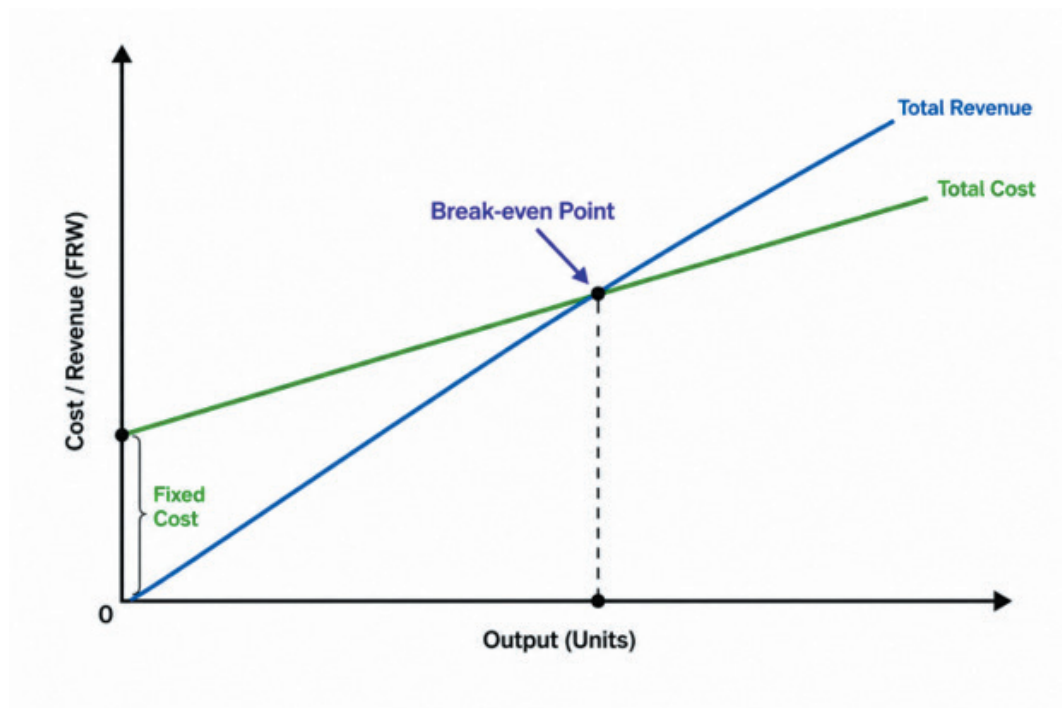


Figure: 8.4 Break-even analysis is one of the investment appraisal techniques

Learning Activity 8.4



Should We Start a Juice Business?

Scenario: Imagine your class wants to start a small juice-making project. You will need to buy fruits, sugar, bottles, and pay for transport. The question is: **How do we know if this project will make profit or is it worth the money we put in?**

Task (in groups):

1. Discuss what information you would need before deciding to invest in the juice project.
2. As a group, try to answer:
 - How can we know the point where we stop making losses and start making profits?
 - How can we know how long it will take to get back the money we invested?
 - How can we measure if the project gives us good returns compared to the money we put in?

Investment appraisal techniques are methods used by businesses and investors to decide if an investment will make a profit or not. The main techniques include:

- Break-Even Analysis
- Payback Period Analysis
- Return on Investment (ROI) Analysis

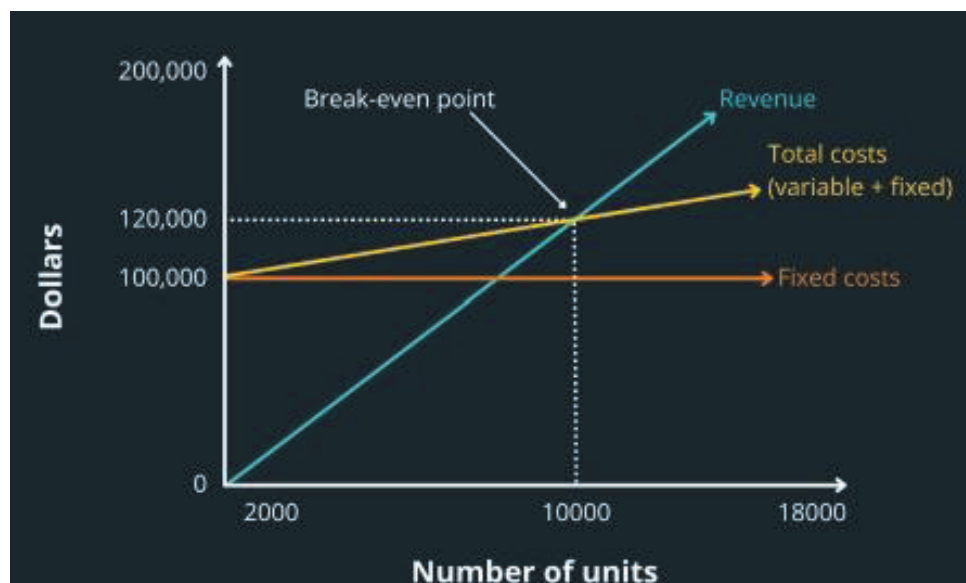
These techniques help entrepreneurs check if a project is affordable and profitable, whether it is short-term (like selling a new product) or long-term (like buying new machinery).

8.4.1 Break-Even Analysis

Break-Even Analysis helps an entrepreneur know the point at which a project stops making losses and starts making profits.

- **Break-Even Point (BEP):** The level of sales or production where revenue equals costs.
 - If revenue is below BEP, the business is making a loss.
 - If revenue is **above BEP**, the business is making a profit.

In simple terms, the break-even point shows “how much you must sell before you start earning a profit.”



Decision: In choosing a project to invest in, an entrepreneur would prefer a project that would break even with as little quantity/units or minimum sales/revenue as possible.

Calculation of the breakeven point.

Break-even can be calculated in terms of:

- **Units**, the amount or quantity of a product that needs to be sold or produced
- **Value**, the sales or revenue that needs to be made in terms of money.

1. Break-even point in units

$$\text{Break Even point (Unit)} = \frac{\text{Fixed costs}}{\text{Sales Price Per unit} - \text{Variable Cost Per Unit}}$$

Or

$$BEP_{(sales)} = \frac{\text{Fixed Costs}}{\text{Contribution Margin Ratio}}$$

Where,

Fixed costs (TFC) are costs that typically do not change, or change only slightly. Examples of fixed costs for a business are monthly salary expenses and rent.

Sales price per unit (USP): how much a business is going to charge consumers for just one of the products that the calculation is being done for.

Variable costs per unit (UVC): are costs directly tied to the production of a product, like labor hired to make that product, or materials used. Variable costs often fluctuate and are typically a business's largest expense.

Contribution margin: the selling price per unit, minus the variable cost per unit.

Contribution margin = (USP - UVC)

Example:

Tom's Sodas is a soft drink manufacturer in Eastern Province. The owner is considering introducing a new soft drink, called Tom's Silly Soda. He wants to know what kind of impact this new drink will have on the company's finances. So, he decides to calculate the break-even point, so that he and his management team can determine whether this new product will be worth the investment, if it can break even with less than 2,000 bottles of new soda sold.

His accounting costs are as follows, for the first month the product will be in production:

- Fixed Costs = 200,000FRW (total, for the month)
- Variable Costs = 40FRW (per bottle produced)
- Sales Price = 150FRW (a bottle)

Ask: Calculate the break-even point in units to determine how many bottles of the new soda the owner should sell in a month in order to break-even

$$BEP(\text{Unit}) = \frac{\text{Fixed costs}}{\text{Contribution Margin}}$$

$$BEP(\text{Battles}) = \frac{200,000\text{Frw}}{150\text{Frw} - 40\text{Frw}} = 1818 \text{ Units}$$

This means Tom needs to sell 1818 bottles of the new soda in a month to break-even.

Therefore, this new product/project is worth investing in because it requires units below 2000 new bottles to break-even.

2. Break even point in Sales (FRW)

$$\text{BEP(Frw)} = \frac{\text{Fixed Costs} \times \text{Sales Price Per Unit}}{\text{Sales Per Unit} - \text{Variable Costs Per Unit}}$$

Or

$$\text{BEP(in Sales)} = \frac{\text{Fixed Costs}}{\text{Contribution Margin Ratio}}$$

Where Contribution margin ration is equal to the contribution margin divided by sales price per unit $\Rightarrow$

$$\text{CMR} = \frac{\text{Sales Price per Unit(USP)} - \text{Variable cost per unit (UVC)}}{\text{Sales price per unit(USP)}}$$

Example 2

Tom's Sodas is a soft drink manufacturer in Eastern Province. The owner is considering introducing a new soft drink, called Tom's Silly Soda. He wants to know what kind of impact this new drink will have on the company's finances. So, he decides to calculate the break-even point, so that he and his management team can determine whether this new product will be worth the investment, if it can break even with less than 300.000FRW of sales made from the new soda sold. His accounting costs are as follows: for the first month the product will be in production:

- Fixed Costs = 200,000FRW (total, for the month)
- Variable Costs = 40FRW (per bottle produced)
- Sales Price = 150FRW (a bottle)

Task: Calculate the break-even point in sales to determine how much revenue the owner should earn in a month in order to break-even

Response

$$\text{BEP(in sales)} = \frac{200,000\text{Frw} \times 150\text{Frw}}{150\text{Frw} - 40\text{Frw}} = 272727\text{Frw}$$

Or it is the BEP in units X Selling Price per unit = $1818 \times 150\text{FRW} = 272727\text{FRW}$

Conclusion: This means Tom needs to earn or make sales of 272,727FRW from the new soda in a month, to break even. Therefore, this new product/project is worth investing in because it requires sales/revenue below 300.000FRW to break-even.

Exercise:

Read the scenario below and use it to answer the questions that follow:

After a long period of operation, your students' business club has managed to establish a medium-sized soap production project. There are some costs incurred in its operations. The club leadership team has calculated the fixed costs and has found out to be 60,000FRW. They also established the variable costs associated with one box of bar soap as 8,000FRW. These include all the expenses on raw materials, project labor, and sales commission. The club leadership plans to sell each box for 12,000 FRW. The business club will only continue with the project if it can break even with fewer than 20 bars of soap or with sales of less than 200,000 FRW.

Use the above information to advise the club on the decision to make by calculating the breakeven point:

- i. In quantity
- ii. In value/sales

8.4.2 Pay Back Period (PBP)

The **payback period** is the time it takes for an investment to recover its cost. In other words, it shows how long a project needs before the money put in is fully paid back.

- If the payback period is **short**, the project is usually better because the investor gets their money back quickly.
- If the payback period is **long**, the project is riskier because it takes more time to recover the money.

There are two cases:

1. **Constant cash flows:** when the project earns the same amount of money each period.

$$\text{Pay Back Period} = \frac{\text{Initial Investment}}{\text{Cash flow per period}}$$

2. **Uneven cash flows:** when the project earns different amounts each period. In this case, we add up the cash flows until the total equals the initial investment

In simple terms: The payback period tells us "how long before we get our money back."

Example:

Kalisa plans to invest in a poultry project with an amount of 2,000,000FRW. The project is expected to generate a net cash flow of 500,000FRW per year for 5 years. Kalisa wants a project that will return his investment in less than 5 years. Help Kalisa make an investment decision by determining the payback period for Kalisa's project.

$$\text{Pay Back Period} = \frac{\text{Initial Investment}}{\text{Cash flow per period}} \quad \text{Or } \text{PBP} = A + \left(\frac{B}{C} \right)$$

$$\text{Pay Back Period} = \frac{2,000,000}{500,000} = 4 \text{ Years}$$

A= The last year with a negative cumulative cash flow.

B= The absolute value of the remaining unrecovered cost at the end of year A.

C = The total cash flow during the following year.

The payback period is 4 years, which is less than the desired 5 years and therefore Kalisa can go ahead to invest in the project.

Exercise 1.

GAKUBA'S business total investment is 300,000FRW and the investment is expected to generate an annual cash flow of 10,000FRW. **Required:**

- Find out how much time it will take GAKUBA to get back his invested money?
- Should Gakuba go ahead and invest in the project if he wants his money back in less than 10 years.

b) Projects with uneven cash flows

It is rare /not common for project cash flows to necessarily be constant. Where cash flows are not constant, the payback period is obtained / calculated by first working out the cumulative cash flow over the life of the business / project.

Example: GABC enterprise plans to invest 100,000FRW. The projected net cash flows of GABC Enterprise for 5 years are given below. GABC will only continue with the investment if it can recover its initial investment in less than 4 years. Calculate the payback period and advise GABC Enterprise on the investment decision.

Year	Cash flow	Net cash flow
0	-100,000	-100,000
1	40,000	-55,000
2	50,000	-5,000
3	45,000	40,000
4	50,000	90,000
5	50,000	140,000

Notice that after two years' net cash flow is still negative $(-100,000 + 40,000 + 50,000 = -5,000)$ while after three years the net cash flow is positive $(-100,000 + 50,000 + 40,000 + 45,000 = 40,000)$ thus the payback period, or break even point, occur between year 2 and 3.

From this, Payback period can be calculated as below:

Payback period = Years before full recovery + Unrecovered cost at the start of the year before full recovery. Cash flow during the year of full recovery

$$\text{Pay Back Period} = \text{Last year of negative net cash flow} + \frac{\text{Absolute value of negative net cash flow}}{\text{Cash flow of the following year}}$$

$$\text{Pay Back Period} = 2 \text{ years} + \frac{5,000}{45,000} = 2 \text{ Years} + 0.1$$

Therefore, PBP = Last year of negative Net cash flow + Absolute value of negative Net cash flow / Cash flow of the following year. Payback period is 2.1 years which is below the 4 years and therefore, Gakuba may accept the project.

8.4.3 Return on Investment (ROI)

Return on investment (ROI) is an appraisal technique that helps the business owner to determine the benefit of his or her investment against the costs. The return on investment is usually expressed as a percentage (x %).

If you invest your money in mutual funds, the return on investment shows you the gain from your mutual fund schemes. ROI of 0% means you broke even (got your money back but made no profit). An ROI of 20% means you got your money back plus 20% profit. If the return on investment is positive, you are gaining profit. If it is negative, you are losing. You must pick an investment that may offer you the maximum return over a period.

$$ROI = \left(\frac{\text{Net Profit}}{\text{Total Investment}} \right) \times 100$$

Example:

Kabatesi invested 90,000FRW into a business venture and spent an additional 10,000FRW researching the venture. The investor's total cost would be 100,000FRW. If that venture generated 300,000FRW in revenue but had 100,000FRW in personnel and regulatory costs, then the net profits would be 200,000FRW

Solution

Total investment = 90,000FRW + 10,000 = 100,000FRW

$$ROI = \frac{200,000}{100,000} \times 100\% = 200\%$$

Let us compare the first example to another example where Kabatesi puts 10,000,000FRW into a venture without incurring any fees or associated costs. The company's net profits were 15,000,000FRW. It is significantly more than the 200,000 in net profits generated in the first example. However, the ROI offers a different view as shown below;

$$\text{ROI} = \frac{15,000,000}{100,000} \times 100\% = 150\%$$

Decision rule: Higher ROI indicates a more productive investment. Therefore, the decision would be advising Kabatesi to invest his or her money on the first project.

Application activity 8.4

Scenario: Your school business club is planning to start selling fresh fruit juice to students. They want to know if this project is worth investing in.

The club has gathered the following information:

- Fixed costs (equipment, rent, etc.): **FRW 100,000**
- Variable cost per bottle (fruits, sugar, packaging): **FRW 300**
- Selling price per bottle: **FRW 500**
- Expected sales per month: **600 bottles**
- Initial investment: **FRW 100,000**
- Expected monthly net cash flow: **FRW 25,000**
- After 1 year, the club expects total revenue of **3 FRW 60,000** and total costs of **FRW 240,000**.

Tasks:

1. Calculate the **Break-Even Point in units** (bottles).
2. Calculate the **Break-Even Point in sales (FRW)**.
3. Find the **Payback Period** for the project.
4. Calculate the **Return on Investment (ROI)** after 1 year.
5. Based on your calculations, advise the club whether to continue with the juice project or not.

8.5. End of unit assessment



8.5.1 Assessment Questions

A) Knowledge and understanding

- Explain the meaning of finance, financial systems and financial management.
- Explain the functions of financial management
- Define the following investment appraisal techniques:
 - Break-even point
 - Payback period
 - Returns on investment

B) Skills

- Find the compound interest on 80,000FRW for 10 years at 6% p.a.
 - Find the simple interest on 40,000FRW for 4 years at 2% p.a.
 - Batamuriza enterprises deposited 1,200,000FRW with their bank for 4 years. If the bank offers an interest rate of 16% p.a and allows the interest to be added to the principal so that it also earns interest, how much interest will her money bring her after four years.
- Which factors should one consider when choosing sources of finance to his or her business activities?
 - Use the table below to answer questions that follow.

Year	Project A	Project B
0	(1,000,000)	(1,000,000)
1	40,000	50,000
2	40,000	0
3	40,000	0
4	40,000	50,000
5	40,000	250,000

- What is the total cash flow for each project?
- What is the payback period for these projects
- Comparing the projects above, which projects would you choose to take up, and why?

C) Attitudes and values

- a) Why is it important to take precaution when choosing sources of finance? Share one example of a risky source of finance and explain why it should be avoided.
- b) Imagine you receive 50,000 FRW as a gift. How would adopting a culture of saving help you prepare for future business opportunities?
- c) What does it mean to be accountable when using money for a business project? Give one example of responsible behavior and one example of irresponsible behavior.

8.5.2 Project activity: Investment Appraisal for a Personal Business Idea

1. Context

Many people have business ideas, but starting a business requires money and careful financial planning. Before investing money, entrepreneurs and investors need to know whether a business will be profitable and how long it will take to recover the investment. Financial tools such as Break-Even Point, Payback Period, and Return on Investment help business owners make informed decisions. Understanding these tools helps entrepreneurs avoid losses and make better investment decisions.

2. Challenge

Evaluate whether a personal business idea is financially viable by conducting an investment appraisal and presenting the results to a potential investor.

3. Key Question:

How can you determine if your business idea makes financial sense before investing your time and money?

4. Task

You will:

- Develop a personal business idea and identify a source of capital
- Perform an investment appraisal using Break-Even Point, Payback Period, and Return on Investment
- Create a Break-Even graph and analyze the financial results
- Present a financial pitch showing whether the business idea is viable

5. Constraints

- Use realistic costs, prices, and sales estimates based on the local market
- Complete the project within the given timeframe (about 4 weeks)
- Use appropriate financial calculations and graphical representation
- Present your financial findings clearly in a report and pitch
- Work individually on your business idea

6. Guiding Questions

- How do start-up costs and operating costs affect profitability?
- When will your business reach the break-even point?
- How long will it take to recover the initial investment?
- What return can an investor expect from your business?
- Based on your calculations, is your business idea financially viable? Why?

UNIT 9

FINANCIAL INSTITUTIONS



Key Unit Competence:

You should be able to use banking and non-banking institutions' services.

Learning objectives

At the end of this unit, you should be able to:

Knowledge and understanding

1

- Explain the meaning of financial institutions.
- Describe the role of financial institution to entrepreneurs
- Identify the types of banking and non-banking financial institutions in Rwanda
- Distinguish between banking and non-banking financial institutions
- Identify the role of financial institutions in promoting entrepreneurial policies
- State the various Non-banking financial institutions and their importance
- State the procedures of loan application

Skills

2

- Assess the role of financial institutions to a business
- Classify the various financial institutions into banking or non-banking institutions in one's community
- Examine the procedures followed while applying for a loan.

Attitudes and values

3

- Recognize the need for financial institutions in business operations
- Advocate for rational use of various financial products and services in business activities
- Appreciate the roles of various financial institutions in promotion of entrepreneurial policies
- Appreciate the existence of various types of financial institutions.

9.0 Introduction:

Financial institutions are very important in the economy because they provide financial services to individuals, businesses, and governments. They offer services such as: Saving money, giving loans, Managing investments and Providing insurance. These services help people and businesses to grow and support the development of the economy.

In this unit, you will learn: The meaning of financial institutions, Different types of financial institutions and their functions and roles in the economy.

This knowledge will help you understand how to use banking and non-banking financial services effectively in your daily life.

Introductory activity

Read the dialogue between Jolly and Jolyn and answer the questions that follow.

Jolly: Hey Jolyn, how are you doing?

Jolyn: Hey, Jolly. Am doing well. Nice to see you, it's been long.

Jolly: Yeah, it's been long. I have been busy lately.

Jolly: Well, Jolyn, do you know what financial institutions are?

Jolyn: Hmm, not really. Aren't those like banks and stuff?

Jolly: Yes, you're on the right track. Financial institutions are organizations that provide financial services to their clients, such as banks, credit unions, insurance companies, and investment firms.

Jolyn: Oh, I see. So, what exactly do these institutions do?

Jolly: Well, they play a crucial role in our economy by managing and investing money. For example, banks accept deposits from customers and use that money to make loans to other customers. They also offer other services like checking accounts, savings accounts, and credit cards.

Jolyn: Okay, that makes sense. What about insurance companies?

Jolly: Insurance companies offer financial protection to individuals and businesses in case of unexpected events, such as accidents, illnesses or fire. They collect premiums from their clients and use that money to pay out claims when needed.

Jolyn: Got it. And what about investment firms?

Jolly: Investment firms manage and invest money on behalf of their clients, such as individuals, corporations, and governments. They may offer services like mutual funds, exchange-traded funds, and retirement accounts.

Jolyn: Wow, I had no idea there were so many different types of financial institutions.

Jolly: Yes, it's a complex industry, but it's important for our economy to function properly. Without financial institutions, it would be difficult for people to access the financial services they need to manage their money and plan for their future.

Jolyn: Thanks for explaining that, Jolly. I learned a lot today!

From the dialogue between Jolly and Jolyn

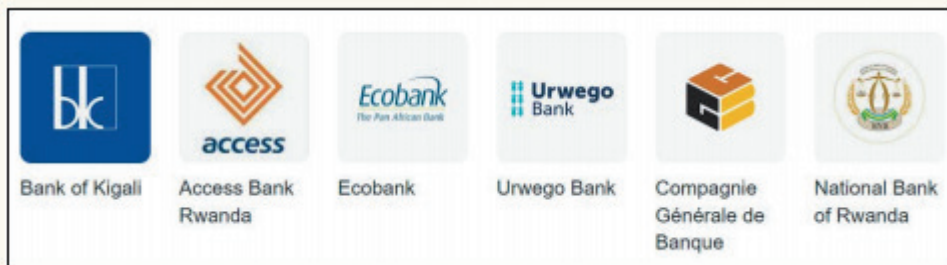
- What do you think financial institutions are?
- What types of financial institutions did they talk about?
- What role do financial institutions play in the economy?
- What services do financial institutions offer?

9.1 Meaning of financial institutions

Learning Activity 9.1



The images below represent different financial institutions that operate in our communities. They conduct different financial activities while dealing with the public.



From the above illustration and personal experience, what do you think financial institutions mean?

Financial institutions are organisations that provide financial services to people and businesses. They act as intermediaries between those who have extra money (savers) and those who need money (borrowers).

Core services include:

- Credit facilities: Giving loans (short-term and long-term)
- Keeping savings and deposits: Safeguarding money for individuals and groups.
- Supporting investments: Helping businesses grow through capital.
- Foreign Exchange: Exchanging FRW to other currencies (eg: USD, Euro,)

Examples of financial institutions include:

- Central banks (National Bank of Rwanda)
- Commercial banks (Bank of Kigali, Equity Bank, I & M etc)
- Microfinance institutions (Amasezerano Bank, COPEDU etc)
- Development banks
- Savings and credit cooperatives (SACCOs)
- Insurance companies

Financial institutions play an important role in the economy because they manage money and support business activities. Therefore, individuals and businesses depend on them to carry out financial transactions and investments.

Application activity 9.1



Read the scenario below and answer the questions that follow:

Scenario: Starting a Small Business

Jean is a Senior 6 graduate who wants to start a small poultry farming business in his village. He has some savings but realizes that the money is not enough to buy chicks, feeds, and equipment.

He decides to visit a bank to ask for a loan. The bank officer explains different financial services available, including savings accounts, loans, and insurance. Jean also learns that he can join a local savings and credit cooperative (SACCO) to access financial support more easily.

Later, Jean opens a bank account to keep his money safe and applies for a loan to start his business.

Questions

1. Identify **two financial institutions** mentioned in the scenario.
2. What financial service did Jean seek to support his business?
3. Why is it important for Jean to open a bank account?

9.2 Types of Financial Institutions

Learning Activity 9.2



1. What are different kinds of financial institutions that you know in Rwanda?
2. From the picture below, differentiate between banking institutions and non-banking institutions.



Figure 9.2.1 Example of Financial institutions Vs non financial institutions

3. Give two examples of banking institutions and non-banking institutions you know in your country

a) Central bank:



Figure 9.2.2 Central Bank building

A central bank is a financial institution responsible for managing a country's money supply and ensuring financial stability

It also helps to formulate and implement monetary policies (policies that control money in the economy). In Rwanda, the central bank is the National Bank of Rwanda.

Functions of the Central Bank

The central bank performs the following functions:

- 1. Issuing Currency:** It is the only institution allowed to print and issue money (notes and coins).
- 2. Banker to the Government:** The central bank: Keeps government money
Pays interest on government debts. Helps sell government securities (like treasury bonds)
Advises the government on the national budget.
- 3. Banker to Commercial Banks:** The central bank: Acts as a clearing house where banks settle payments among themselves
Requires commercial banks to keep part of their money with it (legal reserve)
- 4. Custodian of Foreign Currency.** It keeps and manages foreign exchange reserves and helps maintain stable exchange rates.
- 5. Controls the Economy (Monetary Policy).** It uses monetary policies to control economic activities, such as inflation and growth.

- 6. Credit Control:** It controls how much money commercial banks can lend to avoid:
Inflation (too much money in circulation) Deflation (too little money in circulation)
- 7. Research and Publications:** It conducts research on the economy and publishes reports to guide the government and the public.
- 8. Regulates Commercial Banks:** It supervises and controls how commercial banks operate.
- 9. Advisor to the Government:** It advises on issues such as: Budget planning, Taxation, Currency policies
- 10. Lender of Last Resort:** It lends money to commercial banks when they face financial difficulties.
- 11. Banker to International Organizations:** It provides banking services to international organizations operating in the country.

b) Commercial Banks

These are profit-making institutions that serve the general public.

Examples: Bank of Kigali (BK), Equity Bank, I&M Bank, BPR Bank

Types of Financial Institutions:

There are two main types of financial institutions:

- Banking institutions
- Non-banking financial institutions

Banking Institutions include: Central banks, Commercial banks, Development banks, Investment banks, Savings and loan associations, Credit unions

Non-Banking Financial Institutions include: Insurance companies, Pension funds, Hedge funds, Banking Institutions

Banking institutions are financial institutions that provide a wide range of financial services to people and businesses.

Examples of Banking Institutions:

- Commercial banks
- Microfinance institutions
- Credit unions
- Investment banks

Banking Vs Non-Banking Institutions

Feature	Banking Institutions	Non-Banking Institutions (NBFIs)
Primary Goal	Accepting deposits and creating credit.	Providing financial protection or long-term investment.
Cheque Facility	Provide cheque books and daily transaction accounts.	Do not typically provide cheque books.
Money Creation	They can increase money in circulation via loans.	They act as "safe havens" for long-term funds.
Examples	Commercial Banks, SACCOs, MFIs.	Insurance Companies, RSSB, Pension Funds.

Functions of commercial banks include;

- Commercial banks accept and safeguard deposits from the public.
- Commercial banks offer credit services in form of loans, advances, overdrafts, and cash credits to ensure economic stability and growth of the economy.
- Commercial banks also provide facilities for transferring money from one place to another or even from one country to another.
- Commercial banks also provide commercial advice to their customers. They advise them on how to use their money and in business.
- Commercial banks also keep valuable possessions such as academic documents and other precious materials, such as gold. The bank charges a minimum annual fee for this service.
- Commercial banks offer training services to the public on how to start and manage small businesses
- Commercial banks use different instruments like promissory notes, cheques, and bills of exchange for paying and gathering credit.
- Commercial banks offer facilities for purchasing and selling securities, e.g., shares.
- Commercial banks play a vital role in the economy by facilitating the circulation of money through providing loans, accepting deposits, and extending credit, thus creating greater acceptability for individuals and businesses alike.

C) Development banks;

A development bank is a financial institution that provides loans and financial support to help a country or region grow economically.

These banks are usually owned by: Governments, International organizations, and sometimes private investors

The main aim of a development bank is to support long-term economic development by funding important projects that may not receive support from commercial banks.

Examples of such projects include:

- Building roads and infrastructure
- Supporting small businesses
- Improving agriculture
- Developing education and healthcare services

These projects help to improve people's standard of living and promote national development.

Functions of Development Banks

- Promoting sustainable development: Development banks also prioritize sustainability and environmental protection in their lending practices and seek to support projects that promote sustainable development.
- Mobilizing private sector investment: Development banks can also help to mobilize private sector investment by providing guarantees and co-financing arrangements that reduce the risk of investing in new projects.
- Offering technical assistance: Development banks provide technical assistance and advisory services to support the development of new projects and to help businesses and entrepreneurs access financing.
- Supporting innovation: Development banks also play a key role in supporting innovation by providing funding for research and development in various sectors of the economy.
- Providing long-term financing: Development banks provide long-term loans and credit to support investment in various sectors of the economy, such as infrastructure, energy, agriculture, and manufacturing
- Facilitating economic growth: By providing financing for development projects, development banks help to stimulate economic growth and create employment opportunities.

d) Microfinance Institutions (MFIs)

Microfinance institutions (MFIs) are financial institutions that provide services to low-income individuals or groups who may not access services from commercial banks. The main aim of MFIs is to bridge the gap between people without bank access and the formal financial system.

They offer: Small loans, Savings services, Other financial support.

These services help to: Promote economic growth, Reduce poverty

Examples of MFIs include: Savings and Credit Cooperatives (SACCOs) Some small financial companies like Amasezerano Bank, COPEDU.

Savings and Credit Cooperatives (SACCOs)



Figure 9.2.3 Umwalimu SACCO

A Savings and Credit Cooperatives (SACCO) is a financial institution where:

- Members save money together
- Members can borrow loans

SACCOs are owned by members, managed democratically (each member has equal voting rights, regardless of their savings). Members usually save money weekly or monthly. Examples of SACCOs in Rwanda: Umwalimu SACCO, Zigama CSS, Umurenge SACCO

Functions of SACCOs

Mobilization of savings: Members are encouraged to save regularly, and the money is used to give loans.

Provision of credit: SACCOs give loans to members at lower interest rates compared to banks.

Financial education: Members are trained on budgeting, saving, and investing.

Other financial services: SACCOs may provide services such as insurance and money transfers.

Social role: SACCOs promote cooperation, unity, and improvement of members' living standards.

9.2.2 Non-Banking Financial Institutions

These are financial institutions that accept deposits or funds, but do not create credit like banks. They provide services that support and complement banking services.

Examples include:

- Insurance companies

a) Insurance Companies

Insurance companies collect money from people in the form of premiums (payments for insurance policies). In return, they provide financial protection against risks such as: Accidents, Illness, and Loss of property. They also invest the money they collect in activities like buying bonds.

Examples in Rwanda: Military Medical Insurance (MMI) Rwanda Social Security Board / RAMA, Britam Insurance, and Prime Insurance Company.

b) Social security funds

These are also non-banking financial institutions that collect savings from employees and invest them in long-term investments. In most cases they are executed by insurance companies or social security fund institutions. Good example is Rwanda's Social Security Board.

Functions of non-banking institutions include the following:

- They assist in the establishment and development of various sectors especially transport and infrastructure in the country.

- Non-banking financial institutions extend specialized credit facilities to various entities, especially those engaged in mega projects.
- The non-banking financial institutions aim at the creation of wealth and economic development in the country.
- The weaker sectors or sections of society need to be strengthened and fully supported, and this is one of the functions of non-banking financial institutions.

Application activity 9.2



Giving examples in each category, differentiate banking from non-banking institutions according to their functions in your community.

9.3 Roles of financial institutions in promoting entrepreneurial culture

Learning Activity 1.1



Read the dialogue below and answer the questions that follow.

Muhiza: Hey Imena, have you thought about what financial institutions can do for us as senior four students?

Imena: Hmm, not really. What do you mean by financial institutions?

Muriza: Well, financial institutions are organizations such as banks, credit unions, and microfinance institutions that provide financial services to individuals or organizations. They offer different types of accounts, loans, and investment opportunities that can help us improve our lives, grow our economy, potentially build wealth etc.

Imena: Oh, I see. But how can they help us as senior four students?

Muriza: Good question. Financial institutions can help us in many ways. First, they can provide us with student accounts that often come with benefits like no monthly fees or minimum balances. We can use these accounts to deposit our allowances or savings, and learn how to manage our money effectively.

Imena: That sounds useful. What else can they do for us?

Muriza: Second, financial institutions can also offer us educational resources, such as financial literacy workshops or online courses. These can teach us important skills like budgeting, saving, and investing, and help us make informed financial decisions in the future.

Imena: Wow, I had no idea. What about loans or credit?

Muriza: Well, that's another way financial institutions can help us. While we may not need loans at our age, understanding how loans work and how to build credit is important for our future financial health. And if we do need a loan, such as for higher education or starting a business, financial institutions can offer options like student loans or small business loans.

Imena: I never thought about it that way. Thanks for explaining it to me, Muriza.

Muriza: No problem, Imena. Financial institutions can be a valuable resource for us as we grow older and take on more financial responsibilities. It's important to start learning about them now so we can make informed decisions in the future.

- a) What is the conversation between Muriza and Imena about?
- b) According to Muriza, why is it important to use financial institutions?
- c) According to their dialogue, what services are provided by financial institutions

Financial institutions can play a crucial role in promoting entrepreneurial culture in Rwanda by providing access to finance and other support services to entrepreneurs. Here are some specific ways in which financial institutions can promote entrepreneurship:

- **Access to Capital:** Financial institutions can provide access to capital for entrepreneurs to start or grow their businesses. This can include loans, lines of credit, and other forms of financing.
- **Financial Education:** Financial institutions can provide financial education and training to entrepreneurs to help them better understand their finances and make informed financial decisions.
- **Technical Assistance:** Financial institutions can offer technical assistance to entrepreneurs to help them develop business plans, market their products or services, and access new markets.
can include mentorship programs, networking events, and access to industry experts.
- **Risk Management:** Financial institutions can help entrepreneurs manage risk by providing insurance products, such as property or liability insurance, to protect their businesses against unforeseen events.
- **Innovation:** Financial institutions can promote innovation by investing in new technologies and providing support to startups and other innovative ventures.
- **Brokerage services:** These institutions provide their investors access to several investment options available in the market, ranging from stocks to bonds.
- They help to balance economic growth since all the different sectors in an economy rely on financial institutions. The primary, secondary, and tertiary sector industries all need sufficient funds from these institutions.
- They help to attract foreign capital through the capital market authority. Foreign companies can buy shares or stocks in another country. Such as KCB, IM Bank, Equity Bank, among others.
- Financial systems of different countries can promote economic integration. This is when common economic policies, such as common employment laws and commercial laws, are applied. For example, the East African Community (EAC).

Overall, the role of financial institutions in promoting entrepreneurial culture in Rwanda is essential, as access to capital and other support services can help entrepreneurs to start and grow their businesses, create jobs, and contribute to the economic development of the country

Application activity 9.3



Some villagers in Gatake village still have a mentality that their money is safe when they use the ways their forefathers used before the coming of the formal banks. That is, they keep it under the mattresses, in pots, and some dig holes to keep their money there. They believe that you cannot get your money anytime you need it when it's kept in a bank. They also say that they charge them fees that they don't have.

Recently, one of the villagers, Karema, who had kept his money in a hole, went to check on it and found out that the ants had eaten all the notes. He cried loudly in a lot of tears, and all the villagers came to find out what had happened to him. He displayed the remains of the notes and it was evident to everyone that his money had been destroyed by the ants. In this vision, with a lot of banking institutions around the country, all the onlookers who came there were surprised by this incident.

Imagine you were one of the onlookers there at the incident, and you have knowledge about banking, what advice would you give to Karema so that he cannot lose his money again in the future?

9.4. Procedures of Loan Application

Learning Activity 9.4



Soma is a young entrepreneur in Karongi district. For 3 years, he has been doing his pottery project on a small scale and now wants to expand his business to the next level. He is thinking of getting a loan from the village Micro-finance called 'HAGURUKA SACCO. After approaching the credit officer at the SACCO, he found out that he needed to go through many steps, such as filling out loan application forms, preparing a business plan, among others, in order to get the loan.

From the above scenario, explain the procedures Soma will have to go through when applying for the loan.

It is important to note that the loan application process may vary slightly depending on the lender and the type of loan you are applying for. It's always a good idea to consult with the lender or a financial advisor for more information on the specific loan application requirements and process.

Therefore, the following procedures may guide you while applying for a loan.

- **Eligibility criteria:** When applying for a loan from a bank, the eligibility criteria can vary depending on the type of loan you're applying for, the specific lender, and the country or in region. so some common factors for eligibility check can be: credit score, income, employment history, and debt-to-income ratio.¹⁶⁷
- **Determine the type of loan you need:** The second step in applying for a loan in Rwanda is to determine the type of loan you need. There are various types of loans available in Rwanda, such as personal loans, business loans, mortgage loans, and more.

- **Check the interest rate and other charges:** Different lending institutions have different interest rates on different types of loans to their customers. So, it is important to gather information related to the interest charged on the loan and all insurance fees the client is supposed to pay for him/her to access the loan.
- **Identify a lender:** Once you have determined the type of loan you need; the next step is to identify a lender that offers the type of loan you require. You can research online or visit the nearest bank or microfinance institution in your area to get more information.
- **Gather necessary documents:** Before applying for a loan, you will need to gather the necessary documents, which typically include identification documents, proof of income, bank statements, and collateral documents, depending on the type of loan you are applying for.
- **Fill out the loan application form:** Once you have identified a lender and gathered the necessary documents, the next step is to fill out the loan application form. The form will typically require you to provide personal and financial information, such as your name, address, employment status, and business plan
- **Submit the loan application:** After filling out the loan application form, you will need to submit it to the lender along with the required documents. You may be required to pay a processing fee at this stage.
- **Wait for approval:** After submitting your loan application, the lender will review your application and decide whether to approve your loan or not. This process can take several days to a few weeks.
- **Sign the loan agreement:** If your loan is approved, you will need to sign a loan agreement that outlines the terms and conditions of the loan, including the interest rate, repayment period, and other fees.

Receive the loan funds: After signing the loan agreement, the lender will disburse the loan funds to your account, and you can start using them according to the purpose of the loan.



Note: It's important to note that different lenders follow different procedures during the loan application process. So, it is important to do thorough research when looking for a lending institution.

Application activity 9.4



After S.4, you intend to start a small soft drink processing business in your community, but it's likely to require you to get a loan from one of the financial institutions in your home village. Describe the process you would go through while applying for a loan.



9.5.1 Questions for Assessment

A) Knowledge and Understanding

1. Identify one microfinance institution and analyze its role in the development of the country
2. Distinguish between a central bank and a commercial bank according to their functions or purpose.
3. What are the key factors to consider when choosing a financial institution to meet your financial needs?
4. What role do financial institutions play in the global economy, and how do they contribute to economic growth and stability?

B) Skills

5. A small business owner wants to expand but is unsure whether to seek a loan from a bank or a non-banking financial institution.

Assess the role of different financial institutions and recommend the most suitable option, giving clear reasons for your choice.

6. a) Examine the procedures involved in applying for a loan.
b) Analyze the challenges a young entrepreneur may face during this process and propose practical solutions to overcome them.

C) Attitudes and Values

7. Some entrepreneurs misuse loans or financial services, leading to business failure.

Analyze the importance of using financial products responsibly and suggest ways to promote responsible financial behavior among entrepreneurs.

8. a) Evaluate the importance of financial institutions in supporting business growth and entrepreneurship in your community.
b) Explain how appreciating and properly utilizing these institutions reflects positive values in business practices.

9.5.2 Project Activity:

Students identify the financial institution of their interest and open a bank account for their school business club or one for their business idea. Write down all the procedures. They inquire about the procedures for securing a loan. Write a report on their findings for review.

1. Context

Choosing the right financial partner is critical for the success of a business. In Rwanda, there are many options, including banks, microfinance institutions, and SACCOs. Young entrepreneurs must consider fees, interest rates, accessibility, and loan procedures when selecting a financial institution. By understanding these factors, students can make informed decisions that protect their business and maximize growth. In this project, learners act as entrepreneurs evaluating local institutions to find the best fit for their business idea.

2. Challenge

Investigate, compare, and recommend the financial institution that will best support your business idea.

3. Task

- Brainstorm a realistic personal business idea and identify its financial needs.
- Map and classify local financial institutions into banking and non-banking categories and research three selected institutions.
- Compare their loan procedures, interest rates, and fees using a Comparison Matrix.
- Create a Recommendation Poster and report to justify your choice of the best financial institution for your business.

4. Instructions

- Use only local financial institutions for your research.
- Complete the project within four weeks.
- Research must include credible sources (interviews, visits, or official documents).
- Present your findings clearly in a poster and written report.
- Recommendations must be supported by data collected from your research.

5. Guiding Questions

- What financial institutions exist in your community, and how can they be classified?
- What are the loan procedures, interest rates, and fees for each institution?
- Which institution provides the most support, accessibility, and cost-effective options for your business idea?
- How do your findings help you make a safe and practical choice for funding your business?
- How can you present your recommendation persuasively and clearly to peers and teachers?

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